Phoenix Mills Ltd. (PHOENIXLTD)

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Call: May 2023

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May 30, 2023
To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated May 25, 2023, wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institu tional Investors on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2023, please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2023/Earnings -Call-Transcript .
You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

The Phoenix Mills Limited
Q4 FY23 Earning Conference Call
May 25, 2023

Moderator: Ladies and gentlemen, good day and welcome to The Phoenix Mills Limited Q 4 and FY23 Earnings Conference Call.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you .
Shishir Shrivastava: Good morning , ladies, and gentlemen . We take pleasure in welcoming you all to discuss the operating and financial performance of the fourth quarter and year ended FY23. We hope you have had a chance to look at the results presentation shared by us. The same is uploaded on the stock exchanges as well as on our website. I will now take you through the key highlights of the results with reference to relevant slides of the results presentation from time to time.
To start with the performance of our retail portfolio : Please refer to Page #4 onwards of the results presentation for an update on consumpti on at our retail malls in Q4 FY 23.
Consumption in Q4 FY 23 stood at Rs. 2,211 crore s, sho wing a growth of 59% over Q4 FY 20. If

we exclude contribution from the newly launched retail malls, which are Phoenix Palassio at Lucknow , Phoenix Citadel at Indore and Palladium at Ahmedabad, this number was 37% over Q4 FY 20. Consumption at our retail malls was robust across categories in the fourth quarter. Some of the top performin g categories were J ewel lery, up 164% from Q4 FY 20, F ood and Beverage up 64% from Q4 FY 20, F ashion and Accessories up 62% from Q4 FY 20, FEC Multiplex Entertainment up 61% from Q4 FY 20 and E lectronics up 58% from Q4 FY 20.
Turning to Page #5 of the presentation for an update on consumption at our retail malls in FY23. This year, we witnessed the highest ever annual consumption of Rs. 9,248 c rore s demons trating a growth of 33% over FY 20 and slightly beyond our guidance of over Rs. 9,000 crore s. If we exclude contribution from malls launched in FY21 onwards, which are Phoenix Palassio , Lucknow , Phoenix Citadel , Indor

e and Palladium , Ahmedabad, like to like growth in consumption is at 19% over FY 20. Collections from the re tail mall business for FY23 stood at

Rs. 2,167 crore s, maintaining the quarterly average run rate of over Rs. 540 crore s slightly ahead of our guidance of approximately Rs. 500 crores run rate per quarter.
Moving on to Page # 6 of the presentation for an update on consumption for the month of April 23. Consumption in the month of April 23 came in at Rs. 851 crore s, up 18% compared to April 22. If we exclude contribution from Phoenix Citadel , Indore and Palladium , Ahmedabad then the like-to-like consumption growth is at 11% compared to April 22. A t Phoenix Palladium , Mumbai renovations are underway for two of our key stores Zara and Reliance Digital and this had a temporary impact on consumption growth. We are delighted to announc e that Zara has now reopened at Phoenix P alladium , Mumbai in a bigger, better and more tech savvy avatar.
Moving on to a brief update on our newly opened retail malls . Starting with Palladium , Ahmedabad on Pages #7 through #12 of the presentation. On 26th February 2023, we marked our first presence in Gujarat with the launch of Palladium , Ahmedabad. We have some images of the retail mall and the beautiful interiors and art, and decor uploaded on the presentation. The mall opened with a trading occupancy of 32% and with scaling completion of fit outs this has ramped up to 57% as of April 23. Trading occupancy will scale up closer to the lease d occupancy of 93% by Q3 FY 24. We are also glad to highlight that the trading density at this mall in the month of Apr il 23 stood strong at Rs. 1,021 per square foot per month; b reaking the Rs. 1,000 per square foot per month threshold very early on in its life.
Moving on to Pages #13 through # 15 for an update on Phoenix Citadel , Indore. We launched Phoenix Citadel , Indore on 1st December 2022. Trading occupancy has shown a steady ramp up and is now at 79% versus 42% i n the first month of its operation s, that is December 22. This mall represents many firsts for us. Not only is this our first mall in Madhya Pradesh, bu t it is also the first certified green building in our portfolio. We are pleased to announce that Phoenix Citadel Indore recently achieved two prestigious green building certifications - the USGBC LEED Gold Certification and the IFC E dge Advance C ertification. Phoenix Citadel in fact is the first retail asset in India to have received the IFC E dge Advanced Certification. These certifications reflect our commitment to a sustainable development model across our existing and new developments , and you will see more progress in this regard across other assets in the coming months as well.
Please turn to Page # 16 onwards for an update on our upcoming malls . We are gearing up for the launch of our second malls in the cities of Pune and Bangalore respectiv ely. The construction at Phoenix Mall of Asia , Hebbal, Bangalore is progressing well and as can be seen from the pictures we are completing interior works. We have received the Occupation Certificate (OC) for this mall and multiplex recently. Phoenix Mall of the M illennium at Wakad, Pune is also on track and expected to commence operation s by Q2 FY24 with the offices forming part of the mixed development set for launch in FY 25. At our retail mall in Kolkata, we have completed the demolition work of the old on -site structures and currently

construction activities are progressing. Pr e-construction work is nearing completion, and we will soon commence excavation on the site. At P roject Rise in Lower Parel , Mumbai which also has a retail component , requisite approvals are all in place , excavation is nearly complete and the RCC work on the tower foundation is in progress.
Now moving on to the financial performance of our retail mall portfolio from Page # 25 onwards. In li

ne with consumption, our rental and EBITDA growth also demo nstrated an upward trend. Q4 FY 23 retail rental income was Rs. 340 crore s up 53% compared to Q4 FY 20. Retail EBITDA for this quarter was at Rs . 349 crore s up 64% compared to Q4 FY20. For FY 23, our retail rental income stood at Rs. 1,312 crore s with a growth of 29% over FY 20 and retail

EBITDA came in at Rs. 1,331 crore s with a growth of 36%.

Moving to Page #33 in the presentation. In FY 23, we saw significant ramp up in lease d occupancy, trading o ccupa ncy and trading density over FY 22 across all our major malls. You will further see trading occupancy going up across our existing malls as we have several new retailers and formats under active fit out currently and we expect trading occupancies to move closer to 93% -95% levels before Diwali 2023. In FY23, we have seen a cumulative leasing in excess of about 3.3 million square feet with operational assets seeing approximately 2.2 million square feet incl uding renewals and some churn and at the new malls yet to be operationalized , we have seen leasing of about 1 .1 million square feet . We are ready for FY 24 with renewed optimism with i) the launch of two new malls within the next six months , ii) a sustained consumption growth in existing malls , iii) ramp up at existing malls in Chennai, Pune and Kurla on account of increase in trading area and iv) consumption growth in our latest mall s - Phoenix Citadel , Indore and Palladium, Ahmedabad demonstrating a signif icant upward trend.

Just to talk a little bit ab out the gross consumption in FY 23, we have seen approximately Rs. 9,300 crore s of consumption. We have an outlook for FY24 to reach up to Rs. 11,500 crore s of consumption of which we expect Palladium , Ahmedabad and Phoenix Citadel , Indore to add about Rs. 1,200 crore s. We have a robust event calendar for each mall in place with major spike events scheduled for weekends and we are engaging in many spike events for weekdays. We continue to invest in innov ative eye -catching decor across properties and bringing the best of brands and categories and fine dining, food, and beverage experiences. We gear all of these activities towards making each mall the de- facto destination for consumption. I will now request Anuraag Srivastava to take you through the o ffice , hotel and residential section and the overall financial results. T hank you.

Anuraag Srivastava: Thank you, Shishir. Good morning, everyone. I would direct your attention to Page #34 to # 40 for an update on the commercial office portfolio . Our commercial office portfolio is seeing improving traction with gross leasing of about 4.3 1 lakh square feet in FY23, of which ~ 2.81 lakh square feet is new leasing and ~ 1.5 lakh square feet is renew al leasing. The total office income in Q4 FY23 stood at Rs. 43 crores , flat percentage year -on-year and total EBITDA

stood at Rs. 27 crore s. Collection efficiency for the quarter was close to 97% with collection of about Rs. 47 crores. For FY 23, office incom e stood at Rs. 170 crores which was up 7% year -on-year and EBITDA was flat year -on-year at Rs. 98 crores . We currently have active fit outs of over 1,80,000 square feet under progress in Pune and Mumbai which will add quarterly rental income of more than Rs. 5 crore s. We expect contribution to fully reflect from Q3 FY24.

Moving on to updates on the under -constructio n commercial office projects. These are covered from Page #38 onwards. At Phoenix Asia Towers, Bangalore with the GL A of about 1.2 million squa re feet , roof slabs up to the ninth floor have been completed and the i nterior work, lobby and c ommon area finishing is currently underway. We have commenced construction for two out of four of Millennium Towers, Pune, and we expect to launch the same in FY25. We are also engaged actively across our under -construction assets in Bangalore and Pune where leasing enquiries from marquee M NC clientele have been very strong and we'll keep you posted on the leasing progress made i n this regard . As mentioned earli er, construction has commenced at Project Rise in Lower Parel, Mumbai . At ISML O ffices in Whitefield , Bangalore excavation and shoring is in progress, whereas at Palladium Offices , Chennai construction has commenced. The launch of these offices will progressively take our office realty from 2 million square feet to about 7 million square feet by FY 27.

Now moving on to hospitality business, please refer to Page #41 to # 47 of our deck . Starting with The St. Regis, Mumbai , which saw the highest ever annu al gross revenue and EBITDA in FY23. The operating performance has surpassed most operating parameters in last 12 months. This is led by resumption of foreign business and leisure travel, domestic corporate travel, social events, and staycation s. The year has been good in terms of F &B as well , with launch of the new venues including Koishii, Koi Bar and the high- end event space, which is called 38 Manhattan . Total income for FY23 stood at Rs. 404 crore s, which is up 31% from FY20. Occupancy for the year stood at 84% a nd ARR was at about Rs. 14,851 which is up 21% from FY20. O perating EBITDA came in at Rs. 180 crores demonstrating a growth of 54% compared to FY20. We have used the strong cash flows during FY 23 to reduce debt by Rs. 115 crores on this asset and invest in capex for upgrading various facilities in the hotel. At our second hotel , the Courtyard by Marriott, Agra , total income in FY 23 stood at Rs. 46 crores which is up about 2 4% from the FY20 occupancy for FY23 was at 72% and ARR sto od at Rs. 4,795 showing a healthy growth of 23% over FY20 .

Moving on to residential business covered on Page # 49. We are witnessing very good traction in terms of residential sales mainly led by robust demand of ready to move in inventory and faster conversion . We achieved an overall sale of Rs. 466 crores in FY 23. Collection in Q4 FY23 was at Rs. 115 crores and for FY23 was Rs. 369 crores.

Wanted to talk about our key acquisitions , which are covered on pages #50 and #51 . We acquired a n approx. seve n-acre land parcel in Surat at a cost of ~Rs. 501 crore s during December 2022 , to build a retail development of about 1 million square feet . We await

environmental clearance to begin construction at this site . Currently the clearance is in the final stage of approval .

We have also forayed into warehousing through a purchase of ~ 33-acre land parcel in So hna, NCR at a cost of ~Rs. 54 crores , where currently appointment of consultants for various work streams is undergoing. During February 2023, we purchased the land parcel in prime locality of Alipore, Kolkata at ~Rs. 414 crores to build an exclusive luxury residential development with a gross saleable area of about a million square feet.

I would draw your attention to Page #53 onwards for our financial results. Some of the key highlights of our consolidated financial performance are as follows. I ncome from operations for Q4 FY23 is at Rs. 729 crore s, up 47% year -on-year and up 83% over Q4 FY20. I ncome from operations at Rs. 2,638 crores for FY 23 up 78% year -on-year and up 36% compared to FY20. EBITDA for Q4 FY23 was at Rs. 431 crores , up 79% year -on-year and up 111% over Q4 FY20. EBITDA at Rs. 1,519 crores for FY 22 up 10 7% year -on-year and up 57 % compared to FY 20. Report PAT after minority interest and after comprehensive income for Q4 FY23 at Rs. 244 crores and at Rs. 1,318 crores for FY23.

Moving on to cash flows , debt and liquidity positions covered from Page # 59 onwards. For FY23 we generated about Rs. 1,770 crores of net cash from operating activit ies. Our operating free cash flow (post reduction of interest) stood at about Rs. 1,403 crores vis- à-vis Rs. 501 crore s for

FY22 . Talking about the debt which is covered on Page #62, consolidated gross debt which stood at Rs. 4,037 crores as on March 31 , 2023, showed a decrease of Rs. 535 crores since March 2020. As Phoenix Citadel, P alladium Ahmedabad became operational , the debt has moved to operational assets, as a result of which our under -constructio n portfolio has witnessed a decrease in debt this year . Average cost of borrowing is up by 33 basis points to 8.74% in March 2023, from 8.41% in December 20 22 and currently our lowest cost of borrowing stands at 7.45%. Despite RBI increasing rates by 250 bps since March 2022 our borrowing cost has gone up only by 14 4 bps so far. As the overall interest rate s in the economy start to rise , our efforts will be to minimize the impact of this on our cost of borrowing by reducing the spreads charged by the banks on top of the repo rate. Further with our under -constructio n assets becoming operation al we expect some savings in interest rate s as we refinance and convert the construction finance loans to LRD-backed loans.

Covering liquidity on Page #64. Our liquidity position as on 31st March 2023 was Rs. 1,755 crores . This excludes the amount remaining in unutilized OD accounts. At group level our net debt is Rs. 2,282 crores and PML's share of net debt is Rs. 1,780 crores . We saw credit rating upgrades/ revision in outlook across many of our assets in the last 1 2 months. We continue to make good progress on all under -constructio n assets. During FY23 we spent close to Rs. 1,400 crores in capital expenditure. We are bullish on our business prospects and with a strong balance sheet position, our focus is now to deliver on our under -constructio n portfolio in time and judiciously deploy our capital to expand our portfolio . With this, we would like to

close our opening remarks, and we'll open the c all for an interactive question -and- answer session. Thank you.

Modera tor: Thank you. We will now begin the question -and- answer session. We have Mr. Parikshit Kandpal . Please go ahead.

Parikshit Kandpal : So, n ow retail is on autopilot , most of the malls we have already delivered besides the rest of the two and the under -constructio n portfolio. So, my question is more on the office side.

Now the densification of malls , so how do we see the journey of office over the next two - three years so if you can just explain, what areas will get delivered over the next two years and how is the rental ramp up going to happen in that portfolio ?

Shishir Shrivastava : So, presently we have about 2 million square feet of office space which is operational, and this number is going to move up to about 7.2 million square feet by the end o f FY26 /early FY27. Out of this , ~1 million square feet at Project R ise, Mumbai will be the last to commence operations . This year, we are expecting about 800,000 odd square feet of Phoenix Asia Towers at Hebbal , Bangalore becoming operational. This will soon be followed by the office building of about half a million square feet at Chennai and then thereafter we will see the ~1.2 million square feet in Wakad, Pune becoming operational from in FY 25 and rent generati ng from the last quarter of FY25 or early FY 26. This is how the current 2 million square feet will go to about 7.2 million square feet.

Parikshit Kandpal : So, what kind of rentals are we looking in Chennai 0.5 msft, in Wakad 1.2 msft and 0.8 msft in Hebbal .

Shishir Shrivastava : In Hebbal we are looking at , or we have underwritten I would say the model at a lower number of about Rs. 65 per sq. ft. but , the current market trends are indicating a net rent of about Rs. 80 upwards per sq. ft . At Wakad , by FY 25 end/FY26 we expect net rent to be in the range of about Rs. 70 per sq. ft. or slightly higher and at Chennai about Rs. 65 per sq. ft. Project Rise is going to be end of FY 26/early FY27 where, the net rate es

timates are
underwritten at about Rs. 300 per sq. ft. ; but we expect to do better than that because this asset is positioned very differently. So , there are very few buildings of that nature in this neighborhood. We also have an expansion at , I missed talking about the expansion at our existing developmen t at Bangalore i.e., Phoenix Market City on Whitefield R oad. It has a total potential of about 1.2 million square feet of which the first phase is about 0. 5 million square feet, which we expect to be delivered in towards the end of FY 26. We are looking at rentals over there to be in the range of about Rs. 75. per sq. ft. to Rs. 80 per sq. ft. or above that.
Parikshit Kandpal : All these rentals that you discussed are excluding CAM , right?
Shishir Shrivastava : Yes, these are net rentals.

Parikshit Kandpal : Okay, got it. And anyway, we'll take almost one year to lease them out, when you're saying that these ones will come up when they will complete by FY 25, like 1.2 million in Wakad operational from FY 25 so it will have a lease journey of at least on e, one and a half years ?
Shishir Shrivastava : Okay. So, from our current experience, since we are marketing Phoenix Asia Towers in Bangalore, we are seeing good traction and are seeing very good pipeline of demand in that city. We have not yet started marketing the Pune Wakad asset yet because it's still about a year away. But we are seeing strong traction there and the team believes that we should at least have signed out about 7 0% of the leasing in about seven /eight months from getting the OC in Phoenix Asia Towers, Hebbal , Bangalore. It is typically a two and a half to three month fit out period, that one will assume before the rentals start accruing . I would say that the revenu e is going to scale up from the first month that you start leasing out spaces, because it will take two months or three months depending on the size of the office for them to finish their fit-out period. So, it will scale up, let's say from within three mo nths of getting the OC and signing the first lease , you'll start seeing the first rental to start trickling in. And then over the next six -to-eight -month period as we lease 70% you will see revenues scale up.
Parikshit Kandpal : Okay. And just a last question on the residential piece now. So, we have almost 1.3 million square feet yet to be including un -launch ed area in One Bangalore West (OBW) and 1 million in Kolkata. So, in FY24 we will open up new towers in OBW and also exhaust existing inventory i n Bangalore portfolio and what is the time line for Kolkata?
Shishir Shrivastava : So, we have not yet launched One Bangalore West T owers Eight and N ine, and we are also waiting for some clarity on the TDR policy there, before we proceed on that . At Kolkata, we are actively working on the design development at this stage. So , we should assume about eight to nine months for approvals and launch thereafter.
Parikshit Kandpal : Any other land parcels besides Kolkata in the business development pipelines? both for malls and the residential portfolio if you can help us with the business development being currently undertaken?
Shishir Shrivastava : Parikshit , malls unlike what you stated that it’s on auto pilot , it’s not because the operations are set but our focus on growth remains very strong. We continue to look at opportunities in the MMR region , Jaipur, Chandigarh, Hyderabad, NCR, Goa, Nagpur, Vizag etc. amongst some of the markets and we do have a decent pipeline for the mall development. In residential , we are continuing to be extremely selective and it's only in mature markets where we can create a marquee product that we are looking at opportunities.
Moderator: Thank you. Next question comes from the line of Mohit Agarwal from IIFL. Please go ahead.
Mohit Agarwal: My questions are on the retail business. Now , if I look at full yea

r FY23 numbers versus FY 20
on a like -to-like basis your retail EBITDA has grown 22% , the rental growth has been 15% a nd

the consumption growth is about 19%. I am just trying to understand how do we understand these numbers, if you could give some color on that, especially in the context that you've given a guidance right now in the comments that you're guiding for a 12 .5% consumption growth in FY 24. So, could you g ive some indication on what c ould be the rental growth in FY24, base d on what you've achieved in FY 23?
Varun Parwal: Hi Mohit , Varun this side. Let me take the first part of the question which is , how the margins have changed and what has changed in the bu siness in FY23 versus FY20. While we have spoken about footfalls being at about 80% of pre COVID levels, one thing that we have seen is the number of four -wheelers that are coming to the mall has increased , and that has led to an increase in our parking income as well , that coupled with improvement and income for

marketing , events , signages etc., has contributed to an improvement in the EBITDA margins, compared to the overall rental income growth . Secondly, while consumption has grown leaps and bounds during FY 23, we have also undertaken significant churns during the year. If I draw your reference back to Shishir's opening comment in our operational mall portfolio, which was about 7 million square feet before Indore and Ahmedabad became operational , we have undertaken renewals for 1.2 million square feet a nd we have done new deals for 1 million square feet. So that's an aggregate of 2.2 million square feet , so that is roughly 3 0% of our operational mall portfolio that has been renewed with ex isting and new brands during FY 23. The impact of this has been on the trading occupancy. If you see Q1 , we had started off with trading occupancies, which were at about 85% across most malls with the exception of Bangalore, which was at about 90 %, and through the quarters of FY 23 we had seen a 3% to 5% increase in trading occupancy. However, as Shishir also guided in his opening remarks, we still have significant amount of areas that are under active fit outs across malls in Mumbai, Pune, Bangalore and Chennai and we expect our trading occupancies to ramp up to about 93% to 95% level before Diwali 2023. So, this change in trading occupancy should also lead to an improvement in our rental income and it should support growth provide provided that all the brands come on stream as we have currently envisaged . Does that answer your question, Mohit.

Mohit Agarwal: Yes. My second question was that you are guiding for a consumption growth o n like -to-like basis of around 12 .5% for 2024. I'm referring to the Rs. 11,500 crore number that you mentioned. What could be a rental growth, could rental growth exceed the consumption growth in FY 24?

Varun Parwal: So, consumption growth of course is very strong ; rental growth could depend a bit on the areas that come on stream . You will see the benefit in rental growth in the first two quarters of FY 24, because about 3% of our mall area became operational in Q4 FY23 . So, you will have a spillover impact happening in FY 24. At the same time about 3% to 5% of the existing operational retail mall area is projected to become operational before Diwali 2023 period so you will not be able to capture the full year impact on that . So, I would say that rental growth would be in line or near about the consumption growth. But we typica lly would suggest to

look at rental and consumption growth over a three- year CAGR or a five -year CAGR , they tend to converge at that point in time.

Anuraag Srivastava: Yes, Anuraag this side. W e gave a long -term view of our rental growth and consumption yields are increasing year -on-year. The historical trend suggests both of these converge over a longer period of time a nd our usual gui

dance which we give is, that rental growth and consumption growth over a longer period of time would be in mid-teens . So, we're giving 12.5% guidance on consumption for next year , but given the new assets that are coming in, and the ramp up and the renewal of leases , etc., a longer -term trend will be around mid - teens.

Mohit Agarwal: Great. M y second question is on the new malls, which includes the two malls that have started recently and Bangalore/ Pune. How should we look at the trading density, let's say over a 12- month period. So, what I'm trying to understand is Palassio which is today at 95% trading occupancy and Rs. 1,300 kind of trading density a good proxy, or will every mall have a different journey in terms of trading occupancy and trading density?

Anuraag Srivastava : Yes, so we should very soon see Indore ramping up to Rs. 1,000 per square feet trading density. Palladium Ahmedabad, because slightly premium and the area is smaller as well with lesser F &B, etc., there we are expecting a trading density between Rs. 1,200 to Rs. 1,300 range per sq. ft . The two new malls, we would wait to open up the mall s and see the initial experience or initial retailer performance and then comment on that. But it should be in line with our existing m alls in Pune and Bangalore.

Moderator: Thank you. Next question comes from the line of Pritesh S heth from Motilal Oswal Financial Services Limited . Please go ahead.

Pritesh Sheth: Just continuing on the new mall trading occupancy, what is the current leasing status right now, and how much time we should take to ramp up to 85 %-90% kind of trading occupancy for the two new malls and if you can just refresh the timeline for us. So, Bangalore should be this quarter a nd Pune should be next quarter is it right to assume?

Anuraag Srivastava : So, first of all on the operational dates of these malls, so Ba ngalore mall has received the OC recently, in the last couple of days . Now it's just a question of timing the launch and opening the doors to public, depending on the fit outs the availability of people , the shopping season etc. We expect this to be openin g either at the end of this quarter or early next quarter, so roughly around July is what we are targeting. For Wakad , the O C is yet to be received w e are looking at August as the opening of the mall . And this we will take into account some theory of monsoon is over and timing in August. In terms of the ramp up of trading occupancies your question around that , as we've seen in Indore and in Ahmedabad as well , the trading occupancy to reach about let say in higher 80s or early 90s i t takes about usually eight to nine months to get over there from the launch. We usually open somewhere between 50 and 60

of trading occupancy and then by seven to nine months or eight to nine months the mall should be in the late 80s or early 90s . Those were your questions, or did I miss anything ?
Pritesh Sheth: No, that was my first question. And second on, very healthy margin performance this quarter on our portfolio and that you have been highlighting since last couple of quarters as well as that as and when our trading occupancy increases, we see an uptick in margin. Still, we are like 3% to 5% probably away from fully ramping up. What should we assume as or look at these stabilized EBITDA margin for the portfolio . Right now, probably on an average if the asset is at 100% of rental income, but how should we see it going forward once during occupancy ramp ups ?
Anuraag Srivastava : So, trading occupancy ramp up is just one of the factors of margin improvement as you're seeing in the financials. Couple of other factors which contribute to margin improvement, one is that residential sales are picking up a nd our premium offering in Kessaku is doing very well now in terms of sales, as compared to earlier quarters there is more number of units t

hat
have been picked up. Also , we have taken a price increase, so that is contributing to some extent, in terms of the margin uptick. In the hospitality business , we are maintaining a very good room rate at The St. Regis , Mumbai , which has caused the margin uptick and w e are seeing a n operating margin of 50% at this property and we expect to continue with that. Yes, of course you mentioned about the trading occupancy going up and taking to the sale margin . So, these are the trends, and we hope to continue on these trend s.
Moderator: Thank you. Next question comes from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: My first question was on your Slide # 32, where you have given trading density for FY2 3 and FY22, if I look at the growth in the trading density, across asset s, it has been in the range of about 30 % to 40% i n some assets like Pune and Kurla it's been a lot more. But when I look at the average rental per square feet per month growth, it's obviously like much lower than that. So how should we look at this number going ahead in terms of , will the average rentals catch up with the trading density performance that we are seeing?
Varun Parwal : Kunal, directionally we would say yes, what has happened in FY 23 has also been that the recovery has been much faster than what anyone was anticipating. And that has led to significant improvement in trading density in say Bangalore , which had a trading density off about Rs. 2,100 or Pune as well, they have higher than what one might have expected, had you asked this question in FY 22. And partly , because of this we have also ramped up the renewals and the churns of brand mix at the se centers because to support a higher trading actually one does need newer categories for e.g. we have introduced more, family entertainment centers and better F&B offerings and also brought in bridge- to-luxury brands at some of these centers and those changes are extensively underway. If we were to just look at Kurla , we have opened the new Daiso store which is the first in India, we have re -open ed Reliance Smart Bazaar which is spread over a massive 80,000 square feet , we have opened

new FEC centers and going forward in FY 24, you will see significant offerings as far as F&B is concerned. We are fu rther strengthening the entertainment piece and we are also bringing in newer anchors like Uniqlo etc., which will open up in the second half of this financial year in centers like Kurla . So, there is a full change and a revamp of the brand mix which is un derway, and you will see these changes happening and like Anuraag had also mentioned in response to an earlier question, rent over a period of time will catch up with the consumption growth . So, take it on a longer three - year and five-year horizon .
Kunal Lakhan: Sure. My second question is naturally conflicting with my first one, Shishir you give a guidance of about 12.5% same store consumption growth for stabiliz e malls . But when I look at our trading occupancy, there is obviously like 5% to 6% c atch up t hat would happen based on the lease occupancy, which will happen this year. So, of this 12.5%, 5% to 6% will come because of the trading occupancy catch up and then there is inflationary growth of let say 5%, 6% or 6%, 7%. So, essentially are we saying tha t the trading density growth for the stabilized assets will be inflationary in nature?
Anuraag Srivastava: Kunal, this is Anuraag here. Just to do the math, the number which you are talking about trading occupancy that will only be for part year , or it's n ot that on the growth will come, for whole of the years, so it wil l come in stages and we expect that the annualized impact of this will be about three months or so and balance is the normal growth which is there.
Kunal Lakhan: Okay . So basically, like your trading density growth going ahead could

be about 8% to 10%,
that would make sense?

Anuraag Srivastava: Yes, roughly .

Moderator: Thank you. Next question comes from the line of DSP M utual Fund. Please go ahead.

Kunal: Hi, sir t his is Kunal from DSP Mutual Fund. So, my question was more on the competitive landscape and that to o in the non -metro cities. So are you seeing any sort of consolidation happening in the favor of large players like yourself o r is the market size large enough to take care of the existing as well as upcoming supply i f any . So that was my first question. And second question was in terms of , do you plan to raise any debt in the current year through capital markets if you can just provide something on that, that's it.

Anuraag Srivastava : Thanks for your question. F irstly, on the competitive landscape, the way we look at our strategy is that when we enter a city or a town , we want to be the dominant consumption center in that city . Our offering , as you would have seen in our pro ducts, in our malls , etc., is quite different i n terms of what the competition offers. We spend a lot of time on making it a grand affair , and we try and make it as not only the shopping hub, or the shopping center for the city, but also an event center an d a play center and a place where families can hang around for a full day and still not be able to cover the mall or do justice to the mall as they go

along. We are not seeing any consolidation ; in fact the competitive activity is not much in terms of esp ecially the opening of new malls across the country, there are very few players if at all any who are entering into this a nd definitely not at the size and scale and number of the malls which we are targeting. We have many new retailers, first time brands , etc., which enter into the city w hen we open up a mall. So, for example, our Indore mall had about 100 + new brands which came in the city for the first and also 30% of the stores were local stores, of the local businesses as well. So that also gives it a unique flavor. Similarly, in Ahmedabad we opened with more than 35 luxury stores and over 50 new brands, again entering the city of Ahmedabad, while a city like Ahmedabad had a few m alls spread across. So, as I said, we try and create a differentiated pro duct , we've not seen much of the competitive activity across, especially in terms of opening new malls, while there may be mergers and acquisition activity happening or other such activity happening in the malls. On your second question of debt from capital markets, you're referring to bonds , et cetera . We have not raised money on bonds up till now largely because we have a very efficient cost of borrowing in terms of the lease rental discounting model . We tend to fund the construction of our assets, the land acquisition and the approvals on equity ; and only when we have a line of sight available for opening of the mall in let's say, next six to nine months t hat's the time when we start looking at the borrowing on that asset. Our philosophy is that our assets should support themselves in terms of the debt. There should not be any clause subsidiz ation and only operating malls , etc., should have a debt, we don't find the bond structure the borrowings from capital markets very attractive at the moment. But yes, we keep on evaluating and at the right time, if the right product is available, we will look to raise money on that. T here are no definite plans of raising significant amount of debt at the moment .

Moderator: Next question comes from the line of Pulkit Patni from Goldman Sachs . Please go ahead.

Pulkit Patni: Just one on multiplexes. Now, we've heard recently the largest multiplex company in the country talking about closing 50 screens and I know those could be in locations otherwise. But my broader question is, even if you look at multiplexe s globally, as a percentage of revenue, their renta

ls happen to be much lower than what they pay in India. So, given the uncertainty around that particular business right now growth, how should we look at multip lexes being significant tenant for us, and in many cases an anchor tenant ?

Varun Parwal: Hi Pulkit, Varun this side. Thanks for the question. Multiplexes are at quite an interesting juncture at this point in time . We have seen people coming back for conten t, when provided and packaged in the right manner, whether it was release of the movie Pathan or some of the recent Hollywood releases, or like we have been doing screenings of IPL matches in our courtyard, or even musical events. So, entertainment as a ca tegory is here to stay and it is something that gets people out of their houses, every week provided the right event is there . We have seen some encouraging responses in the multiplex category as well ; content of course is king, but they have also worked on improving and expanding beyond movies and becoming a one stop destination in itself by bringing in celebrity chefs to curate the F &B

menu as well and they are better place d to talk about what are the initiatives that they are taking . We definitely do see that when we are opening a destination mall in any particular city, multiplexes help us get the right audience as well and we are also not opening run of the mill multiplexes , we are opening the megap lexes, we are opening the biggest screens in that particular city with the best decor and the best F &B options as well. So, it is as much as a n event , not just a movie but seeing the multiplex es itself there is as much as an event for the consumer s of that particular city.

Pulkit Patni: Maybe if I could just follow up Varun on that. So, for the three new malls , Ahmedabad, Indore multiplexes would be what percentage of our total tenant , is it be 15 % to 20% or lesser ?
Varun Parwal: No. So , in terms of a rea it's typically 8% to 9% . In Indore, an INOX has already opened up with eight screens. I n Ahmedabad, PVR will open up soon, they are under fit outs at this point in time and we are looking at about nine screens there ; and Pune /Bangalore would be larger . But in terms of area, we typically benchmark to 8% to 9% of area for the mall towards multiplexes .
Moderator: Thank you. Next question comes from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Just going back on the consumption gui dance that you gave, is possible to break down what is the same store or same mall consumption growth guidance that we are looking for FY23 , so same area operating into n ew year, excluding Indore and Ahmedabad. What should be the consumption growth there, on those accounts ?
Varun Parwal: Puneet, if we were to exclude Indore and Ahmedabad from FY 23 our consumption would come at say about Rs. 9,000 crores from the operational assets and this is going to , about Rs. 10,300 to 10,500 crores.
Puneet Gulati: Rs. 1,200 crores was for Ahmedabad, but you are not counting in this .
Varun Parwal: No, Indore and Ahmedabad combined let me clarify.
Puneet Gulati: Yes, so Indore and Ahmedabad combined Rs. 1,200 crores and you are not counting in your guidance anything from the new Pune and Bangalore mall?
Varun Parwal: No, not yet.
Puneet Gulati: Okay, got it t hat's very clear now , thank you. Secondly, on your office occupancy w hat is your strategy , you have about 1.2 million square feet both in Pune and Bangalore yet to lea se. What kind of tenants are you looking for a nd are you looking for more smaller spaces or more bigger spaces k ind of tenants?
Varun Parwal: Sorry, so is this you are referring to our offices?

Puneet Gulati: Office.
Varun Parwal: The demand in each micro market is different. In Bangalore, the demand is for larger office spaces, there are tenants who are looking at occupying an entire tower or even t

wo towers , and their requirement s would range from 100,000 square feet going upwards to one even two million square feet from a single tenant . In Pune, the demands are more in the range of 100,000 to 200,000 square feet from both Indian corporates as well as multinational clientele.
Puneet Gulati: Okay. And is it still possible to lease out the entire tower give n that somebody who will take the entire tower would want it to be built to suit , which is not going to be possible now right?
Management: We have internally debated whether we should lease out entire tower s to a single tenant , they don't have a built to suit requirement . But we do feel that our dependence on that one client for the next eight - or nine- years lease out becomes ver y significant.
Puneet Gulati: Understood. Lastly, on trading occupancy for your malls , do you think the trading occupancy has l argely been in line with wha t you would have thought for FY 23, I thought the trading occupancy growth was slightly slower than and has been much lower than the lease d occupancy for the entire of FY20 ?
Varun Parwal: On a lighter note, we have had to rework on some of our targets because of the consumption growth that we have seen. And actually, work on re -looking at the brand mix and the category mix in some of the mall s due to the very strong pace of consumption and the demand from the retailers that has come in.
Puneet Gulati: Okay . So, trading occupancy should reach lease occupancy by Diwali this year now?
Varun Parwal: Yes. W e do keep some m argin for churning out the retailers and w hat we alluded to even earlier on the call , a 30% consumption growth ha s been very strong , and that creates an opportunity for us to bring in some newer brands and categories. So, we will look at some churn during the year across the malls, and that's why we are keeping the trading occupancy target to about 93 % to 95% , and not taking it up to lease occupancy, because lease occupancy is actually at 98 %, 99% across assets.
Moderator: Thank you. Next question comes from the line of Pritesh Chheda from Lucky I nvestments. Please go ahead.
Pritesh Chheda: Sir, I just have one sm all confusion, in your opening comments y ou mentioned the new mall addition at about 1.1 million square feet. And this is basically Ahmedabad and Indore, and I was looking at my past notes , basically Ahmedabad is about 1.1 and Indore is some 0.7, Indore is one and Ahmedabad is 0.7. So, it should be 1.7 , if these malls coming up in phases ?

Varun Parwal : So, both the malls have come up together. There is no change in the area ; so, Indore has opened up with one million square feet and Ahmedabad has opened up with a n area 750,000 square feet. We will re -check the opening remarks and carry out any corrections if required.

Pritesh Chheda: So, then it should be 2.2 million of operational assets plus 1.7 million of the new right ?
Varun Parwal : No, so what you're referring to is the leasing target. The leasing target only refers to new area that we will lease during FY 23. Some of the new malls have been leased even prior to FY23 . So we are talking only about incremental leasing during FY 23, so for operational malls we renewed or made this new deals was about 2.2 million square feet , and for the upcoming assets, which includes Indore, Ahmedabad, Mall of the Millennium in Pune and Mall of Asia in Hebbal , we have done about one million square feet of new deal s during FY32.
Pritesh Chheda: Okay. But what will slow down in your numbers will actually be the operational plus whatever is this Ahmedabad and Indore which is supposed to come this year right?
Varun Parwal : Yes. The financials will capture only the area that is trading and rent generating. So, at the end of March Indore was about 50% rent generating and Ahmedabad was about 43% rent generating.
Pritesh Chheda: Okay . My seco

nd question is which is the last question can you give me your blended holding in your retail assets. See, I have a separate number that Lower Parel is 100, Chennai and Market City malls are different number but , what will be your blended holding in your malls and what w ill be your blended holding in your retail assets?
Varun Parwal : It will be about 73 to 74%.
Pritesh Chheda: In retail?
Varun Parwal : Yes, in retail .
Pritesh Chheda: And in office?
Varun Parwal : In offices it would be about 60% .
Moderator: Next question comes from the line of Pritesh Sheth from Motilal Oswal Financial Services Limited . Please go ahead.
Pritesh Sheth: So, first question is on what is the pending CAPEX in ongoing retail assets and ongoing office s we are going to complete over the next couple of years , and what is our CAPEX target for this year?

Anuraag Srivastava : So, the pending CAPEX across all our assets which are under construction is about Rs. 4,650 crores which covers all the assets of retail , office, etc. Our capex spend is between Rs. 2,000 to Rs. 2,300 crores every year and we expect to do the same for FY 24 as well. That is the same amount of capex we spent.
Pritesh Sheth: Rs. 2,300 crore every year, this year was lower you also include land investments as well in this?
Anuraag S rivastava : No, so close to about Rs. 1,400 - Rs. 1,500 crores is on the actual capex and balance is on the land acquisition .
Pritesh Sheth: Correct, okay got it. And second just an existing leasing status at Bangalore and Pune malls which are coming up , how much you have reached?
Anuraag Srivastava : Both the assets are in 90% range as far as status is concerned . And this is of retail, of course office as we said Bangalore, the c ommercial office s we have started marketing because they are ve ry close to getting the OC for the commercial office building. And this will be launched this year. So, Pune because it’s still a year away , we have made very initial pre- marketing efforts, but not pre- leasing or marketing the property now .
Moderator: Thank you. On behalf of The Phoenix Mills Limited that concludes this conference call. Thanks for joining us . You may now disconnect your lines.

Call: Aug 2023

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August 14, 2023

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated August 09, 2023 , wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30 , 2023 , please find attached herewith the Transc ript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/ investors/FY2024/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

The Phoenix Mills Limited
Q1 FY24 Earnings Conference Call
August 09, 2023
Moderator:
Sh
ishir Shrivastava:Ladies and Gentlemen. Go od d ay and w elcome t o the Q 1 FY24 R esults Conference C all o f the Phoenix M ills L imited.
As a r eminder, a ll participant l ines will be in the listen -only m ode, and there will be an opportunity f or you to a sk questions after t he presentation concludes.
We have with us on the call today the management of the company being represented by Mr. Shishir Shrivastava, Managing Director; Mr. Anura ag Srivastava, Group CFO and Mr. Varun Parwal, Gr oup President, Strategy and Corporate Finance.
Should you need assistance during t he call, please si gnal an operator b y pressing '*' f ollowe d by '0' on your t ouchtone phone. Please note that t his conference is bei ng recorded.
I would now l ike to ha nd the conference over t o Mr. Shishir S hrivastava. T hank y ou and over to you S ir.
Good morning, ladies and gentlemen. We take pleasure in welcoming you all to discuss the operating and financial performance over the 1st Quarter of FY24. We hope you have had a chance to look at the " Results Presentation" shared by us. It has also been uploaded on the stock e xchanges as well as o n our website.

We will no w take you through the key hi ghlights o f the results a nd we w ill refer to re levant slides of t he “Results Presentations” from tim e to tim e.

We s tart with th e “Operational U pdate ” on o ur retail mall portfolio.

Please r efer t o Slide #3 o nwards o f the Results Presentation :

Consumption in Q1 FY24 stood at Rs. 2,574 crore with a growth of approximately 18% over Q1 FY23. If we exclude the contribution from Phoenix Citadel, Indore and Phoenix Palladium, Ahmedabad, which were not operational in the corresponding quarter in the previous year , this growth in consumption would be approximately 9% over Q1 FY23. At Phoenix Palladium, Mumbai , the lifestyle block has been closed for renovation from May 2023 onwards, adjusted for the reduction of consumption from this specific renovation, Q1 FY24 consumption has grown by approximately 10% over Q1 FY23. Consumption was robust across categories in the first quarter. Fashion and accessories up 17% from Q1 FY23. Jewelry has continued its momentum with a 31% growth of over Q1 FY23. Food and beverages up 24% from Q1

FY23,

FEC Multiplex entertainment up 3% from Q1 FY23. This is promising considering the ramp up from new movie releases expected in the running quarter . Gourmet stores and hypermarkets have come back with full recovery of supply chain and clocked 88% growth over consumption in Q1 FY23. Our retail collections stood at Rs. 614 crore for Q1 FY24.

Moving on to Slide # 4 for the month of July 23, consumption stood at approximately Rs. 931 crore demonstrating a growth of 15% over July 22. On a like -to-like basis, adjusted for malls which were not operational in the last year, that is Phoenix Citadel, Indore and Phoenix Palladium Ahmedabad, growth has been approximately 6 %. On a like to like basis adjusted for the renovation of L ifestyle block at Phoenix Palladium Mumbai, the growth in overall like to like consumption was approximately 7% over July 22. Gross r etail collections for the month of July 23 stood at Rs 210 crore. End -of-season sales this year started in June compared to July in the previous year. Also, heavy monsoons in the cities across Maharashtra and in the cities of Ahmedabad, Indore and Bangalore through the entire month of July, impacted weekday and weekend footf alls and consumption, especially in Mumbai. We expect some momentum to come in the remaining months of Q2 FY24 from some factors like i) strong cinema content pipeline in Q2 with encouraging lineup of new releases which will continue from the pickup we saw in July ’ 23, ii) monsoon subsiding , iii) the Independence Day weekend, Rakhi and Onam in August followed by Ganesh Utsav in September.

Please refer to Slides #5 through # 8 for an update on Phoenix Palladium , Ahmedabad. 26
th
February 2023 marked our entry in Gujarat with the launch of Phoenix Palladium , Ahmedabad, slides 6 and 7 depict the images of the mall. We opened the city center to our patrons with a trading occupancy of 32%, which has steadily ramped up to 68% as of July 2023. Trading density in the month of July 2023 remains strong at Rs 1,064 per square foot per month, with new trading units becoming operational. We expect the ramp up in trading occupancy to continue and touch approximately 85% by the end of Q2 FY24. The mall is currently leased at approximately 95%.

Moving on to slides 9 through 11 for an update on Phoenix Citadel, Indore. Phoenix Citadel , Indore, which is the first retail asset in India to have received the IFC EDGE Advanced Certification was opened to our patrons on 1st December 2022. Trading occupancy at this c ity center location has shown a steady ramp up and now stands at approximately 87% in July 2023 versus 42% at the time of launch in December 2022. We have seen excitement picking up at Phoeni x Citadel, Indore, with new stores opening in Q1 FY24 such as Clicktra , One E xchange, Reliance Digital, Cr oma, Smart Bazaar, Under Armour, Senco Diamond s, Malabar, Inspire which is an Apple reseller , and f ood and beverage outlets such as Pizza Hut, Z ero Degree and P lated. We are also going to see further see addition of some gastropubs and F&B options in the coming months to enhance the offering.

May I draw your attention to Slide # 12 onwards for an update on our upcoming assets. Mall of the Millennium at Wakad, Pune is on track to commence operations by Q2 FY24 and currently

has over 190 stores which is approximately 700,000 square feet which is under fit out. The construction work at Millennium Towers, the commercial offices integrated with the mall at this mixed -use development is progressing well and these offices are set for launch in FY25. At Phoenix Mall of Asia, located in Hebbal, Bangalore, we have received the occupation cer tificate for the retail portion of the development. It currently has over 214 stores under fit out, which translate s to approximately 700,000 square feet. At Phoenix Asia Towers, which are the commercial offices integrated with the Mal

l of Asia mixed- use d evelopment , the lobby and common area finishing and facade work is nearing completion. The first phase of these offices of approximately 800,000 square feet is expected to be operational during the current financial year. At Whitefield, Bangalore, part of our Phoenix Market City mixed -use development, excavation and shoring is progress is in under progress for the expansion which includes commercial offices. We also plan to densify this asset by adding a retail area of about 200,000 square feet and a Grand H yatt Hotel with upto 400 keys. At the commercial offices i ntegrated with Palladium , Chennai we see considerable progress on the project. We have completed slabs up to the first two floors of the office building and are seeing expeditious progress. At Project Rise at L ower Parel Mumbai forming part of Phoenix Palladium mixed-use development , all our requisite a pprovals are secured, and construction has progressed. At our retail project at Kolkata, we have completed the excavation and is moving on to the next stage of construction. For our retail project in Surat, we are at the final stages of approval and building plans have been submitted. Consultants for the various work streams have been onboarded and design development is progressing swiftly. We have received the height and ULC clearance as well and fencing work is also complete for our luxury residential project at Alipore . For our warehousing development at So hna NCR, we have received all the NOCs including the road access permission, land development work at site has commenced and consultants across various work streams are finalizing the design development and working drawings.

We now move to the financial performance of our retail mall portfolio and I draw your attention from Slide 26 onwards. In line with consumption, our retail rental income and EBITDA growth has also demonstrated a steady increase. For Q1 FY24, the retail rental income was Rs. 377 crore, up 17% compared to Q1 FY23. With incre asing operational efficiency, retail EBITDA for this quarter grew by 19% and was at Rs. 387 crore compared to Q1 FY23 . I now request Anura ag to take you through the Commercial Office s, Hotel and R esidential section and the overall financial results.

Anura ag Srivastava: Thank you, S hishir. Good afternoon, everyone. I will draw your attention to Slide # 30 to 32 for an update on our commercial offices portfolio . Our commercial office portfolio continues to see strength in leasing traction with gross leasing of about 1.76 lakh square feet during the period from April to July 23, of which about 0. 88 lakh square feet were new leases and about 0.87 lakh square feet were renewals. The w eighted average effective net rental for the portfolio stands at about Rs. 90 per square per month. The total income from the commercial office portfolio for Q1 FY24 stood at Rs. 45 crores with EBITDA at about Rs. 26 crores,

demonstrati ng a growth of about 11% over Q1 FY23 . Collections for the quarter, including taxes were approximately Rs. 51 crores.

Moving on to update on the hospitality segment, please refer Slide # 33 to 39. At The St. Regis, Mumbai , the performance for Q1 FY24 was l ed by occupancy for the quarter at 82% with ARR at about Rs. 16,500, which was up 38% from Q1 FY23 . ARR for the month of July 2023 stood at Rs. 14,191, up 29% from July 20 22. The total income for Q1 FY24 stood at Rs. 112 crores, up 34% over Q1 FY23. EBITDA for the quarter stood at Rs. 48 crores, demonstrating improved efficiency with the growth of over 50% over Q1 FY23 . With programming of events in the coming quarters and update of various venues, we are hoping for continued momentum for this m arquee asset. A t our hotel in Agra , Courtyard by Marriott, total income for Q1 FY24 was at about Rs. 11 crores up 33% from Q1 FY23, driven by occupancy at 72% and ARR Rs. at 4,408 showing a growth of a

bout 18% over Q1 FY23 .

Moving on to our residential business which is on Slide # 41. Sales in the quarter stood at about Rs. 135 crores and collections were Rs. 136 crores. Revenue recognized for Q1 FY24 was Rs. 106 crores. This traction of demand in our luxury residential projects in Bangalore continued in July 2023 with sales of Rs. 94 crores , taking the April to July, year -to-date number to about Rs. 229 crores.

Moving on to financial results, please refer to slides 42 onwards. Some of the key highlights of our consolidated financial performance as presented on Slide # 44 are as follows. Income from operations for Q1 FY24 stood at Rs. 811 crores, up 41% over Q1 FY2 3. EBITDA for Q1 FY24 at Rs. 492 crores, up 52% over Q1 FY23. Reported profit after tax after minority interest and after comprehensive income for Q1 FY24 at Rs 241 crores.

Moving on to the cash flows, debt and liquidity position, which is in Slide # 45 on wards. In Q1 FY24, we generated about Rs. 545 crores of net cash from operating activities and our operating free cash flow adjusted for interest outflow stood at about Rs. 450 crores vis-a-vis Rs. 254 crores in Q1 FY23 last year and Rs. 492 crores in Q4 F Y23. During Q1 FY24, we continue to fund development of our assets and spent over Rs. 344 crore s in capital expenditure.

Debt on Slide # 48 onwards . Consolidated gross debt , which stood at about Rs. 4,050 crores as on 30th June 2023 showed a remarkable decrease of Rs. 523 crores since March 2020, which was the pr e-COVID period. We borrowed approximately Rs. 73 crores for last mile funding of construction of our upcoming malls in Wakad , Pune and Hebbal, Bangalore. These facilities w ill be converted to lease rental discounting facilities after the start of operation within this financial year for optimizing the leverage position over these assets. During the same period, we have repaid approximately Rs. 60 crores of our outstanding debt on the operational portfolio. Average cost of borrowing is up 13 basis points to 8.87 % in June 2023 from 8.74% in March 2023. C urrently our lowest cost of borrowing stands at about 8.5%. However, with loan refinance underway at Indore and Ahmedabad, we expect our borrowing rates to reduce in Q3

FY24 onwards. Credit ratings of several facilities have been upgraded by one or two notches, and now all of our facilities are rated between A minus Stable to AA minus S table.

Our l iquidity is outlined in Slide # 50. Our liquidity position as on 30th June 2023 was Rs. 1,873 crores. This excludes the amount remaining in unutilized OD accounts. At a group level, our net debt is about Rs. 2,177 crores and PML share of net debt is Rs . 1,629 crores. We are bullish on our business prospects and with a strong balance sheet position, o ur focus is now to deliver our under -construction projects in time and judiciously deploy our capital to expand our portfolio. With this, we would close our opening remarks and we open the c all for an interactive question and answer session. Thank you.

Moderator: Thank you very much. We will now begin the question- and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is fro m the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Thank you so much and c ongrats on good numbers. My first question is on your guidance where you indicated last time that you're looking at, you know, double digit growth on the consumpt ion side and rental side on a like to like basis. How happy are you with what you are seeing right now? Especially in the context that even if you look at broad numbers , the trading area seems to have gone up by almost 28%, while your rentals have gone up by 17% or and consumption by similar numbers how should we think about the consumption growth and rental growth now?

Shishir Shrivastava: Hi, Puneet . Thank you for yo

ur question. I would say that our goal continues to remain the same ; to drive double digit consumption growth, so we are a chieving that in a combination of addition of new assets and the same mall consumption growth. Y es, we would say that if you just look at it on a like to like basis and seeing this approximate 7% g rowth compared to the same quarter in the last year, but it is also important to understand that last year we had seen a substantial growth in the month of July which was the post COVID period and I think at that time the concern everybody had was that is this level of consumpt ion sustainable or is this as a result of revenge shopping or otherwise? I think the consumers have shown resilience , you continue to see a 7% growth and we hope that with the additions and the changes and the upgrades that we are making across all our ass ets we are going to continue to see this inch upwards again toward double digit growth. The trading occupancies across our malls will be at 95% or more by Q3. We are expecting that and then of course we have Mall of Asia, Bangalore and Mall of the Millenni um at Pune, which will also open up in Q3, which will further add to that consumption growth. T oday in four months, we have seen a consumption growth of about Rs. 3,500 odd crore and I think that should be certainly sustainable and of course we are now heading into a high consumption season in the month of August through November, December, Jan uary and even Feb ruary .

Puneet Gulati: Would it be a r ight observation that so far we have seen the consumption growth being attributed only to the increase in tra ding area growth.

Shishir Shrivastava: I don't think it is mainly because of that I think there is an inherent increase in consumption compared to last year even for the same stores when we compare same store sales growth across the mall and as we have explained in the growth contributors across categories during my opening remarks and if you like, we can recap that we are seeing same category, same store sales growth also increasing you know and contributing to the overall growth plus there is some impact on account of the like as we have illustrated for Phoenix Palladium, Mumbai closure of Lifestyle has certainly impacted consumption, b ut when we adjust it from on like to like basis we do not adjust what is the secondary impact right because visitors who go to the L ifestyle store also visit other parts of the mall.

Puneet Gulati: Right, understood and secondly, can you comment upon what are you seeing on the leasing for your upcoming office spaces and what is the timeline that you are expecting in terms of leasing those office spaces as well as the c ommission over the upcoming year .

Shishir Shrivastava: So, the approximately 800,000 square feet of offices that will go live this year at the Mall of Asia Development , we are expecting to find ourselves executing our first deal in the next few weeks in fact . We are waiting for the part OC for that building to come through before we can go ahead and execute. There is a strong line up in fact, the pipeline that we built was close to about I would say about 2 million square feet of pipeline that was built and we are seeing demand for front office coming back and I think there is a lot of curiosity and interest for people for existing tenants at other office buildings where their tenure is coming to an end to move. So, there is a lot of interest for the new development for sure, but I think we should have this conversation perhaps in the next quarter when we will be able to report some deals that we have done.

Puneet Gulati : That's helpful. Thank you so much. I will come back in the queue.

Shishir Shrivastava: Thank you, Puneet.

Moderator: Thank you. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Hi, thanks for the op

portunity and c ongrats on great numb ers. First is on margin where I think since last 2- 3 quarters we have been ramping that up quarter on quarter. N ow as you said, I mean trading occupancy, which is probably at 89 %-90% across the mall portfolio right now, which will go up to 95% in the next couple of quarters. How should we think the trajectory of margins from here on.

Anuraa g Srivas tava: Yeah, Anura ag, this side, I think margin improvement, as you rightly said, some of it is related to a strong operating performance and a significant increase in terms of people visiting through their vehicles etc . So, parking and other services like even t marketing , event signage, etc , they are all adding to the margins. The other important part is with improving the trading densities, the common area gets apportioned over a lot of operating stores. So, that increases the margin. I think we are moving towards once we hit a 90 to 95% of trading occupanc y and that is where the true margin trajectory will go and after that it will be linked to I think specific operating performance. Right now, EBITDA is at about 102 to 104% of rental income and I think this is a sustainable margin even for the new malls w hich we are constructing.

T

he second part of this is on the hotels where I think the strong ARRs you have se en the ARR are increasing significantly in both, The St. Regis, Mumbai and in Courtyard by Mariott Agra. So, that sort of increases the hotel margin over last year. So, over the same cost base we are able to increase our profitability. Offices occupancies have picked up I think we have seen net addition in the rented space in office. So, there again the ap portion ment of common areas etc . is giving us better margin.

Pritesh Sheth: So, another maybe 100-200 basis point increase in this is possible because of share coming from the trading occupancy growth?

Anuraag Srivas tava: I think we will. Yes, we can say that the numbers though, I don't have the exact numbers mapped out , but I think that seems to be the trend. B etween 102 to 104 is what we have said is where this will stabilize and we will see organic growth afterwards.

P

ritesh Sheth: Sure, got it. That was helpful and Ahmedabad this quarter contributed really -high in terms of, rental income. Rentals are also 150. Was there some unusual I mean maybe some p revious months rents getting accrued now, because stores are opening up, how should I look at it?

Varun Parwal: Hi Pritesh , Varun this side. So, I think one thing you should consider is that Ahmedabad is a premium and a luxury development compared to Indore. So at Indore the average rentals would stabilize in the range of 87 to 90 rupees, whereas at Ahmedabad rentals would stabilize at a range of Rs. 145 p lus. So we did see trading occupancy going up sharply during this quarter and we expect Ahmedabad to continue ramping up over the next 2 -3 quarters as well s uch that by Q4 it would be at 92% and above of trading occupancy. While it is a smaller sized asset than Indore, Ahmedabad is only 750,000 square feet of GLA compared to Indore, which is a million square feet , the average rent at Ahmedabad is much h igher than at Indore and hence it can and it will contribute more in rental income compared to say in Indore.

Pritesh Sheth: So, basically, nothing unusual about this quarter, this is how we should look at in terms of rentals per square feet and rental contribution coming from Ahmedabad, right?

Varun Parwal: Yes.

Pritesh Sheth: Okay that answers my question. Thank you for answering. A ll the best.

Moderator : Thank you. The next question i s from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Hi, good afternoon. So, firstly, just to follow up on an earlier question. So, once like say trading occupancy stabilizes at say 95% from Q3 onwards, what kind of same store consumpt

ion growth woul d you expect?

Shishir Shrivastava: Wow, Kunal, that is a tough question to answer like this, I would just say historically we have always seen 10 -12% same store sales growth we are hopeful that we will be in that early teens, early 2 digit growth.

Kunal Lakhan: Sure, sure. Okay . Just coming to the rentals right now, we have seen that in the last one year or so like no rentals increasing by say anywhere between say 4 to 6%, average rental y-o-y. Is this something that one should like expect going ahead? Al so, I am talking about average mall rental.

Shishir Shrivastava: That w ould be a fair assumption, I would say. But let's also see that there will be some impact on account of the retailer mix change, so for ongoing contracts, etc. that would be a fair assumption i.e. 6-7% would be fair . But with the change in retailer mix that the base will increase initially y ou know our model how the minimum guarantee in the first few years is much higher than the revenue share component kicks in and takes the overall rental even higher. So, we expect to see some changes on account of that and we have quite a few good brands coming in. In Ku rla, we are opening Armani, we are opening Tim Hortons, Blue Tokai and of course, Uniqlo in October. There are similar brand mix changes that are being undertaken at Pune and Bangalore as well.

Kunal Lakhan: But like when I try to correlate this at 10 to 12% same store growth and then you know 6 to 7% average rental growth, I mean even if there is even if there is a revenue share kickin g in technically right and long term right your average mall rental growth should kind of like f all in line with your consumption growth, right? Like the way you work out your r esets, right? So, is there some disconnect there? Like no.

Shishir Shrivastava: See we have had as you are aware, we have had churns in the last year across centers, right? So, when a churn happens, the minimum guarantee moves up. So, while same store sales growth has increased, the revenue share component over the increased minimum guarantee on account of these new contracts has just about started kicking in. We have seen that additional contribution of revenue share over MG at K urla that has already happened. We are going to see that at other centers as well. There is a direct correlation, but there is a trailing effect because at the start of the contract the MG is high. As the trading density of that store picks up, that's when the revenue share component goes beyond the minimum guarantee and the contribution starts moving up.

Kunal Lakhan: Sure, sure. My last question was on the on the debt side. We are generating enough OCF, which is funding our interest as well as our CAPEX . Would this be the peak debt level, you think with the kind o f OCF that we are generating and plus the ne w malls kicking in from this year onwards. Will this be the peak debt you think.

Anuraa g Srivastava: I mean peak debt in what period of time is the question? I think as we add more malls etc. , while as I mean we have stated in past many times that our s trategy is that we do not borrow on a n under construction asset unless there is a line of sight available for opening the asset, which usually comes in between 6 to 9 months. O nce the asset is operationalized, we would like to borrow on that asset because it gives us various advantages. It releases the capital for further deployment and we have I mean while we are very robust operational cash flows as well, but we would like to release our equity in some projects to deploy in new projects and as long as the as the operational asset supports that debt, we are fine to borrow within conservative limits. So, I don't think this will be a peak level of debt. We may add L RD debt in few of our assets.

Sh
ishir Shrivastava: Sure, if I may add to that, Kunal, yes, I may just add one point to that. See

if you look at our interest cover, it is almost 5x; s o, our EBITDA is almost 5x of the interest cover. We used to be at 3x and now of course we are seeing a high er EBITDA margin, so we are seeing that number and we have also paid down debt. So, there is a lot of elbow room. I think we are going to always use that as a measure of you know how we want to be placed in terms of drawing down further debt and as Anura ag explained, we will be drawing down further debt on operational assets and make sure that we have enough elbow room on account of this interest cover and borrow probably much lower levels of construction finance.

Kunal Lakhan : Got it. Thank you.

Moderator : Thank you. The next question is from the line of Mohit Agarwal from IIFL . Please go ahead.

Mohit Agarwal: Thanks, and good afternoon, everyone. So, my first question is in your opening comments you gave some numbers around the category wise growth, so jewelry, F &B, premium, grocery and hypermarket doing well. How do we connect those numbers with the overall numbers that you reported for July 7%? So, what are the key laggards there if you could give some color on that and are there any post COVID how these categories hav e been doing? Are there any learnings that you want to, are you applying that to the new leasing that you are doing in the u nder - construction m alls.

Shishir Shrivastava: Let me answer the last part of your question first. The learnings have definitely tra nslated in a slight change in the category mix I would say to some extent. But contractually, the business model structure, I don't think that there is any structural change to that. In fact, we are back to where we were pre COVID and neither do our retail er partners expect much of any structural change to the overall contractual terms or the commercials. Your question pertaining to July

23, I think the information is a little raw for the moment, but we have seen, I would say we have seen just give me one moment. Let me try and pull out some information for you. The numbers are little raw , so I would hesitate to try and put percentages in terms of growth across categories. But specifically on entertainment and FEC, when you ask that, I think July numbers are very, very high compared to last year for the month of July, the growth is quite high.

Mohit Agarwal: And just a couple of clarifications of what, what would be the laggard in this month and also you mentioned about the slight change in category mix in new leasing, if you could elaborate on that.

Shishir Shrivastava: For July, I am unable to give you an answer on this on the laggards because I think we will cover it in the next quarter and as I mentioned, the information at this stage is still a little raw.

Mohit Agarwal: Sure.

Shishir Shrivastava: But if you look at Q1 FY24 versus Q1 FY23 you can see that electronics and m ultiplex were up about 2% and 3% approximately here this is where I think we hope to see some growth in this ongoing quarter. In terms of the category mix we have I think this is something that we have you know stated right from 2022 , when we reopened our malls that we have taken fashion up. We have taken jewelry as a category up. We have taken food and beverage as a category up in terms of the overall square foot age. So, fashion and accessories typically are seeing about 55% of the trading area today. Jewelry is still at 1%, but it contributes 11% of consumption. Food and beverages at about 9 to 10% depending on location to location and it c ontributes about 11% of the overall consumption.

Mohit Agarwal: Okay , perfect and my second question is on the business development. So, what is the outlook like there you know and any challenges that you may be facing in terms of availability of land parcels or you know the prices going up very high so you could give some color on t hat as well.

Shishir Shrivastava:

I think we have a very strong pipeline which we should be able to announce, hopefully something in the next quarter , but we do have a strong pipeline across different geographies, different markets in the country. Yes, of course there are challenges in finding clean, clear land with no title issues. Price expectation has moved up , but I think we are still being able to find land parcels which really will fit well within our mandate and our overall return expectations.

Mohit Agarwal: Okay any color on you know what kind of additions you could do this year. Any indicative pipeline?

Shishir Shrivastava: I am sorry , but at this point in time I won't be able to share that information Mohit.

Mohit Agarwal : Sure, sure, that is fine. Thank you so much. Those are my questions.

Moderator : Thank you. The next question is from the line of Biplab Debbarma . Please go ahead.

Biplab: Good afternoon and thank you for taking my call. So, Sir my first question is on the under - construction retail and the under -construction office. So, we have seen that in the past in the retail malls under construction, you are significantly pre-leased much before the mall became operational , whereas for the office we have not started leasing significantly. So, just trying to understand is there any strategy different for office versus mall and I mean intuitively would it not reduce leasing risk si gnificantly if we pre -lease in advance in office?

Shishir Shrivastava: I think the nature of the product is only very different. T ypically in a mall you can when you launch the mall even before you break ground you end up doing some kind of pre- leasing to large anchors which set the tone for the brand, mix etc . and retailers can take a look ahead of four years , because they know their expansion strategy across geographies. In offices, RFPs come out typically, maybe for six months prior to the intended date of occupancy. So, while a building is under construction in very few cases is one able to do a p re-lease unless you do a build to suit requirement which are very few, not too many in numbers. Also in front office spaces, which is what we are building , the sweet spot what we are seeing is in the range of about 30 ,000 to 50,000 square feet in terms of demand. Now that is the kind of demand that comes typically six months prior to the actual need.

Biplab: Okay , that is good a nd, sir what kind of rentals do you expect in this upcoming office spaces like in Whitefield, Hebbal, Waka d and Chennai?

Shishir Shrivastava: See we had under -written our returns or our business plans for Hebbal, which is the office building which is going to become operational in this financial year. We had underwritten that at the range of, if I remember correctly about Rs 65 or 70 per square foot per month (pspm) . We expect to lease higher than that for sure.

Biplab : And what about the other offices in Wakad , Whitefield and Chennai?

Shishir Shrivastava: So, Wakad will also be in the range of ; we expect to outperform the business plan, but we would expect to be in the range of about Rs 80 pspm or thereabouts. Whitefield is a little far out in terms of the project completion.

Biplab : And Chennai?

Shishir Shrivastava: Chennai should be in the range of again Rs 6 5 to 70 pspm i.e. today’s rental in that micromarket.

Biplab: Okay and one final question, just curious to know s ir, when you start looking at a land deal and after preliminary evaluation, you have shortlisted a land based on preliminary information and from there to finally doing that definitive agreement and you closing the deal typically is there a ballpark number , say one year or one and half year or six months? Is there any ballpark number but all it varies from location to significant varies from location to location ?.

Page 12 of 14
Shishir Shrivastava: It varies . I mean if it is a simple, st

raightforward, clear land title without requiring any statutory government al approval, etc. one can complete the transaction and we have done it in the past in three months also. So, when we acquired Hebbal that was concluded in less than three months , but there are typically if there is a government auction then you conclude it between one to two mo nths. If there are transactions which require land use conversion etc. , then the timeline can be anywhere between 6 to 9 months.
Biplab: And what takes most of the time? Is it the title due diligence or negotiations on the valuation or post agreement there are you know?
Shishir Shrivastava: Title due diligence is anywhe re between a 60-to-90-day process a nd like I mentioned, the timeline varies on account of other aspects depending on statutory approvals if any required for transfer of land, land use conversion if it is required.
Biplab: So, mainly approvals ?
Shishir Shrivastava: You may take away from this conversation.
Biplab : Okay s ir. Thank you.
Moderator: The next question is from the line of Ashwini Kumar Agarwalla from Edelweiss Mutual Fund. Please go ahead.
Ashwini Kumar Agarwalla: Good afternoon, s ir. I have got a couple of questions. Can you tell me that the broader inflation is offering the range of 6%, whereas our retail consumption is in the range of 6 to 7%. So, how do we see the value the actual real growth coming in and from this 7% also the jewelry part really did very well and that was aided by a 15% jump in the gold prices. So, how has been the overall footfalls , ticket size purchase per person and do we see real growth coming in?
Shishir Shrivastava: I would say that the foot falls would have, certainly foot falls are back to the pre COVID levels now. T he ticket price has probably, you know been marginally impacted. If your question is, are we going to expect to see consumer spendin g a larger wallet share during their m all visits, I think that that is what we are working on by way of improved category and brand mix and upgraded offering and newer products in our mall. So, that is always the goal to certainly out - beat the inflation an d we have consistently done that for the last 20 years and I think it is just there is no there is no long term impact in our opinion. But it requires probably an upgrade and meeting customer aspirations on newer brands and newer categories.
Ashwini Kumar Agarwalla: Okay and another question, I have got a few questions. So, if you see the last Diwali or the last festival season, we have had a lot of pent -up demand because people did not celebrate the festival for two or three years now this would be a norma l year. So, do you see a real traction coming in this festival ?

Page 13 of 14
Shishir Shrivastava: I would hope so. See again , when last year's performance there was speculation whether it is revenge shopping and pent up demand for the full year that was out, you know, the question that we have, I think this Q1 is giving us the confidence that consumption, while it may not have grown the way we would have liked it to , there is certainly a growth and there is it was not a not an interim spurt of consumption that we saw. T his time Dusshera is in October, Diwali in November, Christmas in December, the celebrations also more spread out. So, logically one would hope that we can get more of the consumer wallet share.
Ashwini Kumar Agarwalla: Okay and so now if I come to the fi nancials, so post COVID, we had a round of price negotiation where we had a significant price increase or the rentals increase. Now , what are t he kind of rental increase s which we expect in the next one year or six months especially from the ongoing current malls .
Shishir Shrivastava: See, I will try and answer this question slightly differently. If you look at rent collection o n consumption, I think that is a good measure to understand where we

are. T his quarter we have been at approximately 14 odd percent. In malls , where consumption continues to grow, trading density continues to grow up higher , you have the ability to push this number even higher. So, for example, at Phoenix Palladium, Mumbai, which is our flagship mall in Bombay where trading density is approximately at about Rs. 3,500 to 3, 800 pspm, there typically the cost of occupancy which is rent on sale can be as high as 17% as well. So, as the mall consumption moves up, you have the ability to take up your rental received b ecause the margins are higher and the retailers can afford to pay that higher rental.
Ashwini Kumar Agarwalla: Apart from
Shishir Shrivastava: I beg your pardon.
Ashwini Kumar Agarwalla: Apart from Palladium in the other malls, because Palladium is quite concentrated.
Shishir Shrivastava: Bangalore this year , if you compare Bangalore's rental growth this year, you will see that Bangalore has really outperformed into in terms of consumption, i n this quarter and our rentals

have started to show an improvement and currently we would approximately see a 9% rental income growth over there.

Ashwini Kumar Agarwalla: Okay s ir. Thanks a lot.

Moderator: Thank you. The next question is from the line of Nimit Gala from Ace Lansdowne. Please go ahead.

Nimit Gala: So, firstly, on the leasing trends, commercial offices leasing trends, I see that the commercial offices leasing has been quite strong in the current quarter. So, would you be able to provide the verticals from where these the tenants are and secondly about the resident ial, I remember

you mentioning in the last quarter about being extremely selective in the residential segment. So, just wanted your thoughts on the expansion plans beyond Bangalore or Kolkata.

Shishir Shrivastava: Okay o n comme rcial leasing, I think you can connect with the team to get a breakdown on which sectors the occupants have come from.

Nimit Gala : Okay .

Shishir Shrivastava: We have seen about 175 ,000 to 176,000 square feet of leasing in this first four months of this financial year. J ust to name a few, I think we have Adani, IndiGo, JSW Steel, Bajaj group in Pune so you can get a detailed list from our IR team on that subject.

Nimit Gala: Sure.

Shishir Shrivastava: In terms of residential, as we mentioned in t he past, we are only looking at, you know, opportunistic situations today where we have the ability to acquire a land parcel in an established market where the established rates are high, so at present we are not actively going out to look at growth in tha t space, b ut we are going to continue to look at opportunities where the returns, expectations are high and in an established and mature residential market.

Nimit Gala : That is helpful. Thank you.

Moderator : Thank you. We will have to take that as the last question. On behalf of The Phoenix Mills Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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November 13 , 2023

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated November 09, 2023 , wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2023 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company’s website and can be accessed at https://www.t hephoenixmills.com/investors/FY2024/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

The Phoenix Mills Limited
Q2 and H1 FY24 Earning s Conference Call
9th November 2023

Moderator: Ladies and Gentlemen, good day and welcome to the Q2 and H1 FY24 results f or the conference call of The Phoenix Mills Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to a sk questions after the presentation concludes. Management of the company is being represented by Mr. Shishir S hrivastava, Managing Director, Mr. Anura ag Srivastava, Group CFO and Mr. Varun Parwal, Group President, Strategy and Corporate F inance.

Should you need assistance during the conference call, please signal an operator by pressing “*” followed by “0” o n your touch tone phone. Please note that this conference is being recorded.

At this time, I would l ike to hand the conference over to Mr. Shishir Shrivastava. Thank you a nd over to you, Sir.

Shishir Shrivastava: Good morning, ladies and gentlemen. We take pleasure in welcoming you all to discuss the operating and financial performance for the second quarter and half year ended September 202 3. We hope that you have had a chance to look at the results presentation shared by us. The same is uploaded on the stock exchanges as well as on our corporate website.

I will now take you through the key highlights of the results with reference to the relevant slides of the results presentation. Over the last 10 months, we were tasked with launching four malls and today we are extremely proud of having delivered these world class experiential developments which set new benchmarks in retail and mall design.

Starting with Phoenix Mall of Asia, Bangalore, if I may draw your attention to Slide 3 onwards , we launc hed this mall on October 27th 2023 with over 440 national and international brands, complete with India's largest intern ational luxury watch cluster, a wide array of entertainment and dining options, complemented with beautiful and captivating interiors and decor. We expect Phoenix Mall of Asia not only to be a luxury destination for Bangalore, but a complete family destination and become the true landmar k retail asset for the entire South of India.

As of October 2023 , the mall was operating with a trading occupancy of approximately 43% and we expec

t this to inch forward towards the

second -half of this financial year. From our experience, the ramp up that we have seen at Phoenix Citadel Indore or Palladium Ahmedabad , we expect Phoenix Mall of Asia to be at a trading occupancy of approximately 75% by March 31, 2024.

Next up is Phoenix Mall of the Millennium at Wakad, Pune y ou may see on slide 7. We launched Phoenix Mall of the Millennium on September 1st, 2023. The mall is home to over 350 national and international brands and an entertainment zone of over 1 lac square feet with various attractions such as a fan park, e ntertainment centers such as Time Zone and Fun City , a 14 screen Inox m ultiplex and over 75 dining options with the food court having a capacity of more than 550 people. Trading occupancy has shown a strong ramp up since launch and stood at 50% in October 2023 versus 44% during Septembe r 2023 with about 177 stores now operational. We expect this trading occupancy to inch up to about 80% by March 2024.

On slide 12, we have Palladium Ahmedabad. This asset, which was launched on 26th February 2023, marke d our entry into Gujarat a nd the trading occupancy again has seen a fast ramp up from 32% at launch in February 2023 to 77% in October 2023. Moving on to slide 13, Phoenix Citadel, Indore w as launched in December 2022. Here again, we have seen the trading occupancy ramp up from 42% at launch to about 90% in October 2023 .

Now on to a quick update on our underdevelopment retail assets. If you may look at slide 1 4 and onwards . At Phoenix Grand Victoria, Kolkata we have received all development permissions. We have also completed the pre-construction activities and currently excavation and foundation work is under progress. Our second retail destination is in Gujarat, at Surat, we expect the construction to commence in Q3 of FY24. At the retail expansion for Phoenix Palladium, Mumbai spanning across retail GLA of approximately 250,000 in the current phase , civil works have reached an advanced stage, and we expect to complete this project by about March of 2024.

Moving on with our retail portfolio performance for Q2 FY24, from slide 17 onwards of the presentation. Consolidated consumption, which represents net sales reported by the retailers at each of our centers , at a portfolio level, for the quarter ended September 2023, stood at Rs. 2,639 crore s with a growth of 20% over the same period last year. To compare this growth on a like to like basis, if we exclude the contribution from the new malls l aunch ed which are Phoenix Citadel , Palladium Ahmedabad and Phoenix Mall of the Millennium and adjust for the impact from closure of the lifestyle store at Phoenix Palladium, Mumbai , the consu mption has grown by about 10% .

Turning to slide 21 onwards for the financial performance of our retail portfolio for the year so far. For Q2 FY24, retail rental income stood at Rs. 392 crores , up 2 5% when compared to Q2 FY23 and 8% on a like to like basis excluding the new malls launch ed. Ret ail EBITDA for this quarter was Rs. 402 crores up 26% compared to Q2 FY23 and up 11% on a like to like basis. For H1 FY24 , retail rental income stood at Rs. 769 crore s, up 21% compared to H1 FY23 and up 6% on a like to like basis excluding the new malls launched. Retail EBITDA for this period was Rs. 789 crore s, up 23% com pared to Q2 FY23 and up 9% on a like-to-like basis.

With the onset of the festive and the winter season now for FY24, we look forward to a fabulous performance in the second half of the year as well.

I now request Anura ag to take you through the office , hotels and residential section and the overall financial results.

Anuraag Srivastava: Thank you, Shishir . Good morning, everyone. Please refer to slide 27 and onwards for an update on commercial offices. Our commercial office portfolio is seeing improving tracti on wi

th gross leasing of over 3 lac square feet in the peri od from April to October 2023 with about 2 lac square feet of new leasing and 1 lac square feet of renewals.

Total income from commercial offices in Q2 FY24 was Rs. 47 crores, up 9% compared to Q2FY23 and total EBITDA stood at Rs. 26 crore s with a growth of about 6% over Q2 FY23. During H1FY 24, income stood at Rs. 91 crores, which was up 9% year on year and EBITDA was Rs. 52 crores, up 7% year on year.

Moving on to an update on the under construction commercial office projects from slide 31 onwards. We are progressing well on our development of the next leg of growth i n commercial offices . At Phoenix Asia Towers, lobby , common area finishing and façade work is underway. The first phase of these offices, which is about 0.8 million square feet , is expected to be operational during the current financial year i.e., FY24.

At Millennium Towers Wakad , slab work is in advanced stages for the office towers. At the Palladium offices at Chennai, we target completion in FY25. We have also received US GBC LEED Pre-Certification with Gold Rating at this asset . For Project Rise, all development permissions have been secured, f oundation work has been completed and basement slab 2 has also been completed. As far as the commercial office component within expansion of our mixed -use asset in Whitefield is concerned , excavation work is nearing completion.

Moving on to the hotel portfolio, from slide 37 onwards, first covering The St. Regis Mumbai, we continue to see significant improvem ent in our performance . ARR in Q2 FY24 was about Rs. 15,040 a nd in H1 FY24, it was

Rs. 15,767. Both showed an increase of 27% and 32% respectively over previous year.

Total income for Q2 FY24 stood at Rs. 102 crores with growth of 20% over Q2 FY23 and at Rs. 213 crores for H1 FY24, up 39% over H1FY 23. With the increase in total income, EBITDA margin ha s also improved to 43% in H1 FY24 compared to 40% in H1 FY23.

At our property in Agra , Courtyard by Marriott , ARR in Q2FY 24 was at Rs. 4,196 and in H1 FY 24 it was Rs. 4,303, both showing an increase of 8% and 13% respectively over the previous year. Total income for Q2FY 24 stood at Rs. 9 crores, up 7% from Q2FY23 and EBITDA was Rs. 1 crore up 7%. Total income for H1 FY24 stood at Rs. 20 crores, up 20% from last year and EBITDA stood at Rs. 3 crores , demonstrating a 19% growth.

Our residential business update is from slide 44 onwards. We continue to witness very good traction in residential sales. We have completed gross residential sales booking of Rs. 495 crores in YTD October 2023 w hich is already higher th an gross sales booking of Rs. 466 crores done in FY23. Same goes for collections, which stood at Rs. 423 crores in YTD October 2023, surpassing t he full year collection of R s. 369 crores seen in FY23.

We have built and delivered about 2.83 million square feet across One Bangalore West and Kessaku, of which we now have only about 5 lac square feet of unsold inventory left . At our under development, premium residential project at Alipore, Kolkata , consultants for various work streams have been on boarded and we ar e in the process of obtaining o ur development permissions.

I would like to now move to financial results from slide 47 onwards. Some of the key highlights of our consolidated financial performance are as follows.

Income from operations for Q2FY24 stood at Rs. 875 crores. This is up 34% year on year and at Rs. 1,686 crores for H1 up 38% year on year. Operating EBITDA for the quarter stood at Rs. 514 crores, up 35% year on year and Rs. 1,006 crores for the first half, u p 43% year on year. Reported PAT after minority interest and after compre hensive income for Q2 FY24 stood at Rs. 262 crores, whi ch is up 40% year on year and stood at Rs. 531 crores for the first half.

Debt position from sli

de 48 onwa rds, consolidated gross debt stood at Rs. 4,263 crores as on 30th September 2023, down by Rs. 310 crores since March 2020. 97% of our gross debt is on operational portfolio with very competitive average borrowing rate of 8.71%. Currently our lowest cost of borrowing stands at 8.5 0%. Despite RBI increasing rates by 250 bps since March 2022, our borrowing costs have gone up only 141 bps so far. As the overall interest rates in the economy start to rise, our effort will

be to minimize the impact of this on our cost of borrowing by reducing the spre ad charge d by the banks on top o f the repo rate.

Cash flows from slide 50 onwards. For H1 FY24, we generated about Rs. 1,060 crores of net cash from operating activities and our operating free cash flows stood at Rs. 882 crores.

Liquidity position from slide 53 onwards, group level liquidity on 30th September 2023 stood at Rs. 2,166 crores up by Rs. 411 crores from the position as of 31st March 2023. This excludes the amount remaining unutilized in OD accounts. Net debt stood at about Rs. 2,096 crores, down by Rs. 186 crores from the position as on 31st March 2023.

We are bullish on our business prospects and with a strong balance sheet position o ur focus remains on delivering our under -construction projects on time and judiciously deploy our capital to expand our portfolio.

Moderator: Thank you. We will now b egin the question and answer session. The firs t question is from the line of Resham Jain from DSP asset managers. Please go ahead.

Resha m Jain: Hi, good morning, team. So, I have just a couple of questions. So first one is if you can just help with your overall capex to be incurred over the next three years based on the current development which you are going to do.

Management: Hi Resham . So, between now and 2027 from the projects that are already announced and updated on the presentation, we have a further capex of about Rs. 4,800 to 5 ,000 crores t hat is left and this is between current calendar year and up to 2027. This includes 3 million square feet of retail that is under construction at various stages and the over 5 million square feet of commercial offic es, as well as the residential development planned at Alipore .

Resham Jain: And the overall let's say, if I look at the cash generation over the same period, the cash generation seems to be significantly higher than the numbers. So how are we thinking about the incremental cash which we are going to generate? Because our debt leve ls are at a reasonable level now a t net debt. So just your thoughts on the same ?

Management: You are right . I think with the excess cash, we will continue to build our retail portfolio and look at further business development opportunities. Retail continues to be our flagship business and we see a lot of opportunities in expanding in cities where we already exist as well as the new cities in other towns. So that is the focus a nd of course as the retail assets come up, we will also continue to focus on the mixed -use development. Just passing it on to Shishir for further comments .

So, if we just look at the current run rate, we see about Rs. 2,000 crores of free cash being generated annually. And as Varun mentioned, we have about Rs. 5,000 crores of capex for projects which are already under development and already announced. We continue to look for opportunities for expanding our real estate, retail and residential and office vertical . So, I think we are on a good path to look at deploying significant free cash in new projects in acquisition and development of new projects.

Resham Jain: The other question I have is on residential. Will you have the post -tax IRR let's say of the Bangalore residential project which is n ow about to get over. Let's say in 2024-25 what will be your approximate p ost tax IR R in that residen

t ial project?

Management: So, if you look at how the project has moved and especially in the way the prices have moved, we launched this project back in 2012 at a price of Rs. 5 ,500 per square feet on launch date a nd today in Oc tober 2023 , we have taken the selling prices to above Rs. 21,000 on per square feet basis. We of co urse had incurred land cost etc back in 2012, but then we utilized the base FSI to construct the first five towers and return all the capital back ; so the company had received full return of its entire equity investment back in 2014 -2015 itself. Kessaku has been launched thereafter and we have purchased development potential and incurred construction cost to construct this .

Residential project i f you look at it from the markup that we see on our construction cost today , today our landed cost of development for a premium residential tower is at Rs. 7,500 to 8,000 per square feet f or a Kessaku sort of development wherein we provide a lot of lifestyle amenities, but t he selling price that we have in excess of Rs. 20,000. So, from our capital multiplier, it's a significant improvement and that also results in a good post tax IRR i.e. of our targeted IRR of 18 to 20% on a post tax basis .

Moderator: Thank you so much. The next question is from the line of Puneet Gulati. From HSBC. Please go ahead, Sir.

Puneet: Thank you so much and congratulations on good numbers. My first question is on your office project. So , the Bangalore and the Pune one are close to completion and set to launch. Can you elaborate on what is the progress on leasing there and how are you seeing the market?

Management: Hi, P uneet. Good morning . We are expecting the OC for the offices at Bangalore which are Asia Towers, shortly. So we have not been able to execute any leases, but I can talk about the pipeline. We have seen a significant pipeline and p rofile typically is for 2 lac square feet and or thereabouts for each tenant . So, if we just look at the cumulative pipeline, it is close to about 2 million square feet of pipeline and several

of those are waiting for conversion . At this point in time , I think we feel fairly confident that within about 12 months of the OC coming in, we should have abo ut a 75% kind of an occupancy w ithin development, this is across 800,000 square feet of total leasable area under Phase I.

And in Pune we are expecting the building completion for Millennium Towers for the first phase to be in August of 2024. Again, we are looking at what is the pipeline there seems to be significant demand for this part of the city.

Puneet: And so I thought the total leasable area was 1. 2 million, right, you said 0.8 m illion.

Management: So, at Bangalore, we have a further 250,000 square feet of FSI potential there , wh ich we have no t built out as yet , because of not having clarity on the TDR policy in that city. So, we have about al most 400,000 square feet of GLA where in one of the towers where we have the ability to construct once that becomes clear.

Puneet: So, y ou're building 0.8 in Bangalore and similar 0.8 in Pune as well.

Management: 0.8 million square feet in Phase I, 0.4 million square feet in phase II in Bangalore and in Millennium Towers, it's a total of 1.4 million square feet GLA which we are building out. It's just that the first tower will become ready in August 2024 a nd the next one will be ready by maybe about January 2025 or February 2025 somewhere in that p eriod. Cumulative ly it is about 1.4 million square feet of GLA.

Puneet: Ok. And can you also indicate what kind of rentals are you likely to negotiate there?

Management: So, looking at that competitive landscape in Wakad , the n umbers currently are at around Rs. 70-75 per square foot. I believe that our product is a fr ont office premium grade -A, USGBC LEED certified product which will

command premium renta ls. So, 24 or say 12 months from n ow we sh ould be in the region of about Rs. 80-85 thereabout, that would be our starting rent .

Puneet: And in Bangalore?

Management: Bangalore is also goi ng to be around Rs. 80-85 per square foot as the all-inclusive bare shell rent.

Puneet: And secondly on this land purchase, I might have missed it. I joined a bit late on the land purchase. What are the thoughts that what do you want to develop on in Thane?

Management: Puneet, as you are aware, I think the competitive landscape there has quite a bit of retail . So, we are evaluating what is the ideal development mix. We have also seen that despite the inventory overhang on residential, we have seen that the good grade -A quality residential has outperformed in that market with rates in excess of Rs. 20,000 a square foot. So, we are evaluating the ideal development mix for this locatio n and we are certainly cautious about the competitive landscape in r etail. So, I think it is going to take another three months or thereabouts to define what we are going to f inally, build there.

Puneet: But you would have done some IRR calculation, right? And what would that have been based on?

Management: So we have looked at various scenarios. We have looked at mixed -use development with retail in the lead , we have looked at residential, we looked at a combinat ion of residential . I think the returns work in any scenario in terms of our return expectation on equity, I think they work in any scenario but the risk is probably as I mentioned , the competitive landscape one has to be very cautious about , so we are evaluating whether we want to take that risk or we want to mitigate that risk and go with the residential kind of a development , or a residential with ancillary retail, but we have not decided and at this point in time my answer to you is that we will t ake three months or s o, to decide on the development mix.

Puneet: And just on the broad question, I know you have answered it to a certain extent. How are you looking at deploying the huge amount of free cash flow that that you will be generating should we expect anything in the next 1-2 years to get added and then which geographies?

Management: Adding new developments is routine for us, that is how we are growing and we continue to be v ery aggressive in terms of evaluating land opportunities in some of the key markets ; in some of these markets there were auctions announced which then got cancelled , but we are actively looking for land in four or five different key markets that we have identified where we want to be . So, as we have done in the las t several years , we will keep a cquiring and delivering at least a million square feet of retail every year or there abouts .

Puneet: Right. But you have to spend close to at least a thousand plus crore every year, right? So that's a large sum to spend as well.

Management: It is a large sum to spend, but I think it's good to have that kind of an ammo to go and buy the most premium land parcels for the most premium development in the se cities. So, land cost is not low, right? We also want to also keep our debt levels in check while we pursue these opportunities or pursue expansion opportunities at our existing

development. So, we will be very j udicious about how we utilize o ur cash flows.

Moderator: The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal: When I look at your trading occupancies in the last 12 months, right, I mean across your assets, they've increased from say 4 to 8% and when I look at same store con sumption, it's grown by 10%, so, adjusted for the trading occupancy is it fair to say that the c onsumption growth like to like same store would be about 4 odd percent.

Management: So I think on your question on 1

st on trading occupancy, we have had a very strong line up of retailers who have either entered India or expanded into India and we have been accommoda ting them in our malls over a period of time and we saw a number of them opening up in September and further more followed up in October as well. And this I'm referring to only the existing oper ational portfolio . So today our asset like Phoenix MarketCity in Bangalore, which was launched in 2011, it's trading at a lifetime occupancy of 98% and we have a very big lineup of brands who we are still waiting to accommodate in this mall . That said, a number of these retailers have recently entered and opened in the mall, and their performance in the first 18 months takes time to ramp up and start contributing meaningfully to the overall trad ing density perspective.

If I look at say, malls where the new retailers have been operational for some time, I would say that Phoenix Palladium has seen a training density growth of 7 to 8% year on year on a like to like basis, whereas Phoenix Palassio has se en a like to like growth of o ver 14% if I'm looking at same store sales contribution . We see the strong high single digit contri bution from stores across our existing operational portfolio .

We have also to share some light with you. We have also given a category wise breakup in the presentation wherein on a like to like basis, the overall portfolio has seen a 10% growth and t his contribution has been led b y Jewellery , which has grown at 25% , by F& B, which has grown at 12% and of course multiplexes which have had their best ever quarter at 22%. We have also seen a recovery in hypermarkets. I think some of the legacy issues that we have faced in the hypermarket performance in FY23 is starting to get a ddressed and resolved. It still remains way below what we have seen compared to the pre COVID level, but it is starting to improve fro m the low basis that we saw in FY 23.

Kunal: So fair to say that the whole catch up will happen in subsequent quarters when these newer tenants , their consumption kind of normalizes .

Management: Absolutely. We had Uniqlo open recently in October 2023. Now that's certainly going to add significantly to the ov erall consumption in that

area . I think also now with this festive season, it's going to be a good way to track against what the consumption was last year , for the next three months, October, November and December . I don't think that there is any sentiment or structural issue that we are seeing impacting the consumption in the mall . Last quarter certainly we did see an impact , but I think in the long term it w ill balance out. So, this next quarter is very key for us .

Kunal: My second question was on again the Thane land, I mean in the past we've been very clear in terms of like when we buy a land, there's always end use land strategized but this seems a little different, like in terms of we bought the land, but even not yet sure whether we'll build retail or residential. Just wanted to understand the thought process behind acquiring this land .

Management: It is a landmark location. It does not take away from our confidence in building a fabulous retail development but there is significant competition and there are quite a few of o ur brands, which are already occupying retail space in these other malls in that vicinity, r ight? While we have been able to , I think we have acquired this land at a fair value and we want to figure out what is the best return for our efforts and our investment into this land. Hence, we are evaluating other asset classes where the risk on the return estimates are much lower. So that's the only point here. We have evaluated this for a retail -led mixed -use development. And it does meet our returns profile, but there are risks associated with that. So we are looking at the ideal d evelopment mix

which mitigate any risks to the return.

Kunal: Any idea on the potential leasable area or salable area potential that t his land would have?

Management: Let me tell you that the overall development potential is 3 million square feet or slightly higher than that actually. We may have to slice this up into three or four different asset classes. So that is what we are trying to really figure out at this point in time.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Murtuza Arsiwalla: How much money has already been spent on the projects we talked about another 4 ,800 crore that is to be spent. How much money is already spent on these projects? That's one and 2nd for, a lot of projects that h ave been commissioned, is there any sense or understanding with the partners in each of t hese individual projects on the utilization of cash that these operational malls now throw our ?

Management: Murtuza , I will take the first part of your question. You spoke about how much we have spent on these various assets so far. So, for the malls that have opened up as well as the money that we have spent on offices and retail under construction, we have cumulatively spent about Rs. 6,000 crores from 2018 till now on these assets and we can of course connect offline and share asset wise details if required on the amount spent on each asset .

Your second question was on the ability to upstream cash flows from SPV with JV partners. Currently the JV that we have with GIC , we are earmarking the free cash being generated from there to be invested or deployed in a in a new acquisition, one or two . In the other JV, which we have with CP PIB, we have ongoin g expansion s, so a bulk of this Rs. 5,000 crores of future spend is going to be in these SP V's or in the partnership with CPP IB. So, we are looking at the most efficient way of utilizing those cash flows for that expansion .

Murtuza Arsiwalla: So if I understand that right, for instance the Bangalore mall or some of the more recently commissioned in malls in Bangalore or Pune which are partnership with CPP IB under a separate SPV, the surplus funds will go let's say Kolkata Mall, which is a separate SPV, but still in t he same corner.

Management: We have Bangalore, we have a significant expansion, right. We are building a 300 plus key Grand Hyatt Hotel , we are building 1 million square feet of offices plu s we are expanding the retail a t the Bangalore mall so that SPV in itself will have a sizable capex out of this Rs. 4,800 crores that Varun outlined for you. Similarly, I would say that with the new malls opening , Mall of the Millennium at Pune, it's going to take time for the cash flows to build out , when we see significant free cash bein g generated, we will evaluate the mechanism of how that can be up streamed or how that could be utilized . Let me also clarify , at M all of the Millennium , currently we may have spent only about 70% of the overall project cost for the mall alone and we are still inc urring expenses on the office d evelopment, so any free cash that gets generated there will get utilized in that development first . Mall of the Millennium we've probably spent about maybe 60% of the overall pr oject cost , so free cash g etting generated there will get utilized for the capex and completion of the offices etc. So, the cash utilization in terms of capex is already pretty straightforward and identified f or the next three years.

Moderator: The next question i s from the line of the Biplab Debbarma from Antique Stock Brokers . Please go ahead.

Biplab Debbarma: Good morning and wish you all a very happy Diwali. So, my first question is on the Alipo re and P roject Rise. Sir, from when do you see rental generation from these two assets, the Alipore and the Project Rise ?

Management: So Project Rise is right now at the excavation and foundation stage. We have completed the excavation and basement two is completed and we are now working on basement one. I would say that the project is about another 36 months aw ay from generating rent, retail there may be starting a few months ahead of offices . Kolkata at this point in time, we are coming out of the ground , excavation is completed there and the mall I would say another 36 to 40 months for the mall to become operational from today.

Biplab Debbarma: So FY27 -28 for both Alipore and Project Rise , is that correct?

Management: 26-27 I would say .

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez: Hi, good afternoon and thanks for taking my question. So, on the residential portfolio, considering that we now just have about 0.5 million square feet of inventory left, any thou ghts about launching Tower 8 and 9 in Bangalore? And also related question about the residential project in Kolkata . When can we see a launch there ?

Management: So, towers 8 and 9 at Bangalore, we will only announce or launch once we are able to proceed with the TDR l oading on the layout which currently as per policy, there is some ambiguity. But again I think it is a hugely anticipated launch in that micro market and as much as we are looking forward to the launch, we know that there is a huge customer base that is looking forward to this launch . Kolkata is in the design stage. I think we may be about 6 months or so away from announcing the launch.

Moderator: Thank you so much. The next question is from the l ine of Pritesh Sheth . From Motilal Oswal, please go ahead.

Pritesh: Hi, good morning. Thanks for taking my question. Firstly, on slide 69, where you have given the expiry details. So based on that data, if I calculate roughly, 4 million odd squ are feet of s pace in these malls is going to come up for expiry over the next three years , over roughly 1 million square feet each. So how should we look at rental growth in one of these assets for renewals?

Management: Hi Pritesh. So you are right and the idea of putting out a renewal schedule is also for us to plan and see how we can improve upon the brand mix and the category mix inside our malls . If we see over the last four years from pre COVID to now, we have significa ntly enhanced the presence of newer, faster growth categories, whether it's in cosmetics or jewelry or in fashion by replacing or by creating space for new assets and new brands entering the country and also increasing the experience oriented component such as F& B and relooking at how F&B's run inside the mall s. Over the next three years, the pipeline that we have allows us to continue to revamp and ensure that our existing assets drive market leading growth and they c ontinue to stay very relevant f or the new age, consumers and the discretionary consumers as well.

For us, it’s routine to see every mall g o through this r enewal or end of contract cycle. So on an average we would see 15 to 20% kind of a renewal across up or end of contract across our portf olio every year. In some years i t may spike up because of let's say anchor agreements coming for end of contrac t etc. However, our learning has been over the last 20 years and we have tried to implement this learning , that every such spike where you may see in a year 25 -30% of an area coming up for end of contract , it presen ts us with a huge opportunity to evolve that asset b y making significant changes on the experiential side , maybe circulation related aspects addressing those which we learn over a period of time and also changing the brand mix a little.

So over the years as the asset evolves and these renewal opportunities or end of contract opportunities arise, we get the ability t

o move certain
brands to other locations where they will be more successful and freeing up that location for a newer brand or a higher p ositioned brand and this is across the life cycle of the asset . Year after ye ar it evolves and the premium -ness of the overall offering keeps moving up. Sorry for that, lengthy answer to your short question.

Pritesh: No, thanks for the detailed explanation. But in general, since most of these assets are up for renewal after 10 years of operations right, major reset would obviously be expected in terms of rentals as well. So as per your experience how much should that reset be versus the usual five 7% kind of contractual escalation?

Management: Firstly, the cycle is not ten years. We see a spike coming in every five years and at an a verage on annual basis about 15 to 20% of the area gets end of contract. At the end of contract t ypically we see a significant catch up on the minimum guarantee rent. So mi nimum guarantee rent moves up to maybe a slightly higher than what was the actual rent received on account of revenue share. So at that point, typically in a renewal we may see about a 15% kind of an increase in minimum guarantee rent and if it's an anchor space, let's say that we reorganize to smaller stores in those scenarios, the delta could be as high as 50 -60% as well in terms of rental increase. But on a portfolio basis, you can assume a 15 to 20% increment in the base rent . So, whatever was the last rent paid by a particular brand , when we re -lease that store at end of fixed contract, we expect a 15 to 20% increase there.

Pritesh: Got it. Second question on your consumption guidance that you gave of Rs. 11,000 crores at starting of the year we have already done I think

roughly Rs. 5,200 odd crores , you will stick to that g uidance or there's an upside potential to that?

Management: I think we may be a little ahead of what we may have estimated for H1 because now the festive season kicks in and this is really I think we're all super excited to see how the next three months perform.

Pritesh: And just lastly on Thane again since it's in Sparkle Two , which is the subsidiary and Sparkle One , we have a JV with CPPIB . So, this is also with in partnership with CPPIB that we are acquiring this Thane land?

Management: No, I'm clarifying that Sparkle Two is a 100% subsidiary of The Phoenix Mills Lim ited, as was Sparkle One before , when it was created and then it was used with CPPIB coming into and investing into Sparkle One. So Sparkle Two is 100% subsidiary and it is not connected to the CPPIB JV in any way.

Pritesh: But would one of the two partners be interested in coming up with us for that land? Depends on the mix, I guess.

Management: Yes, that depends on the development mix, which at present we have not finalized a s I mentioned earlier.

Moderator: Thank you so much. The next question is from the line of Kunal Lakh an from CLSA. Please go ahead.

Kunal: Hi, thanks for the follow up. We had earlier highlighted that we will be looking at acquiring 2 land parcels a year. Just wanted some clar ification on that, the two land parcel s would be towards r etail and ov er and above you would look at say for the residential expansion or two land parcel s in total and it could be either residential or mixed or retail.

Management: Our goal is, as I mentioned many times previously Kunal, in the last several years our goal was to after 2024, wh en we have developed, delivered a ll the projects that we had undertaken in FY17, our goal was to deliver a million square feet after 2024 of retail every year. So, I think we are well on track to achieve that, and we will continue to buy one or two land parcels for retail every year.

Kunal: Secondly, on the first CPPIB platform, that most of the assets with say Bangalore and Pune, commencing oper

ations, most of the assets under the first platform are operational. What would be the exit strategy for CPPIB and also like in terms of our interest, would we l ook a t buying back stake as a part o f CPPIB's exit strategy.

Management: So, Kunal, while the ma lls have become operational , the other asset classes being developed on those same land parcels continue to, for the next two to three years the project continues. So, at present we are still

in active development in the CPPIB JV with the office expa nsion, the hotel at Bangalore and the additional retail area being added there . There is absolutely no discussion on exit or any exit strategy at this point in time with CPPIB .

Moderator: The nex t question is from the line of Biplab Debbarma from Antique Stock broking, please go ahead.

Biplab Debbarma: So, my earlier qu estion was going forward as we keep investing in new land parcel in the major cities. Do you see that we would be doing mixed - use development rather than purely kind of retail focus? because of the high competitive landscape as you are paying in Thane or Thane is just a one of the incidences that we are seeing?

Management: Thane may be an aberration because it is already a very dense micro market and with significant competition .

Biplab Debbarma: So, our focus, as you rightly said the focus would be on the pure play retail and opportunistic investments in other segments of real estate. We all focus continues to be r etail. Is that correct, Sir?

Management: If I may explain this to you, see there are certain markets or other a cross the country today, land parcels have much more development potential, which one cannot consume entirely for retail. So even if we acquire a land which is focused for a retail development, we will consider other asset classes to exploit that maximum potential on the FSI, what that asset class is will depend on what is the demand in that particular city and in that market.

Moderator: Thank you so much. The next question is from the line of Atul Me hra from Motilal Oswal Asset Management , please go ahead.

Atul Mehra: Good morning and thanks for the opportunity. So just one question i n terms of w ith this outlay of Rs. 4,800 crores till FY27 that we mentioned. And given that along the way we will have renewals and escalations from existing customers. What is the o perating cas h flow trajectory we will get to in your opinion f rom the current Rs. 2,000 crore number that we add, can this be more like Rs. 4,000 crores if we were to go by the current plan?

Management: Atul, tricky question because I don't think we can give a guidance

Atul Mehra: No guidance . Just based on calculation.

Management: I would say that analysts have presented to us that we are really b est place d to give you this computation, but you would not be off the mark.

I can say that you would not be off the mark of what their computations are showing. Would you li ke to tell u s what you are estimating?

Atul Mehra: Rs. 4,000 crores .

Management: I think that is a healthy target and we will definitely try and beat it.

Atul Mehra: Then secondly, in terms of like we are talking about retail expansion going forward and deployment of the free cash flow that we generate. If we were to look at some of the next in terms of cities next cities versus what we have, the top tier one citie s in some sense , so is there i n your opinion, a viable model to go to the next rung of cities, maybe with a more in terms of improvise r etail square footage and any exploration on that side which can further expand our target market.

Management: I think our strategy is clear of creating these e xperiential cen ters, which become attractive for a region. So, when you look at it, when you look at a what you call a Tier 2 city and we would call it a tier 1 oppo

rtunity like
a Lucknow or an Indore, these malls are not just malls f or those cities . We are seeing our customer base extending to 100 kilometers from that city, which goes into the smaller towns as well where there is significant amount of wealth . So, I would say a city like Coimbatore presents tha t kind of an opportunity, f ive or six major towns, which could become its feeder, which are its feeder markets e ven today . A city like Vizag is an interesting opportun ity, Chandigarh has always r emained an extremely exciting opportunity, Jaipur is another such city . So, these are the cities that we have previously identified during our interaction, and we continue to look at opportunities there as well.

Moderator: Thank you so much. As there are no further questions from the participants , on behalf of The Phoenix Mills Limited, that concludes this conference. Thank yo u for joining us and you may n ow disconnect your line.

Call: Feb 2024

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February 16 , 2024

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated February 13, 2024 , wherein we had informed the exchange about the conclusion of our Earnings Conference Call held on that date with Analysts / Institutional Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31 , 2023 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www. thephoenixmills.com/investors/FY2024/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

Gajendra Mewara
Company Secretary

Encl.: As enclosed

The Phoenix Mills Limited
Q3 and 9M FY24 Earnings Conference Call
13th February , 2024

Moderator : Ladies and gentlemen , good day and welcome to the Q3 and 9M FY24 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Management of the company is being represented by Mr. Shishir Shrivastava – Managing Director, Mr. Anuraag Srivastava – Group CFO and Mr. Varun Parwal – Group President, Strategy, Audit and Head Corporate Finance.
Should you need assistance during the conference call, please signal an operator by pressing "*" followed by "0" on your touchtone phone. Please note that this conference is being recorded.
At this time, I would like to hand over the conference to Mr. Shishir Shrivastava.
Thank you and over to you , sir.
Shishir Shrivastava: Thank you. Good morning ladies and gentlemen. We take pleasure in

welcoming you all to discuss the operating and financial performance for the third q uarter and nine months ended December 2023. We hope that you have had a chance to look at the results presentation shared by us. The same is uploaded on the stock exchanges as well as on our corporate website.

I will now take you through the key highlights of the results with reference to the relevant slides of the results presentation :

If I may draw your attention to Slide 3 the Retail Overview : Total consumption in the Q3 FY24 was Rs. 3,296 crore up 25% over Q3 FY23 and for 9M FY24 it was at Rs. 8,509 crore up 21% over 9M FY23. Retail rental income for Q3 FY24 stood at approximately Rs. 447 crore , a 33% growth over Q3 FY23 and for 9M FY24 retail rental income was at Rs. 1,213 crore up 25% over 9M FY23.

Slides 4 through 7 illustrate or demonstrate the trading occup ancy across the new malls. Increase in trading occupancy seen across newly launched malls with more stores getting opened for patrons post fit outs.

At Phoenix Citadel Indore, which was launched in December 2022 , within one year since launch the mall has seen a fast -trading occupancy ramp up from 42% at launch to about 91% in December 2023.

At Phoenix Palladium Ahmedabad , which was launched on 26th February 2023 , trading occupancy

stood at 78% and with Zara and PVR due to open we expect to end FY25 with o ccupancy in excess of 90%.

Phoenix Mall of the Millennium Waked was launched on September 1st, 2023. It's currently at 60% trading occupancy. We expect this trading occupancy to inch up to about 80% by the end of March 2024 and reach a n average of approxi mately 90% d uring FY25.

Phoenix Mall of Asia Bangalore was launched on 27th October 2023. It's at 50% trading oc cupancy at the end of December 2023 and we expect it to touch approx imately 75% by end of March 2024 w ith a significant move up to close

to 90% average during FY25. We are very happy to add that Phoenix Mall of Asia Bangalore recently achieved the prestigious USGBC LEED Gold Certification making this the second US GBC LEED certified retail asset in our portfolio.

If I ma y draw your attention to Slide # 8 under construction retail assets for a quick update. At the retail expansion for Phoenix Palladium Mumbai spanning across a retail GLA of approximately 2 ,50,000 square feet in the current phase, civil works have reached an advanced stage and contr act awards for facade , etc., are in progress. We expect to launch this additional retail GLA in 2024.

Construction is underway for the retail port ion of our commercial office led mixe d-use development at Lower Parel where the retail component is approxima tely 200,000 square feet GLA forming part of the larger building called Project Rise and this retail is expected to launch in 2025.

At our ongoing retail expansion at Phoenix Market City Bangalore spanning across retail GLA of approximately 200,000 square feet in the c urrent phase, we are currently a t the stage of final approv als and design. W e expect this block to launch sometime in 2025.

At Phoenix Grand Victoria, Kolkata , construction has commenced, diaphragm wall, piling works are complete and current ly we are progressing on the final bit of excavation and foundation. We expect this mall to be ready for launch in 2027.

Our second retail destination in Gujarat at Surat , we see construction has commenced. Diaphragm wall excavation is presently progressing at a fast pace. We expect this mall to also launch in 2027.

Moving on to ou r retail portfolio performance f rom Slide #9 onwards of the Presentation:

Q3 FY24 saw the highest ever quarterly consumption of approximately ~Rs. 3,300 cror e a growth of 25% over Q3 FY23. On a like -to-like basis if we exclude the contribution from the new malls launched from December 2022 onwards and adjust for the impact from closure of the lifestyle block at Phoenix Palladium Mumbai the consumption has grow n at approximately 5%. We have seen double digit consumption growth at Phoenix Market City Kurla and Phoenix Palassio Lucknow d riven by a ramp up in trading occupancy versus Q3 FY23 at both these malls. Ramp up in consumption at the newly launched malls co ntinues with increasing trading areas.

Drawing your attention to Slide # 11 which is the 9M FY24 mall wise consumption. Consumption for 9M FY24 was at ~Rs. 8,500 crores witnessing a growth of 21% over 9M FY23 and 8% on a like -to-like basis with Phoenix Palassio , Phoenix Market City, Mumbai and Phoenix Market City and Palladium Chennai registering double digit growth in consumption during this period.

If I may draw your attention to Slide # 12 and #13 which is the category wise consumption growth. The top performing categor ies for Q3 FY24 were jewelry which showed an increase of about 19% and gourmet and hypermarket which showed an increase of about 20% over the same period last year. Comparing 9M FY24 category wise consumption growth - the top performing categories for 9M FY24 were FEC and multiplex up 15% over the last year, j ewelry up 22% and gourmet hypermarket up 38% over the same period last year.

Moving on to Slide # 14 for the financial performance of our retail por

tfolio for

the year so far :

Compar ing Q3FY24 versus Q3FY23 , retail rental income stood at 447 crore up 33% in comparison to the pr evious Q3 FY23. 5% on a like -to-like basis excluding the new malls launched. Phoenix Market City, Kurla, Phoenix Market City and Palladium Chennai both grew 14% over the same period last year. Rental growth at Phoenix Market City, Kurla was partially led by base rental escalations and pa rtly due to the ramp up from newly launched stores such as Uniqlo, Time Zone, Game Lux, Tim Horton's , and Homes to Life. Rental growth at Phoenix Market City and Palladium Chennai was mainly led by growth in base rental es calations a s per the cycle.

Slide #15 compares Q3 FY24 versus Q3 FY23 EBIT DA. Retail EBITDA for the quarter was Rs. 435 crore up 27% compared to the same quarter last year and up 5% on a like -to-like basis e xcluding the newly launched malls. Phoenix MarketCity, Kurla saw the benefit of im proved trading occupancy, rentals and operating efficiency lead ing to an EBITDA growth of 17% over the quarter. At Phoenix MarketCity, Bangalore rental growth was driven by an increase in average trading occupancy for the quarter and with the opening of ne w stores such as R&B, FirstCry, Avantra and UCB . Further escalations to the base rentals contributed to the rental growth. Rental growth coupled with a decrease in some operational costs led to an EBITDA growth of about 6% over the same quarter last year.

9M FY24 v ersus 9M FY23 , the retail rental income stood at Rs. 1,213 crore up 25% and up 5% on a like -to-like basis excluding the newly launched malls. For 9M same period compared to last year with retail EBITDA stood at about Rs. 1,225 crore which was up 24% compared to the 9M FY23 and up 7% on a like-to-like basis i f you exclude the new malls launched.

Trading occupancy saw an increase across all major malls in December 2023 when compared to September 2023. W eighted average trading occupancy for December 2023 stood at 84%. As t rading occupancy inches up with in our newly launched malls with more stores becoming operational , we continue to remain confident of touching the Rs. 11,300 to 11,500 crore consumption mark for FY24 which we had eluded to ea rlier this year.

May I now request Anuraag to take you through the office hotels and residential sections and the overall financial results.

Anuraag Srivastava: Thank you, Shishir . Good morning everyone. Please refer to Slide # 19 and onwards for an update on the commercial offices.

Our commercial office portfolio is seeing improving traction with gross leasing of about 1.7 lakh square feet for the quarter and 4.8 lakh square feet in YTD December 2023 because our 3.4 lakh square feet of new leasing and 1. 4 lakh square feet of renewal s.

Our commercial office portfolio is now leased up to ~72% at 1.43 million square feet and we are seeing improving traction across assets. Rent levels have been healthy with renewals and new leases at market rates.

Moving o n to Slide # 22. Income from commercial offices in Q3 FY24 was Rs. 50 crores. This is up 17% as compared to Q3 of last year and total EBITDA stood at 2 8 crore s it is up 27% over Q3 FY23. EBITDA growth has been mainly on account of higher occupancies at our properties at AGH and Tower 3 of

Fountainhead Towers at Viman Nagar. Strong rental growth and account of increased traction in Mumbai offices and occupancy growth at Fountainhead 3 contributed to the growth during the quarter.

I'm moving on to an update of under construction commercial office projects in our portfolio is on Slide # 24. We are progressing well with the development of the next leg of growth in commercial offices.

At Phoenix Asia Towers , lobby common area finishing and facade work is underway. The first phase of these offices, which is about 0.8 million square feet is expected to be operational within 2024.

At the Palladiu

m offices in Chennai, we target completion in 20 24.

At Millennium T owers , Wakad slab work is in advanced stages for all the four office towers. Tower 2A and 2B are expected to be ready in 2024, and Tower 1A and 1B are scheduled for completion in 2025.

As far as the commercial office component within the expansion of our mixed - use ass et in Whitefield is concerned , excavation work is nearing completion and Phase 1 is expected to be operationa l in 2026.

For Project Rise , all developmen t permissions have been secured, f oundation work has been completed a nd basement slab 2 has also been completed. These commercial offices are scheduled to be ready in the year 2027.

Moving on to our hospitality portfolio which are the two properties - one property in Mumbai and one property in Agra .

Starting with St. Regis, Mumbai which is on Slide # 26. We continue to see significant impro vement in our performance ARRs in Q3 FY 24 was about Rs. 20,000 and RevPAR stood at 16,391 b oth showing a growth of 23% over Q3 FY23 . Similarly, for 9M FY24 ARR was about Rs. 17,200 and RevPAR stood at Rs. 14,066 a gain showing a good growth of 29% and 26% over 9M FY23 respective ly.

The financials for St. Regis, Mumba i. Income from Q3 FY24 stood at Rs. 135 crores w hich is up 24% over Q3 FY23. Revenue from F&B and banqueting, which accounted for 48% o f the revenue for Q3 FY24 registered a growth of 27% o ver Q3 FY 23. EBITDA for Q3 FY 24 was at 62 crores, which is a growth of 28% a nd an improved EBITDA margin of 46%.

Income from 9M FY24 stood at Rs. 348 crores up 26% over 9 M of last year with increase in total income EBITDA for 9M FY24 stood at Rs. 155 crores a nd have margin improvement to 45% in 9M FY24 compared to a 42% margin in 9M FY23.

Moving on to our property in Agra t he Courtyard by Marriott. The ARR in Q3 FY24 was at Rs. 6,194 and in 9M FY24 wa s at Rs. 5,011 increasing by 10% and 13% respectively over the previous year. Similarly, for Q3FY24 RevPAR stood at Rs. 5,189 and RevPAR for 9M FY24 was at Rs. 3,752 showing the growth of 17% and 21% over Q3 and 9M FY23 respectively.

Financials from Courtyard by Marriott, Agra . Income for Q3 FY24 was at Rs. 17 crores up 20% over the same quarter last year a nd EBITDA stood at Rs. 6 crores up 29% from previous year. EBITDA margin for the quarter saw an

expansion by 2 basis points compared to Q3 FY23 and stood at 35%. Income for 9M stood at Rs. 37 crores up 20% from last year, and EBITDA stood at Rs. 9 crores demonstrating 25% growth.

Update on our under -development hotel project in Bangalore . The development of the Grand Hyatt at Bangalore is on track and is expected to be launched in 2027. This completes our hospitality overview.

I'm moving on to residential business now. Please refer to Slide # 32. We continue to witness very good traction and residenti al sales. We have comple ted gross residential sales booking at Rs. 515 crores in 9M FY24, which is higher than gross sales booking of Rs. 466 cr ores done for the full year of FY23. Same goes on for collections – Rs. 565 crores was collected in the first 9M FY24 , surpassing a full year collection of Rs. 369 crores which we did in FY23. We have built and delivered about 2.83 million square feet across One Bangalore West and Kessaku of which now we have about 4.7 lakh square feet of unsold inventory left.

Slide 34 covers our under d evelopment residential project. At under development premium residential project in Alipore , Kolkata , consultants for various work streams have been on boarded and we are in the process of obtaining our development permissions. Structural design is also un derway.

Now I would like to move to financial res ults from Slide # 35 onwards .

While Slide # 36 has a snapshot of our f inancial performance at a stand alone level, to get a better picture of group level performance I would like you to move to

Slide # 37 for the consolidated financial performance.
Income from operations for Q3 FY24 stood at Rs. 986 crores , this is up 44% year-on-year and Rs. 2, 672 crores for 9M of FY 24 up 40% year -on-year. Operating EBITDA for the quarter stood at Rs. 552 crores up 44 % year -on-year and Rs. 1,558 crores for 9M up 43% year -on-year. Reported PAT after minority interest and after compreh ensive income for the quarter stood Rs. 297 crores which is up 69% year -on-year and stood at Rs. 827 crores for 9M FY24.
Moving on to our debt position which is in Slide # 38 onwards. Consolidated gross debt stood at Rs. 4,228 crore as on 31st December 2023 down by Rs. 285 crore since March of 2020. 100% of our gross debt i s backed by operational assets a nd despite a recent land acquisition Thane we have seen only a marginal movement in gross debt . We have been able to borrow funds that are at a competitive average borrowing rate o f 8.78%. Currently our lowest cost of borrowing stands at 8.5 0%. On Slide # 37 consolidated gross debt of Rs. 4,228 crores a s of 31st December 2023 is now ~2.1x of annualized EBITDA as compared to ~47 x around FY 20.
Moving on to cash flows in Slide # 40. For 9M FY24 we generated about ~Rs. 1,716 crore of net cash from operating activities s upporting all of our invest ments in gr owth and leaving a surplus. Slide #41 covers our operating free cash flows for the period. The operating cash flows were at Rs. 1,419 crores growing by 56% o ver the same period in FY23.
I'm moving on to liquidity position on Slide # 42. Group l evel liquidity on 31st December 2023 stood at Rs. 2,058 crore this is up by Rs. 303 crore from this position as of March 2023. This excludes the amount remaining unutilized in OD account s. Net debts stood at about Rs. 2,230 crores down by about Rs. 52 crores from the position as of 31st March 2023.

We have had some good credit rating upgrades across the board. This is covered in Slide # 44. With increasing cash flow stability and reducing net debt the credit ratings across portfolio entities have be en improved in the current year.
We are bullish on our business prospects and with a strong balance sheet position o ur focus remains on delivering our under -construction projects on time and judiciously deploying our capital to expand our portfolio.
I will hand it over back to Shishir.
Shishir Shrivastava: Thank you Anuraag. Before we open the call for questions, may I take a moment to address some questions around Mr. Rajendra Kalkar and Mr. Anuraag Srivastava 's decision to pursue opportunities outside of The Phoenix Mills L imited. While we are sad to see talented individuals mov e on from our organization, we u nderstand and appreciate their desire to pursue new opportunities and we wish them all the very best in their future endeavors.
While leadership transitions are never easy , I would like to assure everyone that PML remains on a strong and stable footing a nd these individual decisions do not reflect on the current or future performance of The Phoenix Mills Limited . We are seeing that these changes present an opportunity for us to showcase the success of our unique approach to leadership development within the organization.
At Ph oenix, we have a long-standing culture of leadership grooming and a very detailed program. We h ave a very high-performance culture where we invest considerable amount of time and effort to identify and groom top talent across all levels with a focus on second and third line. These individuals g o through an accelerated leadership program to get them ready for future growth and we invest heavily in their growth through challenging assignments, mentorship and opportunities to scale up.
In fact, we have cases of individuals who joined us as management trainees 10 years to 12 years ago and who today hav e evolved into senior leaders handling large f

unctional or mall portfolios or other portfolios such as debt, treasury, marketing, etc.
This fosters a flat organizational structure where employees at all levels have access to Mr. Ruia – our Chairman and m entor or myself , respective business

and function heads such as Ms. Rashmi Sen for Retail, Mr. Rajesh Kulkarni for Architecture Projects, Mr. Hardeep Dayal for Offices, Mr. Raghav Bajoria for the Residential business, Mr. Gautam for HR and Mr. Vidya Sagar for Legal.
This leadership program has also been a very rewarding journey for individuals who have seen significant wealth creation through customized, tailored wealth creation and retention programs. This open communication and accessibility fosters an environment where ideas are heard, talent is recognized contributing to a culture of collabor ation, transparency and growth a nd as we've seen it has demonstratively produced exceptional leaders within this company.
It's important to know that we have a p roven track record of producing successful lea ders over the last two decades m any of those who started their careers here such as myself and have gone on to thrive and deliver exceptional results within Phoenix and beyond.

Unfortunately, this also become s a talent pool for the industry, and we see many of our reputable peers benefiting from the growth and development of many of the individuals within our teams and we wish them all the very best.
Rajendra and Anuraag have both made very valuable contributi ons to our journey, and we thank them for their dedication and wish them all the very best in their future endeavors .
We are a very close -knit family of talented individuals , and we are well equipped to hold the ship steady while we conduct a thorough se arch for suitable replacements. It's also important to understand that we have as an organization we have an open door and we welcome l eaders who've worked with us in the past have moved on, gained valuable expe rience elsewhere and come back a nd we have seen that happen .
Recently we had Mr. Shashi e Kumar who joined us after a gap of 7 years. He worked with us for 8 years went out in the industry, explore d opportunities, learned a lot c ame back and now is poised to i mplement best practices that he has experienced elsewhere , within our organization.
We are confident about Phoenix ’s future. We have a strong foundation, a talented team, clear vision for continued growth and we remain committed to our values, our team members and our stakeholders.
May I als o request Anuraag to share a bit about his experience with the company and about his time h ere with us.
Anuraag Srivastava: Thank you, Shishir. All of you have heard that I've decided to move on from the role of Group CFO and KMP of Phoenix Mills. This is to take up another opportunity for me. I wan t to assure that this decision was a difficult one. My time here has been incredibly rewarding, both personally and professionally. I have learned immensely from leading the finance team and collaborating with such talented colleagues across the board in Phoenix.
As you are aware, Phoenix has seen tremendous growth in the past few years. During this period the financial strength of the balance sheet has improved significantly. The c ompany has solidified its mark et leadership and embarked on a very exciting journey of expansion. I credit this success to the company’s exceptional leadership and the dedication of our employees.
The Phoenix Mills Limited has a long runway of growth ahead. I think the company has ju st started on this long runway. The leadership team supported by a pipeline of skilled and passionate individuals is well equipped to navigate the future and challenges and capitalize on upcoming opportunities.
Before I end this statement, I wanted to ex press my sincere gratitude to Mr. Ruia our estee med Chairman, the Board of Directors a nd espe

cially Shishir for
their unwavering trust and guidance. Additionally, I extend my heartfelt thanks to my dedicated team and colleagues for their immense support and collaboration. My last day will be March 18.
During this transition period, I remain absolutely committed to ensure smooth handover and supportin g the team in any way I can. Thank you for time for your time and attention, and I wish P ML continued success and look fo rward to witnessing its future agreements. Thank you.

Shishir Shrivastava: Thank you Anuraag. May I now request the operator to open th e call for questions.
Moderator: Thank you very much. We will now begin the question and answer session.

The first question is from the line of Pritesh Sheth from Motilal Oswal. P lease go ahead.

Pritesh Sheth: First question is on consumption growt h versu s your rental growth. So, if I look at the 9M number consumption growth was at 21%, while rental growth was at 25% for your retail portfolio , generally we keep a close track on the consumption growth. I mean in terms of our performance, but off late it has been higher. It's just largely due to mix of t he tenant or it has something to do with something trend which is going forward w e can see and how should one look at your rental growth as a p ercentage of consumption growth, will that increase again in future as well?

Shishir Shrivastava: I would say that we have seen a rental growth of approximately 24% as a combination of course with new malls being launched, b ut aside from that at our existing operating assets , we have seen end of contract ren ewals w hich is a natural escalation at that point in time , where th e fixed rental moves up to whatever is the market at that present time.

We have also seen some new brands which have come in and which have driven up the rentals . Also where you have new stores o pening there is a little bit of a lag between opening and ramp up on consumption. So, we are quite confident that in the coming quarters the stores which you launched in the last 6 months will show a higher trading density and higher consumption.

At some point, and as you also know in our rental cycle , it's very typical that at some point consumption growth will exceed rental growth as well. We saw this in FY20, we saw it in FY23. So, typically there's always a bit of a catch up where fixed rental escalat ions w ill catch up, perhaps result in a higher rental growth in percentage terms compared to consumption in some parti cular years or in some quarters.

Pritesh Sheth: Second, all those upcoming malls the timeline that you have mentioned is the FY financial year I mean not the calendar year?

Shishir Shrivastava: No. We've mentioned the calendar year.

Pritesh Sheth: So, Kolkata would be calenda r year 2027 any reason for that much of delay because earlier we were expecting to be 2025,2026 and if the next upcomi ng mall is in calendar year 2027 or FY28 I mean how should one look at the growth in your retail portfolio because more or less beyond FY25 we would be largely looking at the consumption led growth in the existing mall, so how should one look at that growt h?

Shishir Shrivastava: Currently we are I would say that for Kolkata specifically since you asked that question, I think we will be able to define more accurate timelines as the construction progresses a nd we get out of the excavation which in itself was a hugely challenging task in that market or either in that geography where the terrain is different. I don't think we are delayed in that project. We also have makeup programs in place. W e had indicated p reviously calendar year 2026 which would have been FY27 w e may be in the first half of FY28 or let's say in the second -half of the calendar year of 2027 when this mall will open and similarly on Surat.

But having said that, I would like to focus on what the g

rowth is likely to be in our GLA in between now and FY27, our flagship property at Mumb ai, Phoenix Palladium at Lower Parel w e are addin g 250,000 square feet of prime I would say bridge to luxury, luxury retail which is likely to be completed in this current financial year and become operational sometime towards the seco nd-half of this calendar year.

This will soon be followed by some expansion that we are currently working on in Bangalore where we are adding more retail as part of the Phoenix Market City Bangalore project and that is scheduled to be completed som etime in calendar year 2026.

So, all of this will continue to add and then of course we also have project Rise which is 1.2 million square feet development with at least 200,000 square feet of retail again at our flagship property Phoenix Palladium Mumbai. So, there's another 200,000 square feet that will g et added there. We expect this a lso to be operational sometime in calendar year 2026 and f ollowed by Calcutta and Surat in calendar year 2 027.

So, there is a significant area ramp up between now and 2027 and at the best performing malls in the country today which is Phoenix Palladium Mumbai and Phoenix MarketCity Bangalore where we will be adding lot of retail GL A very

soon.
Moderator: Thank you very much. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Sir my ques tion is on the residential deals. So, any thoughts around the Thane land what do you want to do b ecause I thin k last quarter you're not quite clear what you want to do with that, s o any update on that?
Shishir Shrivastava: So, Thane is looking to be a mixed -use development with some residential component perhaps some retail component and maybe a hotel. We're curre ntly still workin g on the final set of plans. So, I think we are maybe about a quarter away from sharing the final d evelopment mix at that location.
Parikshit Kandpal: And any idea what could be the CAPEX here for this hotel and the retail portion?
Shishir Shrivastava: Yes, CAPEX here I would say land and FSI itself is about a 1,000 crores and construction - depending on the development mix it would range between Rs. 4,000 to Rs. 6,000 per square foo t on approximately a total of 3.2 million square feet. So, one could say about roughly around Rs. 1,300 crore to 1,500 crore of construction a nd land we've already paid for and there will be some cost for FSI. So, cumulatively about Rs. 2,400 crores to 2,500 crore would be o n the higher side and estimate o n the total CAPEX.
Parikshit Kandpal: And any tentative areas you have frozen for hospitality and retail I mean so out of this I would understand that bulk of would be Resi followed by retail and hotel.
Shishir Shrivastava: Sorry Pari kshit, but I cannot give you an answer on that right now because genuinely we're still working on what is the ideal appropriate development mix and also the positioning of the different asset classes which is very key to find the right balance of the development mix.

Parikshit Kandpal: Just on the consumption pressure . I mean if I just compare like -to-like adjusting for trading and occupancies ramp up if on e has to do the calculation. So, what according to you as a matured ass ets could be the consumption growth because what I was doing my numbers, I'm getting that even not we are not able to even match up the inflation. The numbers ha s been slightly underwhelm ing, so just wanted your sense or color on that?
Shishir Shrivastava: See, I think it's more appropriate t o track consumption growth as a CAGR over a 3-to-5-year period as o pposed to tracking it on a year -to-year basis. For example, all our malls saw a huge significant jump in consumption in the last year. Phoenix MarketCity Bangalore as an examp le, was about 30% higher. Now that set a very high base in one pa

rticular year, but if you were to look at a CAGR of 5 years I would say a 15 %, 18% consumption growth f orecast is a practical and achievable number and with pe rhaps with a little bit mor e effort on our part on marketing and brand m ix, etc., which keeps happening every year that number could see another one or two percentage point increase there.
Parikshit Kandpal: But on this high base now s o within your interna l estimates how do you see that on this on such a high base we can still grow YoY and beat inflation?
Shishir Shrivastava: No, that high base was a 1-year impact. So, at best I would say in FY25 maybe one quarter of the impact one could see of this high base . Because we are working on upgrading the brand mix at every center and you've seen the impact of that in the past. This is actually routine in our business every zone, every quarter, every year we keep making changes and im proving it.
So, if you look at Phoenix Market City Kurla , Phoenix Market City Chennai and Palladium Chennai strong double digit growth 14 %, 15% and this is all an outcome of the exercis e that we've undertaken a year ag o over there. Similarly, I would say Phoenix MarketCity, Bangalore we have some incredible upgrades planned over there , plus we are increasing the size of the development retail GLA. W e are adding the Grand Hyatt there. All of these are going to result in consumption growth .
For that matter at Phoenix Palladium Mumbai , we have seen an impact, but that impact is actually also due to Lifestyle block which we have shut down and we've demolished that structure that has seen an impact of consum ption to the extent of about 30 crore a quarter .
But when the next 250,000 square feet come online this year, it's going to again add to the c onsumption becaus e it will drive more customers, newer customers, t here's always a freshness in the mall. So, like I said Parikshit it’s

routine in our business and the most appropriate app roach is to look at a 3
year to 5 year CAGR on consumption.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs. P lease
go ahead.
Pulkit Patni: My question is on jewelry c an you give a sense of how your understanding of
rental movement for jewelry is given the fact that gold prices can be extremely
volatile, so if you could get a sense how that works so that we can model it
better?
Shishir Shrivastava: See jewelry as a category , the rentals o ne can assume would be in the range
of anywhere between 1% to 2% so 1.5% of consum ption. We have undertaken
a program to position a ll our malls as one stop wedding destinations. We've

also collaborated with St. Regis, for example, for Shaadi by Marriott to extend
beyond the scope of t he hotel, but into the mall.
So, all of this adds to the growth in consumption and jewelry, and I would say
jewelry across various price po ints are available in our mall, y ou have brands
such as Tanishq and Malabar Gold to let's say CaratLane , Mia, Swarovski and
Zoya.
I think it's a very good category. Consumption growth has been I would say
sizable in this last year in this category. I would think as disposable income
moves up and I think people are getting back more and more weddings
happening. We have seen a blockbuster year for weddings across The St.
Regis and in our malls . Jewelry as a category should contin ue to see a good
growth. If I were to hazard a guess I w ould put it in the early teens annual
growth over the 3 year, 4 year period.
Pulkit Patni: But 1.5% on average of c onsumption is what we can model it?
Shishir Shrivastava: 1.5% as the rental , yes.
Moderator: Thank you very much. The next quest ion is from the line of Chetan Gindodia
from PG IM India Mutual fund. Please go ahead.
Chetan Gindodia: Sir, c oming back to the earlier question on retail mall addition, so based on the
presentation we have planned additio

ns of 2.7 million square feet only till 2028
or over a base of 11 million square feet. So, the number s eems abnormally low
given that we have a very strong balance sheet and there are very few players
in this market wh o are bring up grade A malls.
So, given this opportunity landscape and given our balance sheet and the
place we are right now, are you look ing at building up this pipeline further or to
accelerate our mall additions over the coming 5-year, 7 year period and how
are you overall thinking about it?
Shishir Shrivastava: The presentation does not cover the land use definition for Thane. I just wan t
to clarify that and, of course, we do not announce or I would say we do not
allude to any transactions or deals which are under discussion. I would say that
we have multiple acquisitions which are under evaluation at various st ages of
advanced due dilige nce impact.
We are looking at in the next 24 months , we want to close 4 to 5 new
transactions and we are working actively at it and it's quite I would say the
opportunities are very real and advanced.
Chetan Gindodia: So would you be targeting 1 million square feet a year ? That is what we had
earlier planned also so broa d number?
Shishir Shrivastava: Broadly we will be there may be in t he next 2 years c umulatively we will launch
about a million square feet across all loc ations, whi ch is the expansion o f our
existing malls and thereafter we have a pipeline between Kolkata and Surat.
Thane there may be some retail and the new additions that we add now that
we acquire now . But what everyone has missed out on is the si gnificant
densific ation of the front o ffice/front of the house commercial offices which
portfolio is moving up ver y, very fast from the current 2 million square feet to
~7.5 million square feet in the next 2 years.

Chetan Gindodia: But still this won't be like we won't be a ble to utilize 100% our cash flows
towards this commercial addition . We'll still be having a significant surplus
given over and above the construction cost?
Shishir Shrivastava: See our free cash flows definitely are in excess of our current CAPEX and land
acquisition commitments, but as we announce the next 2 -3 transactions which
we hope to do soon I think we will demonstrate the commitment of next 2 years

cash flows i n these new projects that we acquire. T hen we have the ability to leverage up further i f we want to close multiple opportunities.

Moderator: Thank you very much. The next question is from the line of Sabyasachi Mukherjee from Bajaj Finserv AMC.

Sabyasachi Mukherjee: My first question is on th e fixed versus variable rental w hat is the mix now and w hat was it let's say pre-covid ?

Varun Parwal : Pre-covid in FY18 -19 our fixed rents were 85% of our total rental income and the revenue share was at about 15% that was also on account of a large number of area which was due for renewals in FY21 and 22 . Post covid with the renewals being undertaken we have seen the fixed rents moving up to about 89% and the revenue share coming to about 11%. There is a natural trend in this as the new store s stabilizes and consumption picks up in coming quarters.

Sabyasachi Mukherjee: I was under the impression that probably the revenue share has gone up because in a lot of the retail guys talk about now going for revenue share model ra ther than a fixed rental model?

Varun Parwal : So, I think for destination consum ption centers like us, we prioritize doing these with a re asonably high threshold of fixed rent and with incremental revenue share on top of the fixed rent . So, as the performing stores come up for renewals the fixed rent tends to m ove up over and above th e last drawn total rent from the particular brand a nd it's also a cycle ; in the initial years the fixed rent tends to be higher a nd then the revenue share tends to cross the fixed rent and come t

o us as a n incremental rental over and above the fixed rent and then towards the end of the contract the fixed rent resets at the base higher than the last drawn total rent.

Sabyasachi Mukherjee: And follow up to that is what percentage of area is up for revision escalation in FY25-26 if you can give a broad idea?

Varun Parwal : We have the det ails in our presentation. This i s a particular slide th at is there in the presentation, but just roughly I will give you a numbe r of about 700,000 square feet w hich is up for renewals in FY25. Slide 59 has details for each mall, and if you total it up you will get to about 7 00,000 square feet of renewals in FY25 and overall in FY24 to FY27 period, about 4 million s quare feet is what is getting renewed out of the operational portfolio of 7 million square feet i.e. the erstwhile retail operating a portfolio of 7 million square feet.

Sabyasachi Mukherjee: Last question if I may I think there was a question on what is the like - to-like consumption growth that we are expecting going forward. I missed the number, is it somewhere around early teens that you mentioned?

Varun Parwal : I think what Shishir had mentioned in response to Parikshit’s question is that you have to look at it over a 3-to-5-year period and look at low double digit or 15%, 16% growth.

Sabyasachi Mukherjee: Sorry 15% growth?

Varun Parwal : As a C AGR .

Shishir Shrivastava: We would say that for good , well performing malls, well managed malls such as our own , it would be fair to exp ect over a 3-year to 5-year period a CAGR of about 15 %, 16%; in some years it could be higher, some years it cou ld be slightly lower.

Sabyasachi Mukherjee: And our retail income would follow suit right?

Shishir Shrivastava: Would be similar.

Moderator: Thank you very much. That was the last question for the day. On behalf of The Phoenix Mills Limited, that concludes this conference. T hank you for joining us and you may now disconnect your lines.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

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October 30, 2024

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated October 26, 2024 , wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call concluded on Saturday, October 26, 2024 at 12.00 Noon (IST), with Analysts / I nstitutional Investors on the Unau dited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2024 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is also available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2025/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Shishir Shrivastava
Managing Director
DIN: 01266095

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to Q2 and H1 F Y25 Results Conference Cal l of The Phoenix Mills Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Management of the company is being represented by Mr. Shishir S hrivastava - Managing Director ; Mr. Kailash Gupta - Group CFO and Mr. Varun Parwal - Group President - Strategy, Audit and Head, Corporate Finance. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this confer ence is being recorded.
At this time, I would like to hand over the conference to Mr. Shishir Shrivastava . Thank you and over to you , sir.
Shishir Shrivastava : Thank you. Good morning, ladies and gentlemen. It is a pleasure to have you all here today to discuss our performance for the second quarter and the half year ended September 2024. I hope you have had a chance to look at the results presentation shared by us. The same is

uploaded on the stock exchanges as well as our corporate website.
Let us start with an overview of our performance on a consolidated level :

In Q2 FY25, we achieved an operating revenue of Rs. 918 crore s, a 5% increase year -on-year . EBITDA for the quarter reached Rs. 518 crore s, up 2% year -on-year . To provide a more accurate picture of our core business performance, we have adjusted the figures to exclude the contribution of the residential business, which is inherently variable in nature. Excluding the residential business, we witnessed a 22% grow th in operating revenue which reached Rs. 870 crores. EBITDA for the second quarter stood at Rs. 502 crore s, up 19%.

Similarly, for the first half of FY25, adjusted for the residential business, operating revenues reached Rs. 1,742 crores, up 23% and EBITDA for the same period was at a historic high of Rs. 1,027 crore s, up by 20% on a year -on-year basis . This is the first time our EBITDA has reached the Rs. 1,000 crore s mark and we hope to see this trend continue and

grow from here.
Moving on to our retail portfolio for Q2 FY25 :
Retailer sales i.e consumption for Q2 FY25 reached Rs. 3,279 crore s, up by 24% year -on-year , driven by the fast ramp up of the newly launched malls . On a like -to-like basis , excluding

 Phoenix Mall of the Millennium, Pune and Phoenix Mall of Asia, Bangalore, we saw consumption growth of 5%. Retail rentals for the quarter grew by 22% to Rs. 474 crores. In line with retail rentals, retail EBITDA also increased by 22% to Rs. 495 cror es for the quarter. On a like-to-like basis in Q2 FY25, retail rentals and EBITDA both grew by 5% compared to the same quarter in the previous year.
For the first half of FY25, retailer sales reached Rs. 6,496 crores, up by 25% year -on-year . Like -to-like consumption growth was 6% for the first half of FY25, again excluding Phoenix Mall of the Millennium and Phoenix Mall of Asia from the mix. Retail rentals grew by 26% to Rs. 958 crore s. Overall , retail EBITDA for H1 was Rs. 1,010 crore s, up 27% year -on-year . On a like -to-like basis, retail rentals grew by 6% and EBITDA grew by 7%. Phoenix Mall of the Millennium and Phoenix Mall of Asia, which have been operating for nearly a year now, have demonstrated excellent consumption growth, each approaching the Rs. 500 crore s mark in the first half of the financial year.
Looking at category -wise performance , jewelry was our top performing category for the quarter with a growth of 33% across the portfolio on a like -to-like basis . Gourmet , Food and Hypermarket saw a growth of 12% during the quarter. F EC & Multiplex declined by 15%, primarily due to fewer blockbuster releases during the quarter.
Moving on to the occupancy highlights :
In September 2024, leased occupancy across our major malls was at about 97% and trading occupancy was almost at about 92%. Our newer malls have seen a fast ramp up in trading occupancy with Palladium Ahmedabad which has achieved a strong trading occupancy level of 94% with the Multiplex commencing operations in Q2 FY25. Within almost a year since launch, Phoenix Mall of the Millennium has reached a trading occupancy of 87% in September and Phoenix Mall of Asia saw trading occupancy o f 78%. We also have subs tantial areas under active fit outs and both these malls are on track to cross trading occupancy of over 90% in the coming months.
Our f uture plans :
We are committed to enhancing the performance of our existing mall s through active mall management and exceptional customer service with a focus on bringing the best and the latest brands and elevating customer experience by adding more F&B and entertainment spaces. We are making significant progress towards the launch of the retail block opposite PVR at our flagship pro perty, Phoenix Palladium , Lower Parel, Mumbai. Retailers have commenced fit out activities, and we anticipate operationalizing this 250,000 square feet retail GLA by the end of 2024. Our development pipeline remains robust with approximately 3 million square feet of retail space currently under development and slated for completion by 2027 .

 Further, I am pleased to share that Phase -1 of our new city center lifestyle destination in Thane will feature a destination retail development in the range of 1.2 to 1.5 million square feet of leasable area. This is as per the plans which are currently under design development, and we continue to have more FSI potential to develop other asset classes in the subsequent phases.
With the recent land acquisitions in Bangalore, Coimbatore and Chandigarh -Mohali during 2024, we continue to build out a strong pipeline of retail -led mixed -use destinations going up to 2030.
Looking at our commercial offices business :
As of September 2024, occupancy across our operational office assets in Mumbai and Pune stood at almost 70% with gross rentals averaging around Rs. 118 per square foot. D

uring the
first half of FY25, we achieved gross leasing of approximately 150,000 square feet across our operational office assets. For Q2 FY25, income grew by 19% to Rs. 54 crores and EBITDA was at Rs. 34 crores up by 31%. For the first half of FY25, income stood at Rs. 105 crores, up 17% and EBITDA grew by 31% to Rs. 66 crores . The growth in the segment was led by improved rent generating occupancy at Art Guild House, Mumbai and Fountainhead Tower s in Pune.
Looking ahead, we have initiated pre -leasing activities for Phoenix Asia Towers in Bangalore. The construction of this asset is complete, and we are awaiting the occupancy certificate. We are also nearing completion of our offices in Pune, which are Millennium Towers and at our offices in Chennai. Our office developments in Bangalore, Pune and Chennai will take our commercial office portfolio to nearly 5 million square feet.
Hospitality portfolio:
Our hotels have delivered a stellar performance this quarter with The St. Regis, Mumbai leading the way where occupancy improved by 3 percentage points to 85% for both Q2 and H1 FY25, driven by increased corporate events and wedding festivities in the city. This led to a 15% growth in the average room rate to Rs. 17,320 and a 19% increase in RevPAR to Rs. 14,694 for Q2 FY25. For the first half of the year, ARR and RevPAR at this asset grew by 7% and 11% respectively.
At Courtyard by Marriott, Agra occupancy for Q2 FY25 stood at 67%. The property achieved a 9% growth in ARR reaching Rs. 4,569 and a 5% increase in RevPAR to Rs. 3,044 during Q 2 FY25.
Looking at our residential business for the first half of FY25 :
The business achieved gross sales of Rs. 78 crores and collections of Rs. 125 crore s. The average sales price across our two residential assets, One Bangalore West and K essaku, both in Bangalore is approximately Rs. 26,000 per s quare foot. We currently have approximately 390,000 square feet of ready inventory remaining to be sold at these two projects.

 This brings me to the end of the performance update across our businesses. Here 's wishing you all a Happy Diwali and a Prosperous New Year.
I would now like to request Kailash to take you through the financial performance.
Kailash Gupta : Thank you, Shishir and good morning , everyone.
Let us begin with the Financial Performance of our standa lone business :
The Phoenix Mills Limited on a standalone basis primarily consists of Phoenix Palladium , Mumbai and a small component of offices at the Phoenix House. For Q2 FY25 , income from operation s reached Rs. 1 16 crores , a 3% increase over the same period last year. EBITDA for the quarter remain ed steady at Rs. 72 crores with a margin of 63%.
Moving to our consolidated business :
Last year, we realized significant revenue and profit from sale of ready inventory in our Bangalore Residential projects. Additionally, the receipt of OC for Tower 7 at One Bangalore West boosted our revenue.
Adjusted for the residential business, consolidated operational revenue across the annuity portfolio for the quarter was Rs. 870 crore s, growing by 22% year -on-year basis. Consolidated operating EBITDA excluding residential business grew by 19% year -on-year basis reaching Rs. 502 crore s in Q2 FY25.
Updates on our debt and liquidity position :
I am pleased to announce that PML's credit rating was recently upgraded to AA positive , with the positive outlook , reflecting our growth trajectory and discipline d financial approach.
As on September 2024, our liquidity position was at Rs. 1,974 crore s. Compared to March 2024, our group level gross debt increased marginally by Rs. 13 crores to Rs. 4,379 crore s. Our group level net debt position improved to Rs. 2,405 crore s as on September 2024.The net debt -to-EBITDA ratio remain ed healthy at 1.1x a nd we have successfully reduced our average cost of debt to 8.67% in September 2024.
We re

main committed to reducing debt and optimize our cost to debt ratio. Notably , all our recent land acquisition s have been funded entirely through internal a ccru als. Just to give you the perspective, our total CAPEX in the first half was at ~Rs. 1,380 crore s, which includes land acquisitions of ~Rs. 740 crore s and a construction cost of approximately Rs. 640 crore s. The entire funding is done from the equity participation from CPPIB at ~Rs. 270 crore s and the balance was funded through internal accrua l. So this show s the financial discipline which we are following in the business side.

 On the cash flow , for the first half of FY24 , we generated a net cash flow around Rs. 1,000 crore s from operation s and during Q2 FY25, we generated a net cash of Rs. 486 crores from operations. To provide further context, after accounting for the interest payment on our existing debt , our operating free cash flow , net of taxes and interest was at Rs. 380 crore s.
Excluding the residential business, the operating cash flow for Q2 FY25 stood at Rs. 378 crore s, a 24% increase from the same period last year.
With the upcoming festival and winter season, we remain optimistic about our performance in

the second half of the year. We have a strong development pipeline in place extending up to 2027. With the recent acquisition s in Thane, Bangalore, Coimbatore , and Chandigarh -Mohali , we now have a pipeline visibility going up to 2030, which we will announce shortly. We expect to double our operational annuity portfolio area between now to 2030. Leveraging our strong balance sheet, we are committed to delivering our under -construction projects on time and deploying capital judici ously to expand our portfolio.

This brings me to the end of the financial performance update. Wish you all a very Happy Diwali and let us get into Q&A session .

Moderator : Thank you very much. We will now begin the question -and-answer session. We w ill take our first question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My first question is , if you can give some color on what you are seeing in the first 25 days of this month, how is the start of the festive season and this month in terms of consumption level?

Shishir Shrivastava : This month has been a bit of a mixed bucket in terms of performance across the country w ith Chennai and Bangalore seeing the heavy deluge, we have seen quite an impact on consumption , perhaps to the extent of about Rs. 20 crores or so because of the rains itself. Mumbai, Pune seem to be pretty much moderate so far but starting yesterday with the two weekends of the festive season, we are quite geared up to see high foot falls and high consumption. Also, as you are aware, even in times wh ere one generally has been seeing a decline in sales across retail brands across the country, not just in our portfolio , we drive consumption slightly differently and therefore we have not seen de-growth , we have only seen a positive growth as we mentioned like -to-like growth excluding Mall of the Millennium and Phoenix Mall of Asia, Bangalore , our l ike-to-like growth is in the range of about 7 %-9% averaging there and this is for the month of October, despite the rains in Bangalore and Chennai.

Puneet Gulati: Just a small observation here , in your other category for last quarter, this is sharp 21% decline , I know it is just a small part of your overall business, but what all does it capture?

Shishir Shrivastava : What all does others capture ?

 Puneet Gulati: Yes.

Shishir Shrivastava : Others income typically would be parking income, marketing income and event space rentals, etc.

Puneet Gulati: And secondly, if you can comment upon, you have done 3 acquisitions of f late and some progress on Thane side as well. So, Coimbatore, Mohali, Thane if you can give some sense of what are the rentals and w

hat is the total area you are looking to build there?

Shishir Shrivastava : So, I would like to put it lik e this that our business plan is underwritten with conservative rentals, right , but despite that, I would say that by the third year of operation, we should be in the range of about 14% yield on cost. We have underwritten the rentals, looking at what are the rentals in competitive malls in that vicinity and we have kind of just use d that as our base approach , though we typically track maybe 15% higher than what the market average would be.

Puneet Gulati: Lastly, if you can comment on the progress on your office leasing ?

Shishir Shrivastava : Office leasing has seen good progress. As you can see our gross revenue and EBITDA is up significantly compared to the previous year. We are waiting to get the OC in Bangalore. It is about 800,000 square feet of GLA. We have transactions which are in place and will get executed soon after OC , for I think about 200,000 square feet almost and a lot of discussions in pipeline . Historically , Bangalore has seen the highest ever leasing in the country in the first half in this financial year and we are happy to see the traction find its way to our asset as well.

Puneet Gulati: And Pune side ?

Shishir Shrivastava : Pune is still under development. I think we may be about 6 months away from OC. So, we are also actively in the marketing phase there. There have been a lot of site visits, a lot of RFP's which are under di scussion now ; as soon as we have confirmations, we will let you know what area has already been signed up.

Moderator: Thank you. Next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.

Praveen Choudhary: I am looking at just one number and I am trying to decode as much as possible, so please indulge if you can , so, I am looking at the PATMI number, which is net profit after minority interest. And when I look at last quarter, it was down 3% year -over -year. This quarter is down 14% year -over -year. Again, obviously there is a residential angle to it. So, two questions there , one is, how should we think about the residential business margin for you? Is it a 5% margin net business or 15%? And then the second thing is that you have given us excluding residential EBITDA growth, I think probably for the first time. Would you ensure that you will continue to

 give or can you give retroactively the force so that that is the real way to understand the growth and the reason to there is disconnect between these two because if you remove the residential part of the business, it is nicely growing ; both in EBITDA and revenue terms. But as I said, PATM I even if I remove the residential part with some assumption of margin , it still shows year -over - year decline. So, can you just help us reconcile that?

Shishir Shrivastava : Praveen, I am going to try and respond to a couple of questions and a few , you will have to repeat again because that was a long list of many questions. Firstly, yes, in Q1, we had disclosed the EBITDA numbers excluding the residential business and we will continue to do that as we have done in Q2 as well and going forward. I just want to clarify that for us, the residential business today , it primarily comprises of that balance inventory of about 390,000 square feet in Bangalore . Our margins are in the range of about 40 %-50%. So, it is not a declining margin business for us . This is ready inventory and we have already incurred all the cost there. Even when we are looking at the development in Kolkata, the residential development in Kolkata, the margins would be in the similar range or maybe 5 %-10% lesser than that, but it is not 5 % or 10 % or a 15% margin business for us. Would you like to repeat your other questions?

Praveen Choudhary : I was not talking about EBITDA margin. I was thinking of net margin because one of the main question s I have is your EBITDA growth is fine , like-to-like or excluding residential , that is very strong. We are talking about PATMI growth, which is where, because of minority interest, maybe minority interest is growing very fast. Those malls which are JV projects are doing very well. That is why there is a disconnect between the speed at which you are growing on the topline and EBITDA is not s howing up in my net profit line. And I am trying to reconcile it and that is why?

Shishir Shrivastava : Few lines on what has impacted the net profit margin . One is our liquidity has reduced , so our other income from interest and investments , etc., has certainly reduced. The taxes have gone up because in many of our newer malls , we don't have any debt or very nominal debt. So, the tax impact is high . In the older malls , we have utilized accrued losses , so, taxes have started increasing. So, these are a few of the lines which have impacted our net PAT if you were to look at it. I didn't quite get the point on the JV businesses because we do consolidate all the numbers. We own majority , more than 50 % in all our JV's. So, we are consolidating all the lines there. Perhaps you are looking at after the minority sharehol ders interest. So, yes, in the case of CPPIB JV, there is a 49% sharing out there and in the case of our joint venture with GIC, there is a 33% share that they have.

Having said that, I would also like to point out a very interesting fact here , all of our operating assets, excluding the ones which are new where we have certainly built out all the remaining asset classes, but all of our assets which are currently generating Rs. 200 plus crore of revenue or of rental income or even EBITDA, these numbers are coming out of about 1 million or 1.2 million square feet of GL A. And all of them have the potential of additional FSI, which we are exploiting and we are constructing and building, and they will e ach become developments in

the range of 3-5 million square feet. So, you can imagine the potential growth arising out of this additional area, which are all annuity assets.

For example , if you look at Phoenix MarketC ity, Bangalore, we have about 1.2 million square feet of retail space currently , we are adding another 100,000 square feet. We have the Grand Hyatt Hotel coming there. We have the offices block coming there, plus we have acquired the adjacent land, which once we are able to amalgamate that will give us further potential of another 1.2 million -1.5 million somewhere in that range. So, the incremental cost s for developing these asset classes are very low because we own the land. Yes, you are paying for premium FSI and construction, but the return or the yield on all of this is going to be significantly higher and all of this is playing out between n ow and 2027 where we have explained how our portfolio is going to grow. So, this is an important fact that I would like you to bear in mind, which will obviously have a significant impact on our PAT going forward.

Praveen Choudhary: I guess the strategy is unquestionably correct. We also see that recent land acquisitions will ensure the visibility till 2030 in terms of newer malls and newer offices coming through. Some investors do ask is there a gap between now and 2027 and probably that you are trying to answer that question by saying some of the FSI you will exploit, but is there something you want to talk about between now and 2027 when either Surat or Kolkata comes through and after that it looks very smooth that we can see some slowdown, meaning that there is the gap between the reported growth and the like -for-like growth will narrow means they will be similar which will reduce the overall growth for the company. And I understand the office coming through and we understand the Palladium extensions coming through, but still it won't be same as what we ha

ve seen in the last 12 months where you had 4 new malls coming in. Is there anything to fill up that gap?

Shishir Shrivastava : As you mentioned, offices are all going to be operational between , let us say , we should get the OC in about a month 's time in Bangalore , in 6 month s' time for the 1st Phase in Millennium Towers, another 4 months thereafter for the second Phase of Millennium Towers, so incremental area and of course Chennai as well – we have another 500,000 odd square feet of offices in Chennai which will come online. We have Phoenix Palladium as I mentioned , another 250,000 square feet which will be operational very soon. So, over the next 24 months, I think every quarter you are going to see maybe 250 ,000 -300,000 square feet becoming operational of either retail or office . So, I think that these are certainly going to help bridge the gap. There could be maybe one quarter impact because between leasing and trading, but one can safely assume that there is a significant growth coming out of these inorganically through these expansions .

Moderator: Thank you. We will take our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

 Parikshit Kandpal: Shishir, m y first question is on consumption. So, we have seen a decline of 4% in Palladium, 2% in Bangalore, Pune also 5% and 3% in Chennai. So, I just wanted to understand if you can help us with some data points over the last few months , so how ha ve been the revenue share and the minimum guarantee tracking? So, is there a divergent building between the two now because of the slowdown in sales of the retailer? And will that in any way impact or when they come back to us and negotiate ag ain for a lower rate, if they are not able to do well in their portfolio ?

Shishir Shrivastava : So, in the last 12 months, generally I would say minimum guarantee at an average across our malls may have gone up by about 10%. And as we know that in the last quarter or last two quarters, retail consumption has been muted. We have seen growth in our malls. It has not been there , Pan India in other standalone stores etc ., but I would say 5% -7% growth is what we have seen. Consequently, because the minimum guarantee and you are very well familiar with our model Parikshit, every cycle of 3 years, you see that MG moves up and catches up with the incremental rent that we get out of the revenue share. So, it takes another 2 quarters or 3 quarters before the revenue share starts moving up again. So, perhaps we may see an impact of the slow consumption across the country, but we are confident that with our initiatives , it maybe a 2-quarter lag, but again we will start seeing incremental rent being contributed out of revenue share as the consumption moves up.

Parikshit Kandpal: But you are seeing some divergence between the two. So, revenue share is tracking down and MG is tracking higher. So, what is this period?

Shishir Shrivastava : No, i t is not tracking down or tracking higher. This is the way our model has worked over the last 20 years . Every 3 years, you see a significant jump as you end the contracts near end of tenure and you enter into renewals or even within 5-year contracts at the end of 3 years , there is a significant jump in MG. So, this is the way the model is . MG moves up , then it takes and catches up with the overall rent that we were deriving as a combination of MG plus the incremental rent from revenue share. So, when MG moves up, it catches up to that. That becomes the new base and over a period of 2 or 3 quarters consumption then tracks up and starts contributing further incremental rent. See typically we have always seen an average of incremental rent being in the range of about 11 %-12% over and above t he minimum guarantee. So, we remain confident that over a period we will be at that , we will continue to be at that.

Parikshit Kan

dpal : Sir, second question is on the Multiplexes, which is about 14% of the trading mix and F&B 11%. So, one edge , we have seen both Multiplexes tracking down by almost 11% in consumption and F&B has been muted 0 to 2%. So, they take up almost 25% of the area, but they are not growing and both are interrelated, though they contribute very low, Multiplex is about 4% to the consumption , but still occupying a lot of space and we are not be ing getting good Blockbuster content of late for some time now and I think you did mention that you are looking at adding more area under this umbrella. So, given that how do you see growth coming in when large part of the area will not contribute towards rental growth or consumption growth?

 Varun Parwal: Varun this side. I think just clarifying on the first part, family entertainment centers which comprise of retailers like a Time Zone, or a Play ‘N’ Learn or Game Palacio or other gaming centers is at about 5 %-6% of our overall re tail leasable area at this point in time and Multiplexes are at about 8%-9%. The f amily entertainment centers , of course, have been seeing a very strong growth and they have been acting as crowd -pullers and they have been helping us increase the dwell time that consumers have and Multiplexes for reasons that have been discussed in various other forums they have seen a bit of impact on consumption because of the sort of content t hat is coming out, but I think as we look forward we see the content pipeline increasing and improving and we are seeing a lot of blockbuster lineups scheduled now for the period from November to March. So, we are hopeful that we are through the worst of the cycle for the Multiplexes and going forward we should start seeing improving numbers and at the same time with our family entertainment centers and our own in -house fan parks and open spaces , we have done a lot of events for which the response has been phenomenal across cities and that continues to act as getting people an experiential avenue to come and spend time in the mall.

Parikshit Kandpal: Sir, just on that is the last question on this Thane thing. So, now we have 2 large malls in the vicinity of about 2 kilometer radius and I understand one of the peers who has bought land nearby is looking in the market to sell the land where he was planning to build the Multiplex. So, what gives us confidence that the market where already too large assets are there, one peer is looking to exit , so what gives us confidence that again we can repeat Phoenix MarketCity kind of a model in this m icro market?
Shishir Shrivastava : I think it is going to be an interesting development to see how Thane is shaping up. We believe that Thane does have the size of the market, that can absorb another 1 or 2 million square feet of retail GLA. We are going to clearly build something which is best in class new age. We are going to be leveraging our relationships with the brands to get the best brand mix over here. When we purchase, typically before we acquire any land, we do extensive research and extensive discussions with our brand partners who lead the mall occupancy , global and Indian brand partner s and we have a lot of interest from the best of brands to be a part of this mall. We are very conscious of the competition there and clearly our efforts are going to be to build the best asset that there is in that micro market for time to come and that will be the foundation of driving our success.
Parikshit Kandpal: So, what will be the rentals we are kind of starting rentals ?
Shishir Shrivastava : So, we have underwritten our rentals in the range of about 175, but that i s only for the business plan and for the acquisition , evaluation and feasibility. We are confident that the market is going to be closer to about 180 -200 in that range ; and I think that puts us in a very good space.

Moderator: Thank you. We will take our next question from the line of Parvez Qazi from Nuvama Group. Please go ahead.

 Parvez Qazi : My first question is regarding the Thane land parcel. When do we see the completion timeline for the mall which we intend to develop in the first phase ? Second is with regards to the Kolkata residential project , what could be a potential launch timeline there ? And third at a slightly broader overall level , slowdown in urban consumption has been talked for now last couple of quarters. We have in fact done quite well , so what additionally can we do in terms of either category mix change or other things which we can try to kind of tackle this situation ?
Shishir Shrivastava : Thane, if I may just clarify Parvez your first question was on Thane, I couldn't hear you very clearly.
Parvez Qazi: So, the completion timeline for the Thane mall?
Shishir Shrivastava : We are currently in advanced design development stages. I think we will go into approvals , maybe in the next month and a half or so. Typically , it may take a quarter or so to get the approvals . I would think that we should be in a position to break ground in about 6 months from now. Typically , the first phase, which is the mall, takes about 4 years to build out. And so in about 4 -1/2 years, one can expect that the mall will be ready for retailers to do their fit outs and soon after that commen ce their operations.
Parvez Qazi: For the Kolkata Residential ?
Shishir Shrivastava : Kolkata Res idential, we expect to launch this in Q1 FY26 some -time in April next year. And the pre-marketing activities will start even probably in the last quarter of this financial year.
Parvez Qazi: And regarding the overall urban consumption thing , what can be done?
Shishir Shrivastava : We will continue to focus on what we do best . We have c ontinually been very innovative in the way we are driving the right profile of customers to our mall and driving consumption and we are going to continue to do that. We have some excellent lineups of some large events, performances at all our malls with great artist s, lot F&B based events . I don't know if you are aware we did the MasterChef event in Bangalore where we had erstwhile judges from Australia visit us and this ran over 3 days. All 3 days were sold out. Tickets were priced at Rs. 6,000 ahead and they were all sold out, so these are the quality of events th at we run there which drives consumption . Over and above that we have the best of artists performing across our destinations , we have the best experiential events, décor w hich all is driving consumption. So, we will continue to do that and continue to do that the best way we can which is why again, if you just correlate with retailers, Pan India consumption and versus the consumption recorded by their stores in our malls, you will see that they track far better than they do across the country.
Moderator: Thank you. Next question is from the line of Kunal Lakhan from CLSA. Please go ahead .

 Kunal Lakhan: So, just on the consumption side, so if you just consider like the malls which have been stable, right, in terms of the occupancy abo ve 90% , so if you exclude, say, Ahmedabad, which saw uptake in the occupancy as well as trading density , the overall consumptions , rather same store consumption was like say less than 3% up, how should one look at this number going ahead right now ? I remember in the past you have spoken about your mature malls should clock somewhere in the range of like double di git consumption growth on a steady state basis. How do you look at this number now in the context of the slowdown that we are seeing overall in consumption across India ? I understand your consumption at your malls is doing better , but overall slowdown is there , so how do you see this number for steady state malls going ahead?

Shishir Shri

vastava : Kunal, you have to actually look at historically how we have trended over the last 15 years and we have typically been in that double digit growth for the last 15 years. I believe that simply with the way our shoppers are growing in numbers over a period of time , to me personally this may be a blip for a couple of quarters fueled by many reasons, whether it is the pricing inflation in retail, whether it is generally , we had elections and we had dry days and all of that this year, I think it is a blip that one may see for a couple of quarters, but again, over the long run, we remain confident to see double digit growth in consumption across the board. And we are conscious of the fact that as the malls age, as the market actually continues to , at some point it is not going to keep growing, but there is going to be some kind of leveling of in -consumption trends. So, we focus on how we are going to grow the business and we continue to focus on looking at new geographies where we can enter and I think that strategy has played out well in times where organic growth has been moderate , but we are seeing that the contribution due to inorganic growth has taken our overall consumption and overall rentals and EBITDA up. That strategy continues to play out.
Kunal Lakhan: And just to understand like 10% double digit consumption growth, how do you break this up like say in terms of pricing lead , in terms of volume lead , volume of footfa lls lead, how do you bring that up internally for yourself ?
Shishir Shrivastava : If you just look at Phoenix MarketCity, Mumbai, right, which has recorded double digit growth , we have seen the contributors to that would be new retailers that we have added like Uniqlo etc., so we a re bringing in new brands and new categories as well. We have seen F &B with cafes and bars showing a significant increase in consumption . Return to , I would say the Multiplex es awaited because that I think is going to fuel more consumption, but hopefully with new blockbusters being released that will play out well. We got Decathlon in at Phoenix MarketCity, Kurla again, which is under fit out. This is going to certainly bring in a different category and a new brand in driving that. And interestingly, as the occupancy of the offices continues to grow, that keeps adding captive audience to the mall for the entertainment and F&B and that again is going to aid consumption growth. So, similarly , again as w e see the office occupancy of Fountainhead Tower 3 in Phoenix MarketCi ty, Viman Nagar that will aid consumption as well . As Phoenix Asia Towers 800 ,000 square feet get occupied in Bangalore

 that will aid consumption at Mall of Asia. So, there are multiple strategies at play here which help us get into a 10 %-11% kind of growth.
Kunal Lakhan: And my second question was on the Tier-2 city opportunity, right, we have seen some capital deployment there in the last few years and particularly in last quarter also , Coimbatore and Chandigarh. So, how should we look at incrementally on the capital deployment side? How much would be the focus towards Tier-2 towns and just an overall, just be on the whole ?
Shishir Shrivastava : We have been very clear about our growth strategy and cities which are of interest. I think it is repeated in every investor presentation and we are simply going with that and check boxing that. You can see Thane, Coimbatore, Chandigarh have been check box. We still are looking for options in Hyderabad , NCR, Navi Mumbai, Goa, Jaipur, Kochi . These are markets that we believe are well worth our investment . We should achieve our target yields of 14 %-15% on mall stabilization in each of the se locations after 3 years of operations and steadily increasing and going up to 20% thereafter. So, we have been quite clear . If you are asking us what is our Tier-2 strategy, just look at the slide in our corpo

rate presentation and you will see the cities of interest, these are the cities that we are focused on.
Moderator: Ladies and gentlemen, we will take that as the last question for today. On behalf of Phoenix Mills Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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February 05, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated January 31, 202 5, wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call concluded on Friday , January 31, 2025 at 11.45 A.M. (IST), with Analysts / I nstitutional Investors on the Unau dited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2024 , please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company’s website and can be accessed at https://www.thephoenixmills.com/investors/FY2025/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

 The Phoenix Mills Limited
Q3 & 9M FY 25 Earnings Conference Call
January 31, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9M FY25 Results Conference Call of The Phoenix Mills Limited .
As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation c oncludes.
Management of the company is being represented by Mr. Shishir Shrivastava , Managing Director; Mr. Kailash Gupta, Group CFO ; and Mr. Varun Parwal , Group President, Strategy, Audit and Head - Corporate Finance.
Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touch tone phone. Please note that this conference is being recorded.
At this time, I would like to hand the conference over to Mr. Shishi r Shrivastava. Thank you and over to you, sir.
Shishir Shrivastava: Thank you, Michelle. Good morning, everyone. We take pleasure in welcoming you all to discuss the operating and financial performance for the Third Quarter and Nine Months ended December 2024. It's our privilege to share yet another strong quarter of growth and success with you.
Our Q3 FY25 results reflect our unwavering commitment to delivering sustained value for all

our stakeholders. I hope you have had a chance to look at the results presentation shared by us; the s ame is uploaded on the stock exchanges as well as our corporate website. I will now take you through the key highlights of the results.

Let us start with an overview of our performance on a consolidated level. In Q3 FY25 , our core businesses , that is retail , offices and hotels achieved an operating revenue of Rs. 927 crores, and EBITDA for the quarter was at Rs. 561 crores . We had strong performances across our core operating businesses, which reflected in revenue growth of 14% year -on-year and EBITDA growth of 21% year -on-year . To provide a more accurate picture of our core business performance, we have adjusted the figures to exclude the contributions from the residential and non -core businesses, which are inherently variable in nature.

For 9M FY25 , operating revenue from our core businesses stood

at Rs. 2,613 crores , up 19%
versus 9M FY24 . EBITDA for the nine months from our core businesses was at Rs. 1,601 crores , up 21% versus 9M FY24 .

 For the group , at a consolidated level, revenue from operations for 9M FY25 stood at Rs. 2,797 crores , which is a 5% increase year -on-year , and EBITDA was at Rs. 1,602 crores , up 3% versus 9M FY24 .

Moving on to our retail business performance , the first up is the update on the expansion of Phoenix Palladium , Mumbai. I am pleased to announce the completion of a significant expansion at Phoenix Palladium , Mumbai, adding approximately 250,000 square feet of gross leasable area. This expansion aims to offer an unparalleled retail experience with five levels of curated retail offerings , a diverse s election of distinguished F &B outlets , and an elevated dining experience. Planned additions include entertainment options such as a pickleball and paddle court , and an indoor gaming and entertainment hub.

In November 2024 , we celebrated the grand opening of this new annex building with the launch of South Mumbai's first and Mumbai's largest Uniqlo store. This was followed by the opening of Celio’s flagship store and Lifestyle, along with other retailers including Ec co, GAP, San-Cha Tea, Dessange and Nykaa Luxe, and more launches are expected in the coming months. We have created a tw o-level F&B village featuring over 18 dining venues, several which are currently under fit -out, and a large entertainment hub under fit -out which is Game Palacio which will further enrich the center ’s offering.

Moving on to our operational highlights :

Retail consumption surged to over Rs. 4,000 crores in Q3 FY25 , marking a robust 21% year -on-year growth. This reflects the continued strength of discretionary spending and the resilience of our premium retail assets. We witnessed a significant revival in consumption during this festive season, with strong growth at several of our properties, including Phoenix MarketCity Pune , which reported an 11% increase , and Phoenix Pala ssio Lucknow which saw a 19% increase. Of course, the recently launched properties at Indore, Ahmedabad, Pune and Bangalore continue with strong operating trends. Across the portfolio : Jewel ry emerged as the top performing category this quarter with a growth of 26%, followed by FEC and multiplex showing a 16% growth. Fashion and accessories showed a growth of 13 %. In this last quarter , we saw unseasonal heavy rains in Bangalore and Chennai which impacted consumption . It is our estimate that our overall consumption would have been higher by about 1 .5%, approximating about Rs. 55 to Rs. 60 crores in Q3 FY25 had we not seen this unusual weather change .

Retail rental income stood at Rs. 505 crores , up 12% year -on-year . Retail EBITDA for the quarter came in at Rs. 505 crores as well, up 15%.

Consumption reached Rs. 10,500 crores during the first nine months of this fiscal year , up 23% year -on-year . This compares favorably to the total consumption of Rs. 11,300 crores achieved in the entirety of FY 24 . We saw strong uptick in consumption during the quarter and this

 positive momentum has continued in January as well. Retail rentals for the first nine months of FY25 exhibited a 21% year -on-year growth, reaching about Rs. 1,470 crores . Concurrently , EBITDA for this period was up by 22% year -on-year at about Rs. 1,511 crores .

Trading occupancy continues to build strong momentum reaching 91% in December 2024, up 87% from March. Our newly launched malls are ramping up at an impressive pace, contributing significantly to this growth. Palladium Ahmedabad achieved a strong trading occupancy level of 97% in December 2024 . Phoenix Mall of the Millennium , Pune, has reached a trading occupancy of 91% , and Phoenix Mall of Asia touched a trading occupancy of 81% in December 2024.

Moving on to th

e office business. As of December 2024 , occupancy across our operational
office assets in Mumbai and Pune stood at 70% , with average rent at around Rs. 112 per square foot. During 9M FY25 , we completed leasing of about 1.7 0 lakh square feet in the currently

operational offices. During the quarter, our commercial office income grew by 7% to Rs. 53 crores and EBITDA was at Rs. 33 crores , which was up by 17%. For 9M FY25 , income was recorded at Rs. 158 crores , up 12% , and EBITDA grew by 22% to Rs. 98 crores . Income and EBITDA growth primarily resulted from increased license fees due to higher billing from new leases and rental escalations , coupled with improv ed cost control measures.

We are pleased to announce that Phoeni x Asia Towers , Bangalore , has received the occupation certificate and we will see our clients , who are currently under fit out, commencing operations from their fantastic offices soon. Pre-leasing activities have commenced for Phoenix Asia Tower, Bangalore , and Phoenix Millennium Towers . We have cumulatively leased about 110,000 square feet across these assets. We still await the completion of Millennium Towers, Pune , post which we expect the leasing velocity to accelerate. Looking ahead, we also anticipate the completion of One National Park , our offices in Chennai , during 2025. Our office developments in Pune, Bangalore and Chenn ai will take our total commercial office portfolio to nearly 5 million square feet , in 2025 .

Moving on to our hotels . A key element of our strategy this year has been a deliberate focus on optimizing the ADRs (Average Daily Rate) , even if it meant potentially moderating occupancy levels . This strategy has proven particularly successful with our flagship property, The St. Regis Hotel , Mumbai.

The St. Regis continues to lead the market, achieving a stellar 11% increase in ADR at about Rs. 22,343 for Q3FY25 . This reinforces our pricing power and the premium positioning of our hotel. During Q3 FY25 , we achieved an impressive 11% increase in ADR while maintaining a healthy occupancy rate of 84% , a marginal 2 percentage point improvement. For the 9M FY25 , ARR and RevPAR at The St. Regis, Mumbai , grew by 9% and 13% , respectively. Income for Q3 FY25 at The St. Regis , Mumbai , was Rs. 148 crores with an EBITDA of Rs. 72 crores , representing healthy EBITDA margins at about 49%.

 The Courtyard by Marriott , Agra , has delivered excellent performance with occupancy at 83% and a strong 21% growth in ARR. This again reflects the sustained recovery in domestic and inbound tourism. Revenue from F &B and banqueting saw a strong growth of 13% during the quarter , supported by the growth in Rev PAR and F&B, total income for Q3 FY25 grew by 16% to Rs. 20 crores , with a stro ng EBITDA margin of 37% at The Courtyard by Marriott , Agra.

A quick snapshot about our residential vertical . For the 9M FY25 , our residential business achieved gross sales of Rs. 135 crores and collections of Rs. 165 crores . The average sales pri ce across our two residential assets , One Bangalore West and Ke ssaku in Bangalore is approximately Rs. 26,100 per square foot for 9M FY25 . We currently have about 380,000 square feet of ready inventory , which we expect to sell in these two projects in the coming years.

This brings me to the end of the operational update of our businesses , and I would now like to request Kailash, our Group CFO , to take you through the financial performance.

Kailash Gupta: Thank you, Shishir and good morning, everyone.

Let us begin with the financial performance of our standalone business first. The P &L on a standalone basis, includes Phoenix Palladium and some a small part of office component. For Q3 FY25, income from operations touched to Rs. 127 crores , a 6% increase over the same period last year. EBITDA for the quarter stood at Rs. 81 crores , increase

by 5% at the margin of
64%.

Moving to be a consolidated business . Our consolidate d revenue from operation s for Q3 FY25 was at Rs. 975 crores , with an EBITDA of Rs. 553 crores . For the nine months ended December 2024 , consolidated revenue was at Rs. 2,797 crores, u p by 5% . And EBITDA was Rs. 1,602 crores . Our core businesses, retail , office and hotel have generated Rs. 1,601 crores .

Let me update you on the cash flow, CAPEX , liquidity and debt part. The net cash generated from operational activities for 9M FY25 was Rs. 1, 506 crores , and for Q3 it was Rs. 506 crores. To provide further context, after adjusting for interest and taxes paid , and excluding of course the residential business, the operating cash flow was Rs. 380 crores , up 12% for the Q3FY25. Capital expenditure for 9MFY25 was at Rs. 1,758 crores which includes acquisition of three assets, mainly the Mittal land (in Bangalore) , Coimbatore and Chandigarh , total amount is Rs. 965 crores and the total construction cost is around Rs. 793 crores . As on December 2024, the liquidity position i.e total cash available for the future is Rs. 2,074 crores . Compared to March 2024 , our group level gross debt increased marginally by Rs. 25 crores and stood at Rs. 4,391 crores . Our group level net debt position post the cash reduction is around Rs. 2,317 crores as on December 2024.

 We reduce d our average cost of borrowing to 8.64%, which is around 20 bps reduction as compared to March 2024 , and we remain committed to the future optimization of our debt cost, s o we continue to churn our debt portfolio based on the availability.

To secure our long -term growth, we have strategically acquired six land parcels totaling to around 53 acres over the past two years , and we have now pipeline visibility up to 2030. Our strong balance sheet remains a cornerstone of our growth strategy with a net debt to EBITDA ratio at just 1.1 x, and provides ample headroom for strategic expansion. Our growth trajectory remains strong and well defined with plan to double our operational annuity portfolio by 2030.

We are systematically executing on our pipeline , ensuring long -term value creation for the stakeholders, leveraging our strong balance sheet. We are committed to deliver our under construction projects on time and deploying capital judiciously to expand our portfolio.

This brings me to the end of the financial performance update and the liquidity position. We can now start with the Q &A session . Thank you.

Moderator: Thank you very much , sir. We will now begin with a question -and-answer session. The first question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati : Yes. Thank you so much , and good morning. My first question is , if you c an talk a bit about the non-retail part of the business. There seems to be a bit of slowness in commercial leasing , on the residential sales, especially given the environment . Can you talk about what you are doing to accelerate those sales and leases ?

Shishir Shrivastava: Hi, Puneet . This is Shishir . Thank you for your very relevant pertinent question. Let me talk a little bit about the o ffice s first. Across the country, we are seeing the demand to grow for office space leasing. In Bangalore, as I mentioned earlier in my communication , we have just recently received the occupation certific ate, and we now see a lot of interest going up there. Also, I want to talk a little bit about course correction. While we were building all of these offices , we came to realize that it was very important to get the front office ; Grade A; best -in-class positioning right . And in that context, we have now created some signi ficant experiences at the office s, the amenities that we have created, executive lounges, meeting room facilities, flex spaces for our occupants over there , fantastic F &B options within the offi ce development itself, including cafes, gym s, I would say community spaces.

All of these were a part of the course correction that we did when we started looking at what competition was all about . And in the market of Pune and Bangalore , we realized that the competition was all focused on IT and ITES spaces . And for us to create a niche and carve out and attract the right clientele , it was important to get the positioning and the amenities and the entire building specs upgraded . We commenced this enhancement about six months ago and we have now nearly completed it. Very interestingly, H &M's India corporate office has

 signed up for space at Asia Towers, Bangalore , and we have got some very good clientele lined up now. I think we are going to see the benefits of all of this in the coming three quarters and we are going to see a very, very promising lea sing velocity going forward.

We have done the same course correction at Millennium Towers, Pune , as well . And we are very, very excited to see that this building has pretty much turned out to be the best -in-class new benchmark setting asset for that city. As I mentioned earlier, it's all about creating the right experiences. We have learned the value of this enhancement and the creation of significant revenue at The St. Regis and in our malls , and we are taking those learnings and duplicating them across our office assets across the portfolio .

Moving on to residential, Puneet, we have an inventory at the current pricing of approximately Rs. 1,000 crores. We are gearing up to expand that development with Tower 8 also getting launched perhaps sometime in the next financial year. We are very keen not to dilute the position ing. I guess your question is more about , how does one accelerate the sales velocity ?

Puneet Gulati : Yes, sir.

Shishir Shrivastava: The trade is, you drop pricing you get a higher sales velocity . For Rs. 1,000 crores inventory in our books , we w ant to maintain that premium positioning and pricing , we want to stay true to the product. We do not want to disappoint the buyers who alr eady have occupied spaces there and we want to set right the positioning for Tower 8, which will get launched in the next fiscal year. So , we are not seeing the benefit of dropping pricing to improve sales velocity.

Puneet Gulati : Understood , sir. That's helpful. And from the numbers at least it looked like the net sales were actually negative , so a re we worried on the cancellation or those are some routine ones?

Shishir Shrivastava: No, no, this is more of a timing issue. I just want to point out o ne more , let me b ring about one more point for you to understand . In 2018 , see, o ur pricing was roughly at about Rs. 15,000 to Rs. 16,000 per square feet . And as a conscious call, we have decided to inch it up. As I mentioned earlier in my communication, we are currently at about Rs. 26,100 or thereabouts per square foot is the current pricing. And we have really inched it forward , we have set a new benchmark , I think it's amongst the highest pricing in that micro market or across the city in fact. We s trongly believe in the strategy and we know that it will pan out well in the long run for us.

Puneet Gulati : And second part is on the retail side , right . I mean, I guess a year and a half back you had said that retail consumption should on the same stores basis grow between high single digit to low double digits. When are we likely to see that? And what needs to be done for your existing pre-2020 portfolio ?

Page 7 of 10 Shishir Shrivastava: Yes. So I think in the older malls, again, I want to go back a little bit into history and let's look
at the period of 2017 , 2018 and 2019. Across t he same portfolio of assets which you are talking about, the earlier older portfolio , in that period of two to two and a half years, we had seen consumption kind

of plateau , and this is cyclical , in our opinion. When I say cyclical, it's not economic cycles, it's cyclical because brands kind of need to be enhanced , the product needs to be enhanced. And in 2018 -2019, we took up the significant exercise of premiumization , category upgradation , bringing more bridge to luxury brands in .
And in the subsequent years , three, four, five years we have seen how consumption has grown .
So, we are now again at that same point where all of these assets we need to be working on premiumization, category upgradation , and of course optimizing the store size, introducing newer brands. We are very excited about Bershka opening up at Phoenix Palladium. I think it's completely new brand for this market and it's a much anticipated brand by our consumers.
So I would say it's the same strategy . Our teams are working on it. We have a lot of confidence on how this is panning out from our ongoing discussions with retailers. I think just let's look at the performance of Mall of Asia and Mall of the Millennium, where we have created more efficient layouts and optimized store sizes to accommodate new brands. We have given more space to performing retailers. There are newer categories that have come in. F &B, we have increased the allocation of area. We have brought in more fine dining, cafes, bars, F &B densification on multiple floors, creating the whole F&B village or eclectic village at Pune .
We have seen how strong the performance is now at Family Entertainment Centers (FEC) , and now we have multiple FECs across the location creating these indoor social venues, a dding smaller but high density trading stores like watches, cosmetics, electronics. So , this is a strategy that we have and it was something which is in execution . And it's very routine to our business.
You are going to see in the retail space in any mall there is going to be a plateau every let's say five to seven years in consumption , and you have to take all of these steps for consumption to grow and take it to the next level.
Puneet Gulati : Understood. That’s really helpful. And thirdly, anything more in terms of pipeline for new business development ? And when should we expect start of work in Thane, Coimbatore and Kolkata residential launch?
Shishir Shrivastava: Okay. S o, clearly this has been a significant year for us. We are really committed to growing the retail , office, hotel and even the residential portfolio, right . So for now our plans indicate that Thane is going to see a retail GLA of about 1.3 million square feet. Plus , we have additional FSI of another 2.5 million square feet , and we are currently working on the plans to identify what is going to be the best asset classes to develop over and above the mall.
Puneet Gulati : When do you start work on Thane mall?

Page 8 of 10 Shishir Shrivastava: We are currently in the state of approvals , etc. and we hope that during this calendar year we
will be able to break ground once we get all our approvals in place. Unlike earlier Puneet, we now go to the very last detail on all design development before we break ground , because we see once you break ground and efficiently and quickly you build it out , I think that's the most prudent way to allocate capital and see the best returns.
Continuing on , Chandigarh is going to be another 1.3 million square feet mall . And again , we have additional FSI potential over and above , which is unlimited. So we are looking at perhaps a fantastic hotel over there as part of the mixed -use development. Coimbatore is going to be again 1 million square feet of mall space. We have , at our Phoenix Market City location , as part of that mixed -use development in Bangalore , we have already planned the expansion of about 600,000 square feet and that construction is ongoing.
So it's been a significant year for us in terms of acquisitions . And

we continue to evaluate
opportunities . As I have always mentioned to you and our other investors and shareholders and analysts, w e expect to launch at least 1 million square feet each year from 2027 onwards as well . And we are well to deliver on that pipeline that we had anticipated by FY 2030.
Puneet Gulati : Understood. Very helpful . Thank you so much . And all the best.
Shishir Shrivastava: And a lso, you had a question on Resi in Kolkata .
Puneet Gulati :: Yes.
Shishir Shrivastava: So, One Belvedere is the product , that's the name of our product . We expect to launch it towards the middle or end of Q1 of FY26. And work is commencing over there already.
Puneet Gulati : Got it. Thank you so much.
Shishir Shrivastava: Thank you.
Moderator: Thank you. We will take the next question from the line of Bipla b Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma : Good morning , Shishir and team. First question is on , I calculate normally the rental income divided by the consumption of your mall portfolio. Typically, it is 14 % to 15%, but this quarter it was around 12.7%. Just trying to understand, s hould we read anything into this ? Or does it indicate that we will see rental income growth for the ratio to reach to 15%?

Shishir Shrivastava: So, this is a great thing. It's a significant opportunity for us , Biplab, and I am glad you asked this question. In any good ; well performing mall where you are seeing, let's say , Rs. 1,000 -1,200 crores plus of consumption annually , at an average , the retailers ' ability to pay rent is in the range of about 15 % to 16%, considering that their costs remain pretty much fixed and the

 margins continue to improve as consumption reaches Rs. 1,000 crores . So there is a significant opportunity and we do not need to do anything to take our rental income up. It's just a trailing effect. You will first see consumption growth and then in the subsequent quarters you will start seeing rental growth.

Moderator: Sir, Biplab Debbarma has rejoined the queue.

Biplab Debbarma : Yes. Sir, second question is on the new Palladium area, that expansion area. So, has it been fully leased ? And by when should we expect the numbers from this new Palladium area ?

Shishir Shrivastava: Yes, it's about 90% leased. We are holding onto some space , because as the retailers commence their operations there, there is the opportunity to extract premium rentals from the last remaining space. There is more than enough demand for us to reach 100% as soon as we decide. But the effect of this you are going to start seeing perhaps from this first quarter of the next financial year . It's very exciting because it's been very, very well received. A brand like Uniqlo , when they opened up over there , we had underwritten our rental model at a sale or consumption of about Rs. 8 to - 10 crores or thereabout s, in December the consumption was hovering close to Rs. 20 crores out of that one single store, which is unheard of from any anchor. So we are very excited about the future and the potential of the Phoenix Palladium expansion, which is about 250,000 square feet . And also the product is incredible, what we are creating there. The two-level F&B village is going to really become the hub for leisure, entertainment and F&B which sits over and above all the retail that we have created there.

Biplab Debbarma : And my final question is on, we have been reading slowdown in urban consumption everywhere , there is some kind of negativity. How do you, sir, you see consumption in the next, say, one year ? Can you give us your thought s on that?

Shishir Shrivastava: Well , if we go by how January has panned out for us, it's been extraordinary across the portfolio. So I cannot crystal gaze , on how the consumption will be for the rest of the year. But we are very, very confident that we are going to con

tinue to see a significant growth in consumption and that's not just coming out of natural ; I mean it's organic, but we are also putting in efforts on introducing new intellectual property and marketing events to boost consumer. For example, the Black F riday sales at the end of November, which was a three day event , this was an important factor this year in reviving consumption growth in the lean period, which comes between Diwali and end of season sales in December. So we identify these dips in consumption and we curate experiential events which boost consumption during that period. And this is something that we work on very closely with all the brands to make it very, very successful .

Biplab Debbarma : Okay sir. Thank you and all the best.

Shishir Shrivastava: Thank you.

 Moderator: Ladies and gentlemen, as there are no further questions , thank you members of the management . On behalf of The Phoenix Mills Limited , that includes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: May 2025

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May 07, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated May 01 , 202 5, wherein we had i nformed the exchange about the conclusion of our Earnings Conference Call on Thurs day, May 0 1, 2025 at 04:55 pm (IST), with Analysts / I nstitutional Investors on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 202 5, please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2025/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Q4 & FY25 Results Conference Call
May 01, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY25 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Management of the Company is being represented by Mr. Shishi r Shrivastava, Managing Director, Mr. Kailash Gupta, Group Chief Financial Officer and Mr. Varun Parwa l, Group President .
Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. At this time, I would like to hand the conference over to Mr. Shishi r Shrivastava. Thank you and over to you, sir.
Shishir Shrivastava: Good evening, everyone. We welcome you all to discuss the operating and financial performance for the fourth quarter and f ull year ended March 2025. FY25 was a strong year across our core businesses of retail, offices and hotels, which together delivered revenue of Rs. 3,507 crores , up 16 % year -on-year and EBITDA of Rs. 2,111 crores . This performance reflects the continued strength and cash -generating capacity of our core portfolio. Residential sales

moderated compared to the previous year, and as a result, consolidated revenue from operations was down 4 % year -on-year to Rs. 3,814 crores , and EBITDA was flat at Rs. 2,161 crores compared to FY24.

Retailer sales across our malls reached Rs. 13,750 crores , which is a 21 % increase over FY 24. This impressive growth was driven by the ramp up of our new malls, particularly Phoenix Mall of the Millennium (Pune) and Phoenix Mall of Asia (Bangalore), both of which saw strong improvements in trading occupancy and consumption.

Palladium Ahmedabad also stood out with a 65 % increase in consumption . Reflecting this momentum in consumption, retail income for FY25 rose 18 % to Rs. 1,951 crores , and EBITDA grew by 20 % to over Rs. 2,000 crores for the year.

We also made substantial progress in our commercial office portfolio with our offices Phoenix Asia Towers in Bangalore and Tower 3 of Millenniu

m Towers at Pune receiving occupation certificates between January and April of this year and pre-leasing pipelines building up strongly across Pune, Bangalore and Chennai. We are excited about the high -quality future

 ready office products being developed which are now attracting interest from reputed domestic and global occupiers for their regional headquarters.

Our hotel portfolio too , delivered a strong performance with EBITDA up at 11 % and The St. Regis , Mumbai crossed Rs. 500 crores in revenue for the first time in FY25.

The strong financial performance of our core annuity portfolio has translated to strong operating cash flows of nearly Rs. 2,100 crores . These cash flows have been prudently deployed into strategic land acquisitions across Coimbatore, Chandigarh and Bengaluru and ongoing construction across several projects pan India. Densification across our existing assets continues to be an important value creation strategy for us. We are forging ahead at Phoenix MarketCity Bangalore with the addition of Grand Hyatt , expansion of the retail plus addition of approximately 1.2 million sq. ft. of offices .

Continuing with this theme, we have secured additional development potential at Lower Parel during the quarter. We have secured FS I of approx. 136,000 sq. meters for a premium payment of approx. Rs. 586 crores during Q4 FY25 . Varun, may I request you to take this forward?

Varun Parwal: Sure, Shishir. So as Shishir mentioned, we have secured additional FSI of approx. 136,000 sq. meters at our Lower Parel development for a premium payment of approx. Rs. 586 crores during Q4 FY25 . We have funded this through internal accruals and available liquidity on our balance sheet. Development planning for the additional FSI is currently underway and we will share further updates once the asset mix is finalized and as we progress towards securing the requisite development permissions.

Let me also take this forward and share highlights on our Q4 FY25 performance and some highlights specifically from our retail business, including consumption trends, leasing updates, and how we are shaping the portfolio for future growth.

During Q4 FY25 , our retail portfolio recorded consumption of Rs. 3,248 crores , reflecting a 15 % year -on-year growth . Importantly even excluding the newly launched malls in FY24, like -for-like consumption growth across the portfolio stood in excess of 8 % underscoring the sustained strength of our discretionary retail ecosystem. Retail income for the quarter was Rs. 482 crores which is up 8 % year -on-year while EBITDA stood at about Rs. 499 crores reflecting a 11 % growth.

We have received a few questions regarding the gap between our consumption growth and rental growth in quarter four. This gap in my view is largely attributable to the ramp up phase of our newly launched malls , particularly Phoenix Mall of the Millennium and Phoenix Mall of Asia, where consumption is scaling up sharply. Now our lease structure typically provides for the higher of fixed rent or revenue share offering downside protection from day one. However, rental income begins to reflect the upside only once the store level exceeds the minimum

 guaranteed threshold, at which point revenue share component also kicks in. As more stores mature and scale up in these malls , we expect this to translate into stronger rental growth over the coming quarters as well.

Additionally, at Phoenix Pa lladium, we are also in the process of revamping part of the Courtyard Retail Zone, which led to the temporary shutdown of about 100,000 sq. ft. of leasable area in Q4 FY2 5. This zone historically has contributed about Rs. 200 crores in annual consumption and about Rs. 40 crores in rental revenues. The impact attributed to the shutdown of this store during Q4 FY25 was approximately Rs. 40 crores on consumption and about Rs. 7 crores on

rental income.

Moving on to within Phoenix Palladium : One of the highlights of the quarter was the strong performance of the West Zone at Phoenix Palladium, which we launched in late 2024 with the launch of the biggest Uniqlo store in South Mumbai and the addition of new age anchors such as Lifestyle. For Quarter 4 , a remarkable standout moment was the launch of Bershka's first store in India, which incidentally also achieved the highest sing le day sales globally for this brand on opening day. We also welcome d flagship stores across categories including Nykaa Luxe, Tira, GAP , Levis, Celio, Navyasa, Masaba , etc . and we are also set to further enhance this zone with the upcoming launch of our Gourmet Village concept which is a two -level curated F&B and entertainment experience.

We are also actively executing our premiumization and repositioning strategy across Phoenix MarketCity centers in Mumbai, Pune, Chennai and Bangalore. At Phoenix Market City, Bangalore, trading occupancy declined in Q4 FY25 due to the planned closure of a hypermarket spanning about 65,000 sq. ft. in chargeable area. Further, about 30,000 sq. ft. of the mall also underwent fit outs for new brands. Both of these , planned changes have in aggregate resulted in a 10 % occupancy drop in Bangalore, but they also enabled us to create a space for a better tenant mix going forward.

Further, at Phoenix MarketCity Pune, we saw a 2 % dip in occupancy. This was following the planned exit of a couple of anchor stores in the home furnishing and fashion category, along with the planned churn of a few restaurants. Also, during the quarter, at Phoenix MarketCity Mumbai, we have about 5 % of the leasable area, which is currently undergoing renovation and densification , and it's part of an ongoing brand churn for the repositioning effort.

All our Phoenix MarketCity Malls are being revamped deliberately to improve brand mix, shopper experience, and long -term rental profile. While this has resulted in short -term dips in trading occupancy, we expect these interventions to unlock meaningful consumption and rental upside over the next 12 to 18 months.

Let me also give you a quick update on April 25 and our outlook for FY26 :

 April is typically a lean month , but we have continued to see strong momentum in retail sales, with retail er sales expected to cross Rs. 1,130 crores for this month. This reflects a 14 % year -on-year growth, and to our minds, it confirms the depth and consistency of consum er demand across our portfolio.

Looking ahead to FY26, a key focus will be on strategic leasing and brand elevation across our portfolio. We are prioritizing right -sizing, relocations and churn aimed at bringing in new -age anchors while also creating space for premium categories across jewelry, watches, cosmetics and accessories as well as new fine -dining experiences.

Overall, we remain confident of delivering strong double -digit growth across our retail portfolio in FY26 underpinned by sustained demand, proactive planning and the continuing evolution of our brand and experience proposition.

Moving on to our commercial offices :

I am pleased to share that our under -construction office assets have also made meaningful progress in FY25. For the year ended March 25, income from our operational offices in Mumbai and Pune stood at Rs. 210 crores , up 10 % year -on-year, and EBITDA grew 19 % year -on-year to Rs. 131 crores .

Our office strategy is built on three pillars. The first pillar being strong regional leasing teams with deep tenant relationships. The second pillar being product design that prioritizes collaboration, wellness, and sustainability ; and the third pillar being differentiated experiences, from arrival areas to integrated lifestyle offerings through our retail ecosystem.

Millennium Towers, our prime office space in Pune has 3 towers in total aggregating t

o approx.

1.30 million sq. ft. of chargeable area. As Shishi r mentioned earlier in the call, we have received the occupation certificate for one of the towers and occupation certificates for the remaining 2 towers are expected later in 2025. Pre-leasing activity is underway with an active pipeline of over 500,000 sq. ft. in discussions at this moment.

Phoenix Asia Towers in Bangalore also received occupation certificat e for 800,000 sq. ft. of chargeable area and we are seeing very encouraging leasing discussions here as well with a significant pipeline.

Our next major delivery planned for 2025 is One National Park in Chennai, aggregating to chargeable area of 600,000 sq. ft.. Between Bangalore (Phoenix Asia Towers) and Chennai (One National Park), we have pre -leasing conversations ongoing for almost 80 0,000 sq. ft.

 With world class Grade A offices offering features that seamlessly amalgamate productivity with lifestyle now in place and institutional leasing efforts gaining momentum, we are confident of a stronger leasing outcome in FY26.

Moving on to our hotel portfolio :

The hotel portfolio has delivered a strong performance once again this year with income rising to Rs. 580 crores up 6 % year -on-year and EBITDA is growing by 11 % to Rs. 266 crores reflecting an overall healthy margin of 46%. The St. Regis , Mumbai continues to set the benchmark for experience and luxury in Lower Parel crossing Rs. 500 crores in income to reach Rs. 523 crores overall in revenue. This was driven by a 13 % increase in revenue per available room and an

impressive occupancy rate of 86%, up 3 percentage points over FY2 4.
Courtyard by Marriott Agra had also a good year with EBITDA coming in at about Rs. 18 crores and a margin of about 32%.
I would now like to invite Kailash to take you through the rest of the highlights.
Kailash Gupta: Thank you, Varun.
Let me start with the residential segment :
Coming to the residential segment : Gross sales during the year was Rs. 212 crores with the collection of around Rs. 219 crores , so more or less same and in Q4 FY25 , we have recognized the revenue of Rs. 96 crores . This is primarily coming from One Bangalore West and Kessaku , which are ready towers available now and the average realization was ~Rs 26,000 per sq. ft . This is a very strong reflection of sustained demand for premium products. This is something which is proved by this year's number and realization, especially.
We continue to evaluate the timing and approach for future residential launches, including Tower 8 and 9 at One Bangalore West and our Alip ore project in Kolkata , and both of these projects are scheduled to launch during FY26, maybe in the Q2 and Q3 around that time.
Quick recap on the consol and the standalone numbers :
On the financial performance side, revenue from operations across our core businesses, which is retail, office, and hotel, was at Rs. 3,507 crores , up by 16 % versus FY24. EBITDA also reflects a similar growth and it stood at Rs. 2,111 crores . At the group level, revenue from operations was at Rs. 3,814 crores down by 4 % and EBITDA at Rs. 2,161 crores which is flat as compared to the FY24.

 Consolidated net profit for FY25 was at Rs. 1,302 crores , down by around 2 %, however, after adjusting for share of associates and minority interest , profit after tax for Phoenix Mills (consolidated) came at Rs. 984 crores which was down by around 10 %.
On cash flow CAPEX (capital expenditure) side, cash flow remains strong at Rs. 2,084 crores from the operations during this year . Our aggregate CAPEX in FY25 was around Rs. 2,600 crores . Out of this , around Rs. 1,600 crores has been invested in th ree land parcels, namely Coimbatore, Chandigarh, and Bangalore i.e. Mittal Land and the FSI, which we have bought recently in the Lower Par el area and around Rs. 1,000 crores we have incurred toward s th

e

construction at various places across the country and to densify our growth in the existing assets.
Importantly, despite these deployments, gross debt at the group level remain s at the same level as compared to last year. So , we are around Rs. 4,400 crores , which is lower than FY20 levels, i.e pre-COVID level s. So, we are still fully in control in terms of debt and our net debt to EBITDA ratio is around 1.2 x. I think one of the strongest in the industry. We are putting a lot of efforts to reduce the cost of the debt which has come down from 9.2 % to 8.5 % in the last few years.
Overall, we have continued to maintain a prudent balance sheet and disciplined capital deployment which gives us a significant headroom to continue investing in high quality assets while maintaining financial flexibility.
Let me take you toward some of the highlights for Phoenix Vision 2030 :
Over the past 2 years, we have secured key land parcels and commenced construction activities across our multiple sites, laying a strong foundation and visibility for our portfolio additions over the next 5 years.
I will take you slightly in the past , our first wave of expansion came between 2011 and 2013 when we launched the Phoenix MarketCity Malls in four cities. Then the next wave started in 2020 to 2025, whe re we launched five new malls. Again, these malls are now able to see the strong consumption across and also establish the premiumness of our brand. We are also expanding retail at Phoenix Palladium , which (along with the malls launched between 2020 to 2025) led to retail leasable area grow th from 6 million to 11.5 million. So this is what the current situation in terms of the retail business .
And today with new retail mix ed-use development s underway in Kolkata, Surat, Coimbatore, Chandigarh and Thane as well as the further expansion at Phoenix Palladium , Lower Pa rel, Mumbai and (Phoenix MarketCity) Bangalore , we are looking to add around 7 million sq. ft. of leasable area to our operational retail portfolio by 2030. This will take us from 11.5 million to around over 18 million sq. ft. in the retail side. In parallel, we are also exploring opportunities

 to integrate complementary asset class es such as offices, residential and hotels, within some of our core retail sites to further densify our developments. Our focus remains consistent to build a high -quality destination and offer shopping experience, work environment, residential and venues for leisure backed by strong governance through design and disciplined capital allocation.
This brings me to the end of Q4 & FY 25 updates from the management side. We can now open the floor for Q&A .

Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Puneet from HSBC. Please go ahead.
Puneet: Thank you so much and congrats on decent performance. My first question is on the multiple interventions that you're doing on your mall portfolio. How long should we think the impact will last for those ? And what kind of CAPEX will that entail?
Varun Parwal: Hi, Puneet. Varun this side. When you are asking about the impact, are you asking about the time it takes to reopen the new spaces?
Puneet: Yes, correct. So , some spaces are gone, for example, in High Street Phoenix (Phoenix Palladium Mumbai) , and (Phoenix MarkeCity) Bangalore also you alluded, some stabilization, (Phoenix MarketCity) Pune as well, some, I think change in occupancy is what you indicated. So how long will your rejig exercise take before we start seeing again, you decent growth there ?
Varun Parwal: Okay. I think in terms of some of these spaces coming back, (Phoenix MarketCity) Bangalore and Pune you will see the spaces coming back with new formats and new brands with

in the
next 6 to 9 months. Some of them are already actively under fit out and some are kept ready and we are just finalizing the lease agreements for new tenants to move in and commence their fit outs. At the same time when we are talking about Bangalore , we are also adding and operationalizing the 3rd floor in Bangalore during this year, second half of this year which is new retail area of about 170,000 sq. ft. which will house an exciting mix of F&B and some new age anchors opening their first -time stores within our mall portfolio and that will also enhance the overall area and together with the planned churn and revamp that we have, I think FY27 should prove to be a very strong year for (Phoenix MarketCity) Bangalore in terms of consumption both on account of new brands as well as additional area. In Phoenix Marke tCity Pune, at this point we are not adding any new area , but in Phoenix MarketCity Mumbai , for example, we are adding about 50,000 sq. ft. of new area which again is being added within the current development of the mall. So the time to make it operational is very quick and you should see the impact of it by the end of this financial year.

 Now when we come to Phoenix Palladium Mumbai, there is the new zone that we have added which is Rise 2 (Phoenix Palladium West Zone) which is about 2 50,000 sq. ft. and which should become fully operational by June of this year. Currently retail stores are operational which are on the ground, first and the second floor and the F&B and entertainment floors are under fit outs , which would see a stagger ed opening between now and June -July for the various F&B village and entertainment destinations there. The Courtyard retail, which is undergoing revamp, that together with what we are doing in Rise 1 (Project Rise) in terms of retail and the revamp of the Lifestyle block, I think will in aggregate add about 450,000 sq. ft. of new retail area .
Again, we will give more updates on it in the coming quarters, but I think you should see the new retail space coming through in the next 2 years, so 8 to 9 quarters from now.
Puneet: So you said 100,000 sq. ft. down and plus 450 ,000 sq. ft. or is it 450 ,000 sq. ft. in addition to the 100,000 sq. ft. which has come back?
Varun Parwal: So Rise 1 (Project Rise) , Puneet it is about 200,000 sq. ft. as we have disclosed previously. And between the revamp of Courtyard Retail and Lifestyle block , we were at about another 250,000 sq. ft. So it is, in aggregate, you would have another 350,000 sq. ft. of additional retail area in Phoenix Palladium .
Puneet: Understood. That's really helpful.
Varun Parwal: I would just add that new area as well as new age brands actually drive a significant upside in trading densities and consumption profiles across our malls and we are already seeing that with the addition of these new anchors in Rise 2 (West Zone) at Phoenix Palladium where (we have) Uniqlo and Bershka .
Puneet: When does Rise 1 come, along w ith this 45 0,000 area, what is timeline for that?
Varun Parwal: Puneet, two years from now.
Puneet: Understood. That is helpful. Secondly, also if you can comment on Citadel and Palladium Ahmedabad which have done some bit of tenure, and have they achieved peak there in terms of near -term trading density or is there a significant initiative being taken out to further push up the momentum?
Varun Parwal: I think Palladium Ahmedabad has done extremely well and the ramp up has been quite exciting to see in Palladium Ahmedabad and during the coming year we in fact expect occupancies to further increase from the current 95%. The entire area is leased up now and we have also given space to some exciting new brands. So, in the full year impact , I think you should continue to see double digit growth in Palladium Ahmedabad . Palladium Ahmedabad has established itself

9 of 14 as a new modern premium destination for the city and with our brand mix and marketing programs, I think they should perform quite well in the coming year as well. Indo re as well , while the growth has been a bit muted during this year, it has grown in double digits , but we would have expected the growth to be much stronger, but I think there are some very exciting infrastructure developments in Indore with the authorities constructing multiple highways on all sides of the mall. There is a bit of a constraint in access to the mall at this point in time, but with the highway activities scheduled to be completed in the next 12 months, we believe that access to the mall will improve multi -fold, and we should see very strong growth in consumption going forward in Indore in FY27 and beyond.

Puneet: Understood, that's very helpful. And just last question, then I will come back in the queue. If you can also talk a bit more on the commercial office space leasing, should we expect material leasing to happen in FY26 or does it look like more an FY27 pickup event?

Varun Parwal: I think in terms of leasing, Puneet, you will see material leasing happening in F Y26, especially I think if I add the pipeline that are under active discussions between Pune, Bangalore and Chennai , we are talking about 1.2 to 1.4 million sq. ft. of leasing discussions going on across these three new offices and we should see significant conversions during this year.

Puneet: Understood. That's very helpful . Thank you so much and all the best.

Varun Parwal: Thank you.

Moderator: Thank you. The next question is from the line of Saksham Mongia from Dymon Asia. Please go ahead.

Saksham Mongia: Thank you for the opportunity. I have 2 questions. First is related to the consumer demand, moderation and rising competition in real estate. Are you seeing increased instances of rental negotiations or brand exits? How does this compare to the past cycles that you have seen? And what actions are you taking to protect trading density and the rental lease going forward? Second , with the global supply chain disruptions and macro risk, how are you managing exposure across international brands and domestic brands? And which categories or tenants appear to be most vulnerable in the current environment? These two questions from my end.

Varun Parwal: Hi, Saksham . Thank you for your questions. I think to your first question, Saksham , I would say that our malls have established a very strong and a credible performance track record over the last several years. And we just don't create great malls, we actually create destinations where we engage deeply with tenants and consumers to drive a differentiated experience. We continue to invest in future -proofing our retail destinations by adding complementary asset classes such as offices and hotels and with improving infrastructure and brand profile , we remain confident that our malls will continue to do well going forward as well.

 Saksham Mongia: Thank you and on the macro ?

Varun Parwal: I think on the macro, Saksham, at any point in time we retain a very balanced approach. We don't have overexposure to any one particular category or group. We maintain a balance between both exposure to domestic brands as well as international brands. My view is that India is a retail market of significant size and scale, and it remains quite under -penetrated. So it is a market which is going to remain in focus for all tenants, both global as well as domestic. And in fact, if any, there are better place d people to comment on it than us, but impact if any, think it's going to be limited and restricted for a short term . We also believe that the consumer catchment across our mall portfolio is significant ly densifying and with improving infrastructure, governments are increasing the development of vertical residen

tial and commercial buildings, which actually increase the addressable population within the very immediate catchment for us and this is a story that's playing out across cities in India. So, from that perspective, if the catchment profile is strong and India macro story remains intact, we believe that consumption impact, if any, would be transitory in nature.

Saksham Mongia: Thank you for the detail ed answer .

Moderator: Thank you. The next question is from the line of Varun Thakkar from FYERS Asset Management. Please go ahead.

Varun Thakkar: Hi sir. So I just wanted to better understand the leasing agreement structures you have in your retail portfolio , I mean specifically how the revenue share component is structured and at what threshold it typically kicks in ? So that will be my first question.

Varun Parwal: Sure Varun, our leasing agreements are typically structured as fixed rent or revenue share, whichever is higher. Revenue share for any particular retail brand is actually driven by the margin economics for that particular category and it could vary across fashion categories as well as say gold or jewelry or watches which tend to be high trading categories, but they have a lower margin profile. You can connect offline with Karl and Madhurima for better clarity and granularity on this topic. They are in a great position to explain this to you.

Varun Thakkar: Alright, I just like had a follow up. I mean, when does this typically kick in , know, like is it when the total sales threshold is crossed or is like you have escalated thresholds and like what proportion of your tenants are currently paying revenue over the minimum guarantee in your top performing malls?

Varun Parwal: So, Varun, typically about 70 % to 75 % of the tenant mix hit the revenue share threshold. Now revenue share is payable when the revenue share component crosses the fixed rent component. So from that perspective, I would say that about 75 % of the tenants are right now hitting the revenue share threshold at this point in time. And how operationa lly it works is that on a monthly basis you test based on the audited sales figures given by the retailers, whether

 the revenue share is payable or not. And if any is payable over and out of fixed rent, then there is a separate billing that happens for that.

Varun Thakkar: Okay, thank you sir, I'll just join back the queue . Thank you.

Varun Parwal: Thank you.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities . Please go ahead.

Parikshit Kandpal: Hi team, congratulations on a decent quarter. My first question is on consumption. So now if I see a matured mall, so Phoenix, Palladi um, Mumbai, consumption is almost flat, trading density is negative. Bengaluru , again, we seeing mall consumption is again negative, minus 1 % further here. Pune there has been some growth, about 7%. So the malls are not even delivering inflation. So what is happening in these malls and what are we doing to improve the consumption here?

Varun Parwal: Hi Parikshit, Varun this side. I think in the opening remarks , Parikshit, we had outlined reasons for some of the impact that we saw in Phoenix Palladium, (Phoenix MarketCity) Bangalore and Pune. So Bangalore , in particular for example had a trading occupancy dip of about 10 % and that is because strategically we have taken over the area from the hypermarket and we are creating a new anchor zone in here. Now as you are aware hypermarket s typically have a low trading density and fashion stores typically will end up doing a trading density which is 3x to 4x higher than that of a hypermarket. So, the revamp of this space along with some other areas that are under -fit out overall should help us revive and demonstrate very strong consumption and rental growth FY27 onwards. I also spo ke about you know, Bangalore ge

tting new area in
the form of an expansion of the third floor, which would add about 170,000 sq. ft. of additional leasable area, which again should become operational by the end of this coming financial year. Similarly , in Pune, we have taken space from our home furnishing anchor as well as a fashion anchor and we have replaced a few of the older restaurants. This is all with the perspective of revamping and elevating the brand experience and the consumer experience at these centers. They remain flagship centers, and they are catering to the best city center locations in each of the cities that they are present in. So, with the introduction of new age modern anchors and densification of brand stores across high -performing categories such as gold , jewelry , watches, cosmetics and accessories, we will remain confident of delivering strong growth from these locations going forward. As far as Phoenix P alladium is concerned, Pari kshit, we have also undertaken some revamp of the retail area in the Courtyard section of the mall. This includes the Hamley s store, Nike and some other prominent retailers . So about 100,000 sq. ft. of the area is currently being redeveloped and revamped into a modern new age ready destination. That had a negative impact of about Rs. 40 crores directly in consumption and about Rs. 7 crores in rental income for the quarter. Annualized impact would be about Rs. 200 crores in consumption and about Rs. 40 crores in rentals.

 Parikshit Kandpal: The only question here is that the traditional consumption format somehow has slowed down
and which is the reason you are revamping towards more new age consumption formats. But do you think you have enough to fill in because you'll have to keep re -engineering this and then there will be a period of ..

Shishir Shrivastava: If you look at historically any mall which has been operating, any of our malls have been operating for the last 15 years, you will see that it is very routine in our business to go through a significant change where we have enhanced these assets, right? S o the addition of retail space, taking back older formats, these malls are evolving , customer aspirations are evolving. Varun touched upon in the opening statements about the performance of some of our fantastic stores , Bershka highest performance in the country, I mean globally ever in any store since they've launched, right? So , the customer aspiration is changing ; we have to keep enhancing the asset to accommodate for these newer brands which are more relevant in today's time. So you go through these cycles and that is exactly what's happening at Phoenix Palladium, Mumbai. That's exactly what's happening at Bangalore and also has happened in Pune. So this is very routine in our business. Because we do these things, it's like a machine, right? You have to keep optimizing it and that's exactly what we're doing. Because we do this, we continue to see consumption growth high for a relevantly long period of time and then again you undergo this churn, you undergo the asset enhancement, again for a little while you will see for maybe a period of two quarters you'll see a decline or flattish consumption, then again you will see growth. This is very routine in the mall business.

Parikshit Kandpal: Got it, S hishir. My second question is on , as we are ramping up and renewing the format or the pattern of consumption towards new age, they are also increasing competition in the vicinity with at least two new malls, large malls coming in by Prestige and Oberoi. It'll take 3-4 years for them to come, but so how do you read into the competition and do you think that that micro market has enough consumption pool that will continue to grow on sustainable basis of high single digit?

Shishir Shrivastava: I would like to address this in two parts as you identified. One is the market, there is substantial

demand and with the improving infrastructure in that area, I think a lot more people will come to this part of the city, even from places like Bandra and beyond, right. So, it's becoming very, very convenient. We have always taken the same approach that we have always executed in the past and that has worked for us, where we want to have a great variety and we want to compete with size and scale and hence we have undertaken this significant asset enhancement at Phoenix Palladium , Lower Parel . Wh at we are building there, what kind of brands that are likely to come there are going to be one of a kind and w e hope to be in pole position with all of these actions that we are taking in that market.

Parikshit Kandpal: And just lastly on the Thane asset, what are the plans? I think you've put a slide out there, but when does the work start and when do you expect the mall to become operational?

 Varun Parwal: Sorry, Parikshit , may I just ask you to repeat the question ? Were you asking about Thane?

Parikshit Kandpal: Yes, Thane. So what do you want in Thane, and when do you really break the ground on that asset?

Varun Parwal: So, Parikshit , it's going to be a retail -led mixed -use development with a retail mall in size of about 1.2 to 1.4 million sq. ft. We have secured most of our approval permissions at this point in time and in fact, the demolition of the old factory structures is currently underway , and we will start preparing grounds for commencing excavation very soon. In terms of operations at this point in time, I would say that launch should be somewhere towards end of FY29 keeping enough safeguards in terms of board approv al timelines and construction timelines.

Moderator: The next question is from the line of Murt uza from Kotak Securities. Please go ahead.

Murtuza: Yes. Hi, Varun. Hi, Shishir . Just a question on the commercial piece. In the more near term, you've got a lot of commercial real estate which is getting its OC. You talked about the leasing pipeline, but is there any agreements which have been signed which could start contributing to rentals this year or a lot of that pipeline still needs to convert to formalized agreements. And so the rental contribution from the commercial piece would only start more in FY27. Just a clarification on that ?

Varun Parwal : Sure, if I may take that question, Murtuza , maybe I should have mentioned it in my remarks. We have done leasing of about 120,000 sq. ft. and those spaces are currently under fit -outs with a couple of the smaller spaces commencing their rent payments in quarter four. It's a smaller contribution at this point in time, but from second half of this year, you should start seeing a more meaningful contribution both from the area that we have leased as well as the new discussions that are underway right now.

Murtuza: Okay, so it's going to be more towards the end of the fiscal in terms of the incremental office spaces contributing to rentals and a full year benefit should be more in FY27, is that fair?

Shishir Shrivastava: Yes, I think considering the both agreement timelines and the fit out timelines , I would presume that you should see a more meaningful contribution from quarter three of this financial year.

Murtuza: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Good afternoon, Varun and Shishir. So two questions. First, it would be great to get some more details on the additional FSI purchase that we have done in Lower Parel? And second, excluding this FSI purchase, if we total up all your other plans over the next 5 years, by FY30, what is the total CAPEX which will need to develop all those assets? Thank you.

 Varun Parwal: Sure, Parvez. Varun this side. I will take the question on the FSI and L ower Parel and then I w

ill
hand it over to Kailash to comment on the CAPEX part. I think overall as we mentioned we have acquired development rights of about 136,000 sq. meters which is at a consideration of about Rs. 585 crores . At this point in time , we are currently in our design development stage and finalizing the asset mix that we intend to add to the Lower Parel's development. We are still in early stages, so as we progress on our designs and plans, we shall more debate in the coming quarters. I would now ask Kailash to come in and comment on the CAPEX part.

Kailash Gupta: Parvez, as you have seen in the past for last three years , on an average we are doing around Rs. 1,000 crores to Rs. 1,200 crores annual CAPEX . I think this will be maintained even for next five years for sure. I mean of course this will, I mean any other acquisition or a bigger FSI purchase will be over and above that but on a construction side the number should be restricted to around Rs. 1,200 crores every year for next 5 years.

Parvez Qazi: Thanks and all the best.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. With that, we conclude today's conference call. On behalf of Phoenix Mills Limited, that concludes this conference.
Thank you for joining us and you may now disconnect the lines.

Call: Jul 2025

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July 28, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated July 24, 2025, wherein we had i nformed the stock exchanges about the conclusion of our Earnings Conference Call concluded on Thursday , July 24, 2025 at 07:15 P.M. (IST), with Analysts / I nstitutional Investors covering the following:

1. Un-audited Standalone and Consolidated Financial Results of the Company for the quarter ended on June 30, 2025.
2. The proposed arrangement to provide exit to Canada Pension Plan Investment Board ('CPP Investments') from Company's material subsidiary, Island Star Mall Developers Private Limited ('ISMDPL').

Please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2026/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY 26 Results Conference Call of the Phoenix Mills Limited. As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes.
The management of the company is being represented by Mr. Shishir S hrivastava – Managing Director; Ms. Rashmi Sen – Whole Time Director, and CEO Malls; Mr. Kailash Gupta – Group CFO; and Mr. Varun Parwal – Group President.
Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
At this time, I would like to hand the conference over to Mr. Shishir Shrivastava. Thank you.

And over to you, sir.
Shishir Shrivastava: Thank you. Good evening, ladies and gentlemen. And welcome to our Q1 FY 26 Quarterly Conference Call . I am joined today with Ms. Rashmi Sen – CEO Malls and Whole Time Director , Mr. Kailash Gupta – Group CFO , and Mr. Varun Parwal – Group President.
Today marks a pivotal milestone in the growth journey for our company. Before we discuss the Q1 FY 26 results, we are excited to share a strategic development that strengthens our control over a high performing retail and office platform and reinforces our long -term vision. We are glad to share that our Board of Directors has approved a proposal to acquire 49% stake in Island Star Mall Developers Private Limited platform, which the Group has seeded and grown over the past decade.
In the process, we are providing an exit to CPP Investments ' 49% stake in ISML. The transaction is subject to shareholder approvals, CCI approvals and other customary approvals. The agreed consideration for the proposed transaction is Rs. 5,449 crores payable to CPP Investments over a 36-month period in four tranches, subject to applicable laws, and an

y adjustments including
those related to prepayment of tranches.
Allow me to walk you through the Investor Presentation and share with you some key messages. The Investor Presentation and the Press Release in relation to this transaction has been uploaded on our website and at the Stock Exchange s.

If I may draw your attention to
Slide # 2,
The payment of Rs. 5,449 crores is spread over 36 months. In the interim, ISMDPL continues to be a cash flow generating asset. The large portion of this Rs. 5,449 crores will be paid by the cash flows generated at the platform as well as additional leverage headroom available at ISMDPL .
ISMDPL was the foundation of our partnership with CPP Investments starting with Phoenix Market City Bangalore in 2017 which comprised of 1 million square feet of retail space, mall space. Together, we have grown it into a large portfolio of marquee operational retail and office assets in key cities of Bengaluru , Pune and Indore, spanning approximately 6.6 million square feet, marking a 6.6x growth in eight years and clocking Rs. 617 crores of EBITDA (Asset EBITDA) in FY 25.
If I may introduce the ISMDPL platform for reference and continuity of our conversation. Today, the portfolio comprises ~4.4 million square feet of operational retail space, ~2.2 million square feet of completed offices, a planned expansion of 0.8 million square feet of retail and 1.6 million square feet of offices, along with two hotels totaling approximately 700 keys at the Phoenix Market City Bangalore development.
The idea of PML looking to acquire this 49% stake stems from the management's belief that the untapped growth potential in this platform can add significant value for shareholders over a period of time as we complete the projects under construction and undertake expansion based on the unutilized dev elopment potential or FSI potential.
Moving on to Slide # 3,
The management plan basis 2030 would generate approximately a 13x growth over 13 years since 2017 when CPP Investments entered this platform, which was 1 million square feet in 2017, growing to 13 million square feet in 2030. Over this period of time, we will move from being a retail -only asset to a diversified portfolio of retail, offices and hotels.
Slides #4 through #6 capture the overview of the three assets which have been developed in ISML platform using the cash flow of the seed asset, Phoenix Market City Bangalore.
Moving on to Slide # 7, here we introduce our vision for Phoenix Market City, Bangalore.
We have an ambitious multi -phase expansion plan for Phoenix Market City Bangalore, set to evolve it into a world class integrated super campus exceeding 4 million square feet. The subsequent slides detail the phase -wise approach encompassing enhanced retail offerings, premium office spaces and hospitality developments. Thi s super campus will be a peak

amalgamation of the best -in-class retail, offices and hotels, all of which will sync with each other to create an ecosystem. Details are discussed in the subsequent slides.
Moving on to Slide # 9,
Amongst the key deal rationale that makes the acquisition attractive to PML is the tranched payment structure where Rs. 5,449 crores consideration is paid across four tranches over 36 months with the flexibility to prepay along with related adjustments on the aggregate consideration. This structure preserves PML's liquidity to pursue our stated growth plans while also allowing for asse t level monetization options within ISMDPL and its subsidiaries should we choose to do so.
Moving on to Slide # 10,

As we see from this slide, the cash flow has grown by approximately 9x to Rs. 513 crores in FY25 when compared to FY 17. FY 25 net debt to EBITDA is just 1x at ISML, this also allows us meaningful room to borrow at the platform level and such borrowing, if any, would be staggered over 36 months to fund the acquisi

tion and upstream cash flows to PML, if required.
Slide # 11,
This Slide explains how the buyout is significantly accretive for PML from the first year itself. This is an illustration and for representation purposes only, where even if we choose to fund the entire first tranche through debt, the platform remains accretive to PM L's earning. By moving to 100% ownership, we will capture the full share of operating free cash flows and the additional interest cost will be covered by increase in the share of such operational free cash flows.
The deferred payment schedule combined with projected operating free cash flows growth ensures we will continue to maintain a healthy interest cover for each tranche. In the same illustration, with 100% of the first tranche being funded by debt, PML's shar e of cash flows from ISM DPL could increase by 58% assuming the FY 25 free cash flows. The transaction structure also provides a high margin of safety.
Moving on to Slide # 12,
The 100% ownership by Phoenix of this platform brings with it a large flexibility at PML level to gain unrestricted access to cash flows, ability to raise money using multiple means available at the ISM DPL and underlying SPV levels, each of which shall be evaluated at an opportune time. Full ownership also gives us complete control over capital allocation and execution timelines. With this structure, PML's attributable EBITDA is expected to grow manifold o ver a period of time, which will be allocated to PML. At the right time, we will also retain the flexibility to

monetize selectively whether at asset level or through a platform level, REIT or listing, if required.
Moving on to Slide # 13,
This is just to go back and show you a snippet of our 2020 QIP deck where we had promised three malls, two offices and one hotel under the ISM DPL platform. I am pleased to announce that we have delivered all of these assets in totality, with the hotel being under construction and expected to be completed by 2027. We have continuously demonstrated strong execution and accountability. This consolida tion is in line with PML's objective of owning and developing high -growth retail -led mixed -use assets to add to shareholders value. With the clear identified growth levers in place in the ISM DPL platform, we remain confident in our ability to deliver robust EBITDA growth over the next five years.
Slide # 14
It illustrates the growth drivers where we expect the EBITDA to grow from Rs. 617 crores in FY25 to a much larger number over a period of time through organic growth from our operational retail portfolio further optimizing trading occupancy and increasing trading density via premiumization and brand mix improvements. The ramp up of occupancy in our completed office assets, unlocking their full earning potential. The Phase -2 expansion at Phoenix Market City Bangalore, which adds additional retail , office and the hotel. Further Phase -3 expansion potential, which will further strengthen our mixed -use ecosystem with additional retail ,office and a second hotel offering (in Phoenix MarketCity Bangalore complex) . Balance FSI potential across the developments in Indore, Pune and Bengaluru give us additional room for future value creation.
Moving on to Slide # 15.
Across our completed office spaces of ~2.2 million sq. ft. , today only 6% is leased. Our internal target is to achieve a 90% leasing in 2026, and we have a strong leasing pipeline in place. This brings a huge upside potential as all the construction work is already complete. OC is received for two out of the three office towers across Pune and (full OC received in) Bengaluru . Leasing of these offices is also gathering strong momentum.
Moving on to Slide # 16, Millennium Towers and Millennium Club .
Our vision of Millennium Towers is for it to be the best office building in Pune. These assets are high quality and have high visibility.

They are located in strong micro markets with limited new
supply expected. These will drive consistent annuity style earni ngs. The vision for these offices is to provide a lifestyle -oriented offering with grade A amenities along with high quality office spaces.

Moving on to Slide # 17,
At Phoenix Asia Towers , we are ramping up leasing to 90% by 2026, which currently stands at

approximately 10% and this will drive strong EBITDA growth and further value creation. The offices sit in a well -established office micro market with upcoming metro and infrastructure projects, which will enable seamless access to the campus and increase the catchment area, and the attraction of offices at this location. The highlight is the metro station which has access from within the campus itself.

Moving on to Slides 18 through 23, which explain the Phoenix Market City Bangalore Phase 2 and Phase 3 expansions.

We have several initiatives underway under Phase 2. We will be launching the Gourmet Village in 2026, a brand new floor of F&B and entertainment spanning 19 new experiential dining options set in a beautiful theme . With a 400 key Grand Hyatt focused on events, we plan to establish ourselves as one of the most renowned hotels in Bengaluru and perhaps with very high performance , focusing on strong occupancy and areas.

The case study of a similar hotel in the same micro market gives you an idea of the healthy revenue and EBITDA margins achievable. The hotel product has been designed based on our learnings at The St. Regis (Hotel), Mumbai and the designs have been optimized to yield the highest revenue per square foot. In addition, we will also be introducing about 400,000 square feet of state -of-the-art offices in this campus in Phase 2.

Moving on to Phase 3 where this campus further expands, we intend to add a second hotel of approximately 300 keys, offices of about 1.2 million square feet and a further retail expansion of about 600,000 square feet by 2030. This will help us deliver our vision of a super -campus, one of the largest retail -led mixed -use campuses across the country.

Moving on to Slide # 24,

The super campus is a preferred and top -of-the-mind destination for any consumption. All parts of the campus are designed to feed each other with higher visits, longer stays, stronger consumption. All from PML's point of view, fueling stronger rental needs and driving consumption.

Moving on to Slide # 25, EBITDA growth drivers at operational malls.

EBITDA growth at our malls is driven by optimizing anchor spaces for higher yield tenants, enhancing category and brand mix, attracting star and luxury brands to prime locations ; and with the upgraded infrastructure in the neighborhood, this will also improve access and visitor experience to our malls.

Slide # 26 represents the significant rental upside. This is an illustration or rather an explanation of initiatives undertaken at Phoenix Market City Bangalore in the last year, where the hypermarket and a fashion anchor were exited from their current locations. The space was redesigned, and the layout was expanded to accommodate the growing fashion category. This has created prime space for re -leasing to flagship inline and mini anchors at higher rental yields, driving stronger trading density. In this particular case, we believe we have nearly doubled our monthly rental from the same space.

Slide # 27,

At Phoenix Mall of Asia, we have about 10% vacanc y. 8% is located at the upper ground level which was kept strategically, kept last for leasing to bring in the highest rent yielding luxury and star brands. Some of the watch brand deals recently concluded are currently at a minimum guaranteed rental of approximately Rs. 550 a square foot (per month) .

Moving on to Slide # 28.

We expect the proposed infrastructure upgrades near and around Phoenix Citadel in Indore to signif

icantly benefit the mall. The new flyover and underpass are expected to be ready by 2026. This not only improves access but also reduces the interim hardship that our mall visitors are currently facing bec ause of the roadworks which have been ongoing. This will further enhance footfalls and consumption.

Moving on to Slide # 29,

After accounting for all the expansion plans and the ongoing projects across locations, we continue to have balanced FSI potential across all these developments. It's expected to be at about 2.7 1 million square feet cumulatively across three cities. This is based on land that we already own. Clearly it is subject to regulatory and planning approvals, and payment of premiums, and charges as may be applicable. We have not yet planned the CAPEX for exploiting the potential of this balanced FSI potential.

Slide # 30 takes us to ESG initiatives.

We are fully aligned with sustainability expectations of long -term investors, and we continue to be driven by them. The USGBC LEEDTM certification has been achieved with a gold rating in place for three of the latest retail assets. We have already initiated solar energy, smart building systems, water conservation, EV charging efforts.

To conclude, this transaction fully aligns with our strategic objectives. It gives us complete control of a high -performing platform structured in a capital -efficient manner that safeguards

PML's liquidity. The transaction enhances operational flexibility, removes minority interest leakage and provides a clear path to unlocking further value at both asset and platform levels.
Since the inception of the JV, we have delivered marquee developments including three retail assets, two office assets and an iconic hotel and additional offices currently under construction.
We remain committed to building destinations of international st andards, vibrant retail hubs, attracting a large catchment, lifestyle -oriented offices and integrated mixed -use super campus in Whitefield.
The next phase of growth is already in motion and full ownership of this platform positions us to execute this seamlessly. Our other partnerships with CPP Investments at Kolkata and Lower Parel continue as planned, and we look forward to exploring future opportunities wi th CPP Investments to further expand this fantastic partnership. Thank you.
We will now move to the earnings section. May I request Mr. Varun Parwal to kindly takeover the section.
Varun Parwal: Thank you, Shishir. And moving on very quickly to an update on Quarter 1 results. I will first start with the retail portfolio. Retail consumption at our malls was strong during Quarter 1 , coming in at 12% year -on-year . We had very strong year -on-year growth at Phoenix Palladium, Phoenix Palassio and our malls in Ahmedabad (Palladium Ahmedabad) , Indore (Phoenix Citadel) , Pune (Phoeni x Mall of the Millennium) and Bengaluru (Phoenix Mall of Asia) .
I would also like to highlight that this strong growth was despite a temporary and a strategic dip in trading occupancy during the quarter. Our portfolio level leased occupancy is at an average in excess of 95% plus, but there was a temporary dip in tradi ng occupancy owing to a significant repositioning exercise that is currently underway across our Phoenix Market City malls, particularly in Mumbai, Pune, Chennai and Bengaluru .
We are actively reshaping the brand mix across these key centers and the broad goal here is to replace low efficiency formats with stronger, better trading brands while also creating more room for high performing flagship in -line stores and other key categ ories. In parallel, we are also upgrading the underutilized or lower yielding areas by bringing in premium brands across watches, electronics, beauty, etc.
This churn has a temporary impact on occupancy and rental income, but it is a planned investment in creating sustainable long -term value for our

retail assets. Over the coming
quarters, we expect this reposition ing to result in much stronger and improved brand mix, higher consumption and stronger rental income growth, ultimately supporting and driving the double -digit EBITDA growth that we have seen historically in our retail malls.

For the quarter, retail rental income stood at approximately Rs. 506 crores , up 4% despite an impact from the planned churn at Phoenix Market City malls and also the loss of rentals from the planned convergence (Courtyard) block redevelopment at Phoenix Palladium. If I account for the impact from the churn as well as convergence (Courtyard) block, this impacted our retail income growth by approximately 5% to 6% for the quarter. This is of course temporary in nature, and as trading occupancy returns to stabilized levels of 95% plus in coming quarters, we expect to see much stronger growth comi ng through.
Moving on to our offices, we have had a great start to the year with completion of Phoenix Asia Towers and receipt of OC (Occupation Certificate) , as well as completion of the three towers in Pune and receipt of occupation certificate for one of the three towers. Our leasing has also picked up in line with delivery of these two developments as well as the commercial offices in Chennai (One National Park) which are nearing completion. Overall for the quarter, we have leased an area in excess of 4,30,000 square feet and we expect demand to remain strong especially for these quality well -located office spaces.
Our hotel portfolio had a strong performance for the quarter with revenue coming in 11% higher at Rs. 130 crores , and EBITDA showing very strong growth of 19% reaching Rs. 58 crores for the quarter. Our hotel portfolio consists of The St. Regis , Mumbai and Courtyard by Marriott in Agra.
Our operational performance in residential was also very strong with gross sales in excess of Rs. 168 crores and collections of Rs. 99 crores . The price hike that we had undertaken in Kessaku and One Bangalore West has been well accepted by the market, and we recorded an average sales price of Rs. 27,000 a square feet for the sales done during Quarter 1 .
A large part of the sales was completed during the month of June, and as such, revenue recognition for Quarter 1 came in only at about Rs. 40 crores . However, the rest of the sales booking done in Quarter 1 will reflect in terms of revenue recognition in coming quarters on completion of registration and that should boost our revenue and EBITDA performance from the residential portfolio in coming quarters.
And now wrapping up, overall, if we look at our group leve ls, our EBITDA across the portfolio

came in at about Rs. 544 crores , registering a 6% growth. Our Group debt stood at about Rs. 4,435 crores and our net debt to EBITDA reduced moderately from the March ending quarter.
We have also seen a significant reduction in our cost of debt. Cost of debt came at about 7.92% for quarter ending June 2025 and we expect some of the recently announced rate cut s for RBI to translate into the balanced loan portfolio in the coming quarters.
Overall, we have continued to maintain a prudent balance sheet and disciplined capital deployment, which gives us significant headroom to continue investing in high quality assets while maintaining our financial flexibility to pursue growth.

This brings me to the end of our formal update. We can now move to the Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Puneet from HSBC. Please go ahead.
Puneet Gulati: Yes. Thank you so much and congratulations on this acquisition, quite an interesting one. My first question is, if you can give us some color on what is the cap rate you are ascribing to this valuation in your mind.
Shishir Shrivastava: Puneet, we have not approached this tra

nsaction on a cap rate basis, okay. We see it as being significantly value accretive over the next five years with the several ongoing construction nearing completion as well as the further expansions that we planned in Phase 3 in ISM DPL Bengaluru , which will commence shortly. So, that may not be the appropriate way to assign an enterprise value by simply looking at a cap rate on NOI .
Having said that, in FY 25 the EBITDA at the ISM DPL platform was at Rs. 617 crores . And with all the ongoing developments which are nearing completion, plus what is planned to be completed by 2030 in this platform, we hope to see the EBITDA grow by multiples over this period of time, and it becoming highly value accretive to us. We beli eve that today's acquisition price is at fair value. This has also been, I would say, based on the valuation reports that have been put together by the registered valuers, Bansi S. Mehta Valuers LLP and the fairness opinion provided by Morgan Stanley Company India Private Limited.
In FY 25, while the retail EBITDA contribution came in mainly from retail, which was about Rs. 617 crores across four malls. We have ~2.2 million square feet of offices which are ready, and a sizable part of that OC is received, and for the balance we expect the OC to be received. But they are pre -leased only at about 6% cumulatively, right, so there is a huge headroom which will also be a significant valuation upside trigger as these get leased out during this year.
We have a very strong pipeline in place, and we have a very strong team now spearheaded by the CEO for commercial real estate and offices, Mr. Vithal Suryavanshi, who has recently come on Board. We have about 170,000 square feet of retail which is currently ongoing , expansion ongoing and this will be delivered by 2027.
Puneet Gulati: Got it. So, from the valuation perspective, is it fair to assume Rs. 5,400 crores is only equity value? There is roughly Rs. 1,000 crores of existing debt in ISM DPL. Those numbers are right?
Shishir Shrivastava: No, that may be the gross debt.
Puneet Gulati: Yes.
Shishir Shrivastava: Gross debt is about Rs. 950 crores and currently it is also about --

Kailash Gupta: Rs. 650 crores is the net debt.
Shishir Shrivastava: So, adjusting for cash on the balance sheet, the net debt is about Rs. 650 crores .
Puneet Gulati: Okay. And when you talk about the Rs. 5,400 crores of value which you pay over three years, is the entire EBITDA attributable to you from day -one or does it also get attributable?
Shishir Shrivastava: That is also right. No, the way this transaction is structured, it is pretty much like a spot transaction. And I mean, obviously, every tranche will only be payable as per the applicable law and fair value ascertain . But EBITDA is attributable to us , and cash flow uses are exclusively for us going forward from the day the transaction gets approved and the first tranche payment is made.
Puneet Gulati: Understood. And lastly, if I can ask you, what can you do now which you could not do earlier in this platform?
Shishir Shrivastava: Okay. From PML's perspective I think it helps, because minority leakages are kind of addressed, it reduces that or eliminates minority leakages entirely. It allows us PML to upstream or the cash flows to be upstreamed to PML for efficient utilization. And we estimate that our EBITDA could potentially grow 3x to 4x over a period of time, and this will all result in a growth to PML's PAT.
At the ISM DPL level, it allows us several synergies to optimize structure and drive operational efficiencies, including costs. It allows us the optionality of future platform monetization of ISMDPL by way of REIT or listing etc. And at the subsidiary level, again, we retain the optionality for individual asset level monetization should we choose to do so, and gives us the opportunity to create new growth platforms.

Pu

neet Gulati: Understood. But is there a thought at this point of time to monetize individual assets?
Shishir Shrivastava: No. That is an option available to us as I mentioned, that is not the strategy.
Puneet Gulati: Okay. And from a timing perspective, is it the right time even, your offices are not yet leased and CPPIB theoretically would have provided good insights on the office leasing side. From timing perspective, are you comfortable or would you have --
Shishir Shrivastava: The timing is perfect, Puneet. The timing is perfect. In fact, as I mentioned earlier, the scale up or ramp up of occupancy at the offices from current approximate 6% across locations to what our target is to be at 90% in 2026, and that's what Vithal and the team are actively working on. I think that is where there is a huge -huge valuation upside that can be achieved based on our performance and our delivery.

Puneet Gulati: And lastly, if you can tell us what is your CAPEX plan for this year and next year, how much should we pencil in the numbers?
Shishir Shrivastava: I think about Rs. 1,200 crores to Rs. 1,300 crores over the next 12 months.
Puneet Gulati: That's it. Okay.
Shishir Shrivastava: That's it.
Puneet Gulati: Okay. Great. That's all from my side. Thank you so much. And all the best.
Shishir Shrivastava: Clarifying that that Rs. 1,200 crores to Rs. 1,300 crores is at a group level, not just at ISM DPL.
Puneet Gulati: Yes. Understood. Okay. Great. Thank you so much.
Moderator: Thank you. The next question is from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.
Praveen Choudhary: Hi. Thank you so much for taking my call. Congratulations on this deal. I have a few questions, that related to the business segment. Can you talk about why Mall of Asia, Bengaluru business performance have been down year -over -year? I thought it's a new mall, so it must be ramping. So, that was one small question. I had another question on depreciation, which jumped massively. And then, the third question I have is on the timing of Kolkata and Surat and many malls, if you can talk about? Thank you so much.
Varun Parwal : Hi, Praveen. Varun this side. I will take the first question before handing it over to the other management people on the call. So, your question on Mall of Asia, Praveen, I think last quarter, in Quarter 1 we had a significant one -time rental billing that happened for several retailers. That was a one -time increase in rental of about Rs. 10 crores .
So, if you compare Quarter 1 FY26 rental billing and you compare it with quarter -four FY 25 renal billing, we reported about Rs. 47.5 crores for Quarter 1 , whereas the quarter -four rental billing was at about Rs. 40 crores . So, the normalized billing for Mall of Asia in FY '25 was about Rs. 40 crores per quarter. And if you see Quarter 1 FY26, it has come in at about Rs. 48 crores . So, adjusted for the one -time billing that we had taken in the prior year, we are seeing a strong 20% growth as far as rental billing is concerned. Praveen, does that answer your question?
Praveen Choudhary: Yes, it does. I am just waiting for the questions. Thank you, Varun.
Shishir Shrivastava: Praveen, may I request you to repeat the follow -up questions that you had on this, so we can address them one at a time?

Praveen Choudhary: Yes. I just wanted to get a sense of the latest timing for the opening of new malls that is expected to come in the next two, three years. But just wanted to get if you have better clarity on Kolkata and Surat malls. And then I had a question on depreciat ion. It seems like depreciation number on your P&L jumped year -over -year and I just wanted to understand anything which is one -off?
Shishir Shrivastava: Sure. So, we will take the first part which is the completion of, we expect the (Phoenix) Grand Victoria Mall, Kolkata to be comp

leted in 2027. Surat is also expected to be completed in 2027.
Thane Phase 1 retail is expected to be completed in 2029. Coimbatore retail in the same year, and Chandigarh Phase 1 retail between 2029 and 2030. We also have a sizable expansion going on at our flagship property, (Phoenix) Palladium Mumbai which has retail and offices, all of this is expected to be completed by end of 2026 and mid of 2027 in phases.
Praveen Choudhary: Yes. Great, sir.
Kailash Gupta: Yes. So, on our accounting piece basically there are two things, one is that the Rise (Phoenix Palladium West Zone) portion actually which we have recently opened in the (Phoenix) Palladium Mall, so that has added depreciation and that will be continuous over the period of time. And apart from this there is a one -time depreciation of around Rs. 7 crores to Rs. 8 crores primarily driven from the demolition of couple of pieces (Courtyard Block) in the Phoenix Palladium side because where we have used the accelerated depreciation basically.
Shishir Shrivastava: So, existing retail blocks have now been demolished, we have therefore written down that in our value for about Rs. 8 crores .

Praveen Choudhary: Understood. Can I ask on the deal, last question from me. So, this deal that has been done, it will reduce your minority interest and there is lot of optionality here clearly. Did you think of similar deal maybe not this year but in future with another partner that you have or should I put it differently, was this de al initiated by the other party or it was mutual?
Shishir Shrivastava: Well, it was mutual. If I may clarify that there was no exit obligation on us to provide our partners an exit, but it was a mutual discussion, and both sides saw the benefit of it. With regards to our other joint venture with the other partners, we have t he Coimbatore project and the Surat project under development , in there (with GIC) . And I think our partners will only see true value once those projects near completion or rather are completed and commence operations and become revenue generating. There is no conversation ongoing for any similar transaction on that JV.
Praveen Choudhary: Thank you. And once again congratulations. This deal definitely looks good if you continue to execute the way you have been. Thank you.
Shishir Shrivastava: Thank you very much.

Moderator: Thank you. The next question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.
Girish Choudhary: Hi. Good evening. Firstly, if you can help us understand the funding of this Rs. 5,400 crores , I mean, will it be like significantly buyback at the ISM DPL level or let's say the standalone entity also buying out the stake. So, how will the funding route happen? And also I mean internal approvals and what's the incremental debt we can see from this?
Shishir Shrivastava: So, now the transaction is structured in four tranches, right, payment consideration is to be paid in four tranches. We have multiple modes of paying this consideration. These include buybacks, payment of dividends, capital reduction and secondary by PML or any of its affiliates. So, this is a combination that we are going to be looking at, and in each year, depending on the cash flows at the ISM DPL level we are going to be affecting dividend payouts or buybacks or capital reduction. Currently, we do not envisage the secondary transaction to take place until perhaps the last tranche. There may be some small amount initially which PML or any of its affiliates may need to fund.
But again, as I mentioned, with this 100% ownership, we get the ability to upstream free cash flows from the ISM DPL platform to PML as well, which could also fund such secondary transaction.
Girish Choudhary: Okay. So, my second question is, again from a capital allocation perspective, I mean the part generally, you have said us that, I mean for your investments gener

ally you look at 14%, 15% yield on cost. So, I mean for this Rs. 5,400 -odd crores of investments or payout, can we expect a better yield on cost, I mean once everything is up and running?
And just a follow -up to that, I mean this investment does it also signal that, I mean, in the past we had a development -led growth, right now, I mean, are we seeing that we are shifting towards yield -focused asset consolidation, so how should we look at t his transaction from that point of view as well?
Shishir Shrivastava: Okay. Several questions in that question, we will try and break it up into parts, right. In the first instance, the illustration that we have on Slide # 14 will give you kind of an indication on the growing EBITDA at ISML level and you should be able to work out the yield on cost, right and we can get into details offline with our team on this, on the structure and the anticipated returns. But we see that if you look at also Slide # 10, where we have shown what the cash flows are and leverage headroom is. We have explained how in the last 8 years between FY 17 to FY 25 our asset EBITDA has grown 6x. We hope to see at least double -digit growth in EBITDA from all the initiatives which are underway including completion of the under -construction projects, leasing out of the already completed offices and organic growth at our operating retail malls.

Kailash Gupta: Just to add to what Shishir is saying and we have already narrated in our commentary earlier. So, we are not compromising in terms of our expansion projects, which we will continue to do because largely the transaction will be paid through the ISM DPL platform. So, effectively the PML and its other entities are free to use its cash for acquisition or expansion. So, I do not think we are compromising on any of the parameters which we had set as a benchmark for our company.
But at the same time, since the cash flow or the free cash flow is generation is growing year - on-year basis, we thought to even consolidate because this opportunity was like very tempting for us, because one reason is that even the current EBITDA is quite strong. And secondly, the expansion plan is quite big if you see the overall slides and presentation.
Shishir Shrivastava: Lastly, again give you some guidance. If we look at our FY 25 operational free cash flows, they were about Rs. 1,225 crores at the PML level excluding the ISM DPL and its subsidiaries. Now just assume a similar run rate over the next five years without anything else that itself could

potentially translate to over Rs. 6,000 crores of operating free cash flows.
Add to that the cash flows from the residential sales which as Varun explained earlier, we have seen a phenomenal quarter in resi dential sales ; we are gearing to launch the Kolkata residential project sales as well. Add to that the organic growth at retail, the completion of expansion, leasing out of offices plus the significant potential to leverage the PML portfolio excluding ISMDPL.
So, Rs. 6,000 crores plus growth triggers plus the leverage potential at PML excluding ISM DPL assets is more than adequate to pursue our growth aspirations including acquisitions of greenfield, brownfield, operating assets in identified 10 -11 cities including funding the CAPEX required for our FY 2030 envisaged portfolio (excl uding ISMDPL) of 14 million square feet of retail, taking the gross portfolio to 14 million of retail, 3.5 million of offices, 1,200 keys and hotels, and roughly 2.5 million square feet of additional resi dential inventory.
Girish Choudhary: Got it. Fair enough. Thank you. And all the best.
Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC. Please go ahead.
Parikshit Kandpal: Hi, Shishir. My first question is what is the current book value of the assets which you are buying?
Shishir Shrivastava: The gross block of all the assets

and of all the assets under these ISML and underlying SPVs is about Rs. 5,080 crores .
Parikshit Kandpal: Okay. You are paying a slight premium to buy this out. So, which covers the growth opportunity?

Shishir Shrivastava: Growth underway, FSI potential, which continues to get exploited over the next five years.
Parikshit Kandpal: But your share will be 50% of this approximately, so 2500 worth of gross block which is going out for the share you are buying out, so that is you are paying almost 2x right, Rs. 5,400 crores to Rs. 5,500 crores .
Kailash Gupta: I think this is the wrong way to interpret real estate especially, because what you are seeing is the historical value of the assets but you are not seeing the potential of the market value of the assets which would be much higher, I mean, while we have n ot assigned the number but I think looking at the book value is not certainly the right approach to value the transaction.
Parikshit Kandpal: No. I am just trying to arrive at the IRR, which the CPPIB (CPP Investments) is getting in 7-8 years, it is almost doubling, so just from that point I was asking. And what is the balance CAPEX for rest of all the assets and also what is the balance CAPEX for ISM DPL assets till you reach FY30 when all these development opportunities complete, so if you can help us with the break up.
Kailash Gupta: So, barring the new acquisitions and the three assets basically we are talking about, excluding Thane, Coimbatore and Chandigarh, the CAPEX for next five years would be in the range of around Rs. 5,000 crores to Rs. 6,000 crores , and against that the cash flow generation will be much higher.
Parikshit Kandpal: Sir, I was asking what is the residual CAPEX in ISM DPL to reach that FY 30 full development potential which you highlighted in the presentation.
Shishir Shrivastava: Okay. We hear you clearly now. Phase 2, which is ongoing at ISML will roughly require about Rs. 1,000 crores between now and 2027 to take it to completion. Phase 3 we will share the details when we have crystallized on our development plans and we have received all the final approvals.
Parikshit Kandpal: Okay. And just last question on the EBITDA of Rs. 627 -odd crores . So, what is the clean EBITDA based on Rs. 617 crores which you highlighted. So, out of that if I remove the CAM EBITDA and other EBITDA, or is it just the asset level EBITDA from the malls, so does it include the CAM and other charges, other income and all this. So, what is the clean EBITDA?
Shishir Shrivastava: This is the asset level EBITDA chief.
Parikshit Kandpal: So, this is the clean EBITDA, which is no other income, no CAM EBITDA on this.
Varun Parwal : Yes, Parikshit. If you see the reported numbers for each of these assets, we have reported EBITDA numbers every quarter, every year, and if you add up the reported EBITDA for Phoenix Market City Bangalore, Phoenix Citadel Indore, Phoenix Mall of the Millennium and Phoenix Mall of Asia, you will get to the to the FY 25 asset EBITDA of Rs. 617 crores . The offices that

were completed and they received OC , in Jan and April (2025) , they are not yet EBITDA contributing.
Parikshit Kandpal: Okay. But they are also not adding --
Varun Parwal : This is only Purely retail.
Parikshit Kandpal: Okay. Purely retail, and there is no negative or any, there is nothing from other income, nothing from CAM coming in here?
Varun Parwal : No, other income gets, we reported below EBITDA. So, whatever is the contribution from other income is coming below the EBITDA line item. Like Kailash mentioned earlier, if I just see the

FY25 balance sheet, our gross consolidated debt on the ISM DPL platform was Rs. 960 crores , and our cash on books at the end of FY 25 was Rs. 360 crores . So, our net debt is a shade under Rs. 600 crores at this point in time. The Rs. 617 crores of EBITDA generated by the platfor

m
also converted into an operating free cash flow of about Rs. 510 crores for FY 25 if you take out interest and tax expense just for the platform. So, out of PML's Rs. 1,800 - 1,900 crores of operating free cash flow that we reported in FY 25, Rs. 510 crores came from the ISML platform itself.

Parikshit Kandpal: Sure. Okay. Thank you. Those were my questions, and congratulations on the deal.

Varun Parwal : Thank you.

Moderator: Thank you. The next question is from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Yes. Thanks for the opportunity. Couple of questions on the transaction. First, has the valuer report mentioned about valuation for operational, under -construction and future potential assets? I means, is a break -up available and if you can provide that to us?

Kailash Gupta: No, there is no break -up as such in the public domain. And I do not think we will be in a position to declare or inform you of any kind of numbers .

Shishir Shrivastava: The valuers have not published the sum of parts, if that's what you are asking.

Pritesh Sheth: Yes. Okay. Fair enough. And from pure CPPIB's perspective, while some of the assets have been recently completed, Citadel, Bangalore, Pune, and the office assets which you recently delivered. What was the thought process from their side to exit these assets without even seeing that five years of maturity or a steady state kind of run rate? So, what was the thought process of exiting these assets at the early stage? And would this be a precedent for the next assets which we are building under this platform, be it Kolkata, Project Rise and even for that matter , Coimbatore, so your thoughts on that?

Shishir Shrivastava: Okay. So, I cannot speak for CPPIB (CPP Investments) , their rationale is obviously well - deliberated. As I mentioned earlier, I want to clarify that we had no stated commitment or contractual commitment to provide an exit to CPPIB. I think it's their own considerations on their timeline of their investment, etc. And this was a conversation that we have mutually arrived at after negotiation, so I cannot speak on their behalf. Coimbatore does not sit under the CPP platform, I am clarifying since you mentioned that. And so this is not intended to be a precedent for CPP to look for an exit in the other JVs where we have ongoing construction or otherwise. Again, I want to mention again that we have a fantastic partnership in CPPIB (CPP Investments) , and we are looking forward to this relationship growing as we grow our own portfolio.

Pritesh Sheth: Sure. And taking this partnership with our other partner, will we be offering some of the decent assets to GIC for some stake acquisition in this asset or do you think that given the cash flows and the leverage potential that we have, we will be able to e asily fund the consideration and create lot of value, and hence, no need to offer to them. So, what would be our thought process in this?

Shishir Shrivastava: Pritesh, I think it's important for you to understand why we have created these two platforms at the time when we did. In 2017, when we entered into this first joint venture with CPPIB, we were looking for growth capital. We had estimates of potentially f uture cash flows. However, there was opportunities that could be exploited at that point in time and there was a timing issue in terms of free cash being generated from our residential sales and organic growth resulting in higher free cash from our operating assets, which is why at that point in time we were looking for capital for growth and we entered into this transaction.

Moving forward in 2021, when we executed our second JV with our other partners, we were looking at creating sizable liquidity at Phoenix Mills level, this was immediately post COVID and we were looking at creating some kind of a safety net. And we have be en very committed to the grow

th of that platform, and we have added Coimbatore and we have added Surat to that platform, and we have committed the entire funds or the entire capital that was infused as a primary into that joint venture. We have committed t hat capital for growth of that platform.

Now when we look at our balance sheet, we have a very -very strong balance sheet, we have sizable free cash being generated on a year -to-year basis and we do not have intention of creating more platforms, at least we have no need to create those more platf orms because we have enough cash.

Pritesh Sheth: Sure. Thanks for that answer. And we completely agree on that. Just one last on the assets beyond this platform. So, there has been drop in terms of trading occupancy for M arketCity malls in Bengaluru , Chennai, Pune, is that it in terms of whatever churn we wanted to plan? And potentially from this year end and next year, we will start seeing good outcomes and good growth outcomes from the churn exercise that we are doing in these three malls.

Varun Parwal : So, Pritesh, let me take the first part of that question and then I will hand it over to Rashmi to expand on what we are doing here. You have seen a significant drop in trading occupancy for this quarter in Phoenix Market City Bangalore and dip in trading occupancy, which are lower but still there in Pune and Chennai. These are of course very strategic and planned in nature and they are aligned in terms of the brand mix and the key anchor flagship and inline stores that we want to bring into these malls at this point in time.
(At Phoenix) MarketCity Bangalore churn is happening, it has come together, so that's why there is a big drop from where we were in December at 98% occupancy to today where we are at about 84% occupancy. And through the rest of the year, the occupancy will go up significantly from here. Th ere are still some , few more churns that are planned but they are more staggered, and they will take place in the coming year. Now, I think I will hand the call over to Rashmi to just talk a bit on our philosophy and strategy.
Rashmi Sen: Yes. Hi. Currently, as you would know, we are undergoing a significant repositioning and premiumization change for most of our legacy assets, which are completing close to 14, 15 years. And we see that there is a lot of headroom and appetite for increasing rental for a lot of these older deals. We also see that there is a lot of room for optimizing the anchor sizes to inline stores, and over the last few years there has been increased demand and appetite from international brands for coming and opening stores in our centers.
And I think it's sort of a moment in pivot where everything is coming together for us because a lot of these large boxes, expiries are coming up and it gives us a beautiful opportunity to sort of rethink, reimagine because change is the only constant and we want to continue to give newer experiences to our customers. So, all these changes that we are making is from a long term perspective. And even though you may see a drop in trading occupancies, all of these are typically leased to the newer premium international brands. And what we do is like if hypermarket, we feel like 50,000 (sq. ft.) , a larger hypermarket may not be as relevant, so the hypermarket may get leased to another brand in a different category. But we move the hypermarket to a smaller Gourmet concept. And basically, these are the things that we do. And what you see right now is basically a short -term impact of the long -term visionary changes that we are making.
Pritesh Sheth: Got it. So, just to clarify, there would still be some bit of staggered churn across the three assets which will come through the year and then we will be done and probably 2027 is when we will stabilize.
Varun Parwal : Pritesh, Varun this side. You will have trading occupancy going up and there may be some churn that could happen but overall we should see a ramp up in trading occupancies . You will see the progression of trading occupancy towards the lease occupancy.
Pritesh Sheth: Got it. Fair enough.

Varun Parwal : Many of these repositioning brands, etc., they are already under very active fit outs. So, if you are visiting Bangalore any time, give us a shout and we would love to show you and walk you around either the Bangalore mall or the Pune or the Chennai mall.
Shishir Shrivastava: So, to summarize what Varun is saying that the gap between what you see as the trading occupancy and the leased occupancy, leased occupancy is much higher than trading occupancy. That gap is forced (planned on account of repositioning) by us and going to become operational soon.
Pritesh Sheth: Got it. That's really helpful. Thank you. All the best. That's it from my side.
Moderator: Thank you. The next question is from the line Murtaza from Kotak Securities. Please go ahead.
Murtaza Arsiwalla: Yes. Hi, gentlemen. Firstly, congratulations on the deal. I think it's a very elegant exit that you are planning to get CPP. But just on the operational numbers, just two or three pieces. One is one is, if I look at this quarter's numbers, 12% consumption growth, 4% rental income, should that be just explained by a possible less favorable shift in mix or anything else that we should read into that number, number one.
Number two, on the CPP piece, you also amongst other things highlighted the potential upside in the occupancies for the recently commissioned office assets. Any visibility, because to me that number on how much is leased appears low for an asset which has just received OC. But you have said that you are targeting 90% in 2026 , but any near -term visibility numbers on how you look at a ramp -up in that occupancy. So, two pieces, one on the retail side, the growth in consumption versus rental income, second on the leased occupancy for the new commercial assets.
Varun Parwal : Sure, Murtaza. Varun this side. I think first on the quarterly performance for the rental income compared to the consumption trend. We spoke about it earlier on at the starting of the call that this quarter we had impact on two accounts. One is because of the planned churn that we had undertaken and the significant churn that we had undertaken at our Phoenix Market City

Mall. Even in Mumbai, Pune, Chennai, and significantly in Bengaluru , that churn contributed to about a 3% drop in rental income compared to the numbers that we reported.
There is also the negative impact from, when you compare Year-on-Year at Phoenix Palladium, we have demolished a large part of the retail block which housed retailers like Nike and Haml eys, which for the full -year, last year contributed about Rs. 200 crores in consumption and over Rs. 45 crores in rental income. So, the quarterly rental loss from the demolition of that retail block is also at about Rs. 12 crores .
The planned churn and the loss of rent from convergence (Courtyard) block between them have a 5% to 6% impact on our rental income growth for the quarter. I am not taking into

consideration the other aspects where there may be smaller fit -outs or any rent impact from retailers being exited. But broadly these are the two main reasons for the gap between consumption and rental income growth.
Murtaza Arsiwalla: So, a couple of high -yielding tenants have been churned out, is that the way to read it? Nike, Haml eys would have been, how should I read that, I mean, on the office assets, the newer office assets in terms of visibility in the near term on occupancy ramp -up?
Shishir Shrivastava: So, we have every reason to be confident about seeing a significant ramp -up in the next 12 months. In calendar year 2026, our target is to see a 90% occupancy across office assets. We have completed these assets and completed all the amenities at th

ese locations. Also we have a very strong pipeline. Just to give you an illustration, in Chennai, the office asset, we have completed about 60% leasing in about four months. And we expect to see a similar trend even in Bengaluru and Pune.
Murtaza Arsiwalla: Sure. Thank you.
Shishir Shrivastava: Thank you.
Moderator: Thank you. A reminder to all the participants, you may press star and 1 to ask questions. As there are no further questions from the participants, I would now hand the conference over to the management for closing comments. Over to you, sir.
Shishir Shrivastava: Thank you very much, ladies and gentlemen, for joining us on our Q1 earnings call. We wish you all the very best, and talk to you next quarter. Have a good evening.
Moderator: Thank you. On behalf of The Phoenix Mills Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Nov 2025

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November 05, 2025

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated October 31, 2025, wherein we had i nformed the stock exchanges about the conclusion of our Earnings Conference Call concluded on Friday , October 31 , 2025 at 07:10 P.M. (IST), with Analysts / I nstitutional Investors on Un-audited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 2025.

Please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2026/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY26 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "* " then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Varun Parwal. Thank you and over to you sir.
Varun Parwal: Thank you and good evening , everyone. Happy Diwali. It's a pleasure to welcome you all to discuss our operating and financial performance for the second quarter and first half of fiscal year 2026.
During the first half, we reported revenue of Rs. 2 ,068 crore reflecting a 14% growth over the same period last year. Our consolidated EBITDA stood at Rs. 1,231 crore up 17% year-on-year.
The second quarter in fact showed an improvement in revenue and profit trajectory with revenue coming in at Rs. 1,115 crore up 22% year-on-year and EBITDA of Rs. 667 crore up 29%.
Growth during this period has been led by strong performance from our retail portfolio and

good sales momentum in the residential segment.

At Phoenix, we are creating integrated destinations where people choose to shop, work, live and unwind and this interconnected model continues to translate into both resilience and growth. Fiscal year 2026 marks a phase of elevating the retail and office experience, strengthening our balance sheet and accelerating our next phase of growth. These results reflect not only our operational discipline but also the compounding impact of our mixed -use strategy and our commitment to building enduring value. Our ret ail story continues to be the engine that drives the Phoenix ecosystem.

Under Rashmi's leadership, it is growing stronger and more refined each year. Rashmi , of course as you know, has been with Phoenix for over 15 years and has played a pivotal role in transforming our mall portfolio into world -class destinations. With over 26 years of industry

experience, she continues to champion growth, operational excellence and strong brand partnerships while mentoring the next generation of retail leaders.

 Rashmi, over to you to take us through how we are deepening our retail strength.

Rashmi Sen: Thank you, Varun, and good evening everyone. I am happy to share that our retail portfolio continues to build on strong growth momentum, delivering both financial performance and a richer customer experience.

Retailer sales for H1 FY26 reached Rs . 7,335 crore , up 13% year-on-year. In the second quarter, consumption stood at Rs . 3,750 crore , up 14%. Rental income for the quarter rose 10% to Rs . 527 crore while EBITDA grew 10% to Rs . 551 crore . Consumption growth for the quarter was led by double -digit gains at Phoenix Palladium and strong traction across Mumbai, Chennai, Lucknow and Bareilly centers . Newer assets such as Palladium (Ahmedabad) , Phoenix Mall of the Millennium and Phoenix Mall of Asia also contributed meaningfully. Growth would have been stronger if adjusted for temporary area closures at Phoenix Palladium, Mumbai for redevelopment and strategic upgrades at our Phoenix Mark etCity malls.

Our consumption performance remains strong across categories. Fashion and accessories grew 17% year-on-year, family entertainment and multiplexes were up 23% on the ba ck of a strong movie slate ; athleisure and watches, each recorded growth above 15% (Q2 FY26) . This broad -reach strength highlights resilient consumer demand and the trust that leading brands place in Phoenix as their preferred retail partner.

A key milestone this year was the launch of Gourmet Village at Phoenix Palladium, a two -level dining and entertainment hub with 19 outlets. The concept is designed to position F&B (Food & Beverage) as a strategic anchor in our ecosystem, redefining urban retail as a space for experience and celebrations. Its diverse mix of global and local cuisines have resonated strongly with our patrons ; driving repeat visits, longer dwell times and higher consumption across the centers . Our malls have long served as the social anchors in dense city centers and we continue to evolve them to stay ahead of the changing consumer expectations. The success of Gourmet Village is a reflection of this evolution , and we are now scaling the model across our portfolio as we strengthen our positioning as preferred social and F&B destinations.

Moving on to our leasing strategy, we are strategically curating and optimizing our retail mix through right -sizing and planned churns to ensure stronger productivity. We are also upgrading underperforming spaces, introducing premium and high -performing brands across catego ries of fashion, jewelry , athl eisure, watches, beauty and F&B , to further elevate the shopping experience . Early results are visible in robust retailer sales with sales on a per -square -feet basis up over 20% at Phoenix MarketCity Bangalor e and 11% at Phoenix MarketCity Pune.

With the festive momentum clearly seen across our centers , we remain confident of delivering double -digit growth across our retail portfolio in FY26, driven by strong consumer demand, robust retailer sales and continued brand enhancement. Going forward, we will continue to

 build on this momentum through strategic leasing, enhanced customer experience and ensuri ng growth across our portfolio.

I would now like to hand the call back to Varun to take you through the next set of highlights.

Varun Parwal: Thank you Rashmi.

Moving on to our office portfolio . We remain firmly on track as we build a premium office portfolio which is seamlessly integrated with our mixed -use ecosystem. Each of our offices is envisioned as the best workplace in its city, combining world -class infrastructure, sustainability and the vib rancy of a retail -led environment right at its doorstep. Over the past two years, w

e

have more than dou bled our office footprint from two million square feet across tw o cities in 2023 to now nearly five million square feet of completed offices across four cities. Key milestones this year include the Completion Certificate for One National Park in Chennai and Phoenix Asia Towers in Bengaluru as well as Tower 3 of Millennium Towers in Pune. All our office buildings also have the USGBC LEED PlatinumTM or USGBC LEED GoldTM Certifications which reaffirm our commitment to sustainable world -class office environment s.

Leasing momentum in offic es has been strong, with over one million square feet of gross leasing achieved across Mumbai, Pune, Bangalore and Chennai assets during this year by the end of October 2025. And occupancy at our operating assets in Mumbai and Pune has improved from 67% at the end of March 2025 to now over 77%. For the first half of FY26, income from our operational offices stood at Rs . 106 crore with EBITDA coming in at Rs . 67 crore . The robust leasing momentum during the first half of this financial year (FY26) positions the office portfolio for a signifi cant uplift in financial performance going forward.
Turning to the Hotels portfolio . The business continued to deliver steady performance with income of Rs . 244 crore up 5% Year -on-Year and EBITDA up 16% to Rs . 105 crore for the first half, translating into healthy margins of over 43%. The St. Regis . Mumbai maintained a high occupancy of 85% and also an increase in average room rates of over 2% during the quarter, underscoring the resilience and premium positi oning of our hotel portfolio.
In the Residential business, our sales momentum has been strong and during the first half of this year, sales have already crossed Rs . 287 crore , surpassing the full -year sales done in FY25. Revenue for the quarter was about Rs . 171 crore , led by sales at One Bangalore West , and Kessaku, at pricing in excess of Rs . 27,000 a square foot , reflecting sustained demand for our high-quality residential products.
I would now like to invite Kailash Gupta to take you through the financial highlights.
Kailash Gupta: Thank you , Varun and good evening, everyone.

 At a group level, revenue from operations for the quarter stood at Rs . 1,115 crore up 22% year-on-year basis, and EBITDA grew by 29% to Rs . 667 crore . Net profit for the quarter was Rs . 304 crore up 39% year-on-year basis. Operating cash flow after working capital, taxes and interest expense was at Rs . 981 crore for H1 FY26 up 21% Year -on-Year basis. Total capex (capital expenditure) for H1 FY26 was Rs . 658 crore , largely towards the construction o f the various projects ongoing.
Our balance sheet remained prudent. Gross debt has touched less than Rs . 5,000 crore and overall liquidity remained very strong. Net debt in fact declined by Rs . 500 crore in the H1 FY26 and currently stood at ~Rs. 2,200 crore . Our net debt to EBITDA ratio remains healthy at less than 1x. We have also reduced our average cost of debt from 8.5 0% to 7.6 8%. I think this is truly a good benchmark for any company of our size. Overall strong cash generation and a disciplined capital framework give us ample headroom to invest in high -quality assets while preserving financial flexibility, positioning us wel l for the next phase of growth.
Just to give you some highlights on the CPP Transaction . So, t his transaction was declared in the last bo ard meeting on 24th July 2025. Post that w e have received CCI approval, Shareholder approval and we have also completed all the CPs , and now we are ready for the first tranche payment. The first tranche payment most likely will be processed d uring the first or second week of November and the total ~Rs. 1,257 crore payment has been completely tied up. So, the outflow will not really put any liquidity pressure on us.
This brings me to the end of the financial numbers.

Over to you Varun.
Varun Parwal: Thank you Kailash. Before we hand over to the operator for questions we would like to share an update with you.
As you are aware we recently announced the elevation of Mr. Shishir Shrivastava to Vice Chairman at Phoenix Mills. Shishir has been an integral part of Phoenix Mills journey since 1999 and his story is deeply intertwined with the company's growth and evolution. Over the past 26 - 27 years, he has won many hats across the organization, leading diverse functions with remarkable depth and versatility. His leadership, vision and unwavering commitment have guided Phoenix through numerous milestones from transformative growth phases to navigating challenges such as the COVID -19 crisis. On a personal note, I have had the privilege of working closely with Sh ishir for over 10 years. It h as been a t ruly enriching journey, one mark ed by invaluable learning and inspiration. As he transitions to the role of Vice Chairman, we look forward to his wisdom, perspective and mentorship remaining a co rnerstone of our journey ahead.
With that, I would now like to hand over the call to Shishir to share his thoughts.

 Shishir Shrivastava: Thank you so much Varun for very kind words. Good evening everyone. I would like to take this moment to express my sincere gratitude for the tremendous support and trust you have all shown in me throughout my tenure at The Phoenix Mills Limited as the Group CEO and Managing Director. It has been an incredible journey filled with learning, collaboration and shared achievements which I will always cherish. As I move into the role of Vice Chairman, I genuinely do so with a deep sense of pride in what we have built together and complete confidence in the leadership that will take PML forward into its next exciting chapter. The Phoenix journey has always been about building and enduring value and I am confident that the team's focus and discipline will continue to create long -term growth. Though I will be stepping back from day -to-day operations, I look forward to staying closely involved and continuing to work with the team, guiding, mentorin g and contributing strategically as we shape the company's future.

We can now begin with the Q&A round. Thank you everyone.

Moderator: Thank you very much. The first question is from the line of Puneet from HSBC. Please proceed.

Puneet Gulati : Yes, thank you so much and congrats on good performance. My first question is actually with respect to your Slide # 24, where you talk about the residential and other income and residential and other EBITDA. Can you elaborate a bit more on what this income is and how is the margin so high?

Kailash Gupta : Residential business basically, we have the O ne Bangalore West and Kes saku in Bengaluru . This is a site wher e the inventory is ready to sell anytime. During this quarter, we were able to make ~Rs. 282 crore as a total sales number , but we could not book the entire thing because of the pending documentation for almost Rs. 100 crore. So, this inventory, the land has been bought in 2008 and the construction has been completed around two years ago , so that is why the total cost of construction, including the land, is around 25% odd a nd the realization is one of the highest in the Bangalore.

Puneet Gulati : Okay. So, 57% EBITDA margin is how one should pencil in for future as well.

Shishir Srivastava : For the existing inventory, Puneet, that would be the correct answer. That 56 -57% would typically be the range for the balanced inventory.

Varun Parwal : Puneet, from P&L perspective, so costs are being recognized on a historical basis. Fr om a cash flow perspective, what we are selling today flows straight down to the free cash flows.

Puneet Gulati : Yes. Understood. Secondly, if you can talk a bit about when should one see normalized performance coming back for Pune and Bengaluru ?

 Rashmi Sen: Yes. I think we are already seeing some of that performance coming back because some of the stores that were under churn have already opened up. And b y end of the financial year, we will see most of that area that is operational. In fact, when we talk particularly about performance, we are already seeing double -digit trading density growth in both Phoenix Ma rketCity Bangalore and (Phoenix MarketCity) Pune. So, I think both of them are already showing growth traction coming back. And over the nex t two quarters, we will see most of it trading and coming back. I would say over 90% trading by March 2026.

Puneet Gulati : Okay, both the places, Bangalore and Pune?

Rashmi Sen: Both the places.

Puneet Gulati : Okay, that is very helpful. And secondly, just on the office side, while your occupancy indeed has inched up on your existing portfolio, rentals have not really caught on. If you can throw some light, there as well.

Varun Parwal : So, Puneet, leasing has been done between April and October now and you start seeing the flow -through in the rent and EBITDA happening from Quarter 3 and Quarter 4 of this year.

Shishir Srivastava : So, Puneet, as is typical, you will have a fit -out period, etc . before the rents are flowing through. So, typically, for large spaces, it c ould be as much as three months.

Puneet Gulati : So, the occupancy you have shown i s the leasing occupancy and not

Shishir Srivastava : That is the lease d occupancy. Yes, that is correct.

Puneet Gulati : And lastly, on the financial side, there seems to be a dividend payment of some Rs. 175 crore in first half. What does that relate to?

Varun Parwal : Puneet, that relates to, it is a dividend from our joint venture with CPP Investments , which is Island Star Mall Developers. This dividend has been paid in the ratio of our respective shareholdings. So, Phoenix Mills has received 51% or Rs. 89 crore and CPP has received 49% or approximately Rs. 85-86 crore of this dividend.

Shishir Srivastava : This forms part of the total consideration. It is just one of the heads under which the total consideration of ~Rs. 1 ,257 crore, which is Tranche One , will be paid out. So, this is part of that.

Puneet Gulati : But this is already paid out, right, in first half?

Shishir Srivastava : No, it has been paid out only recently in the first week of October. Yes. It was declared last week of September and paid out first week of October.

 Puneet Gulati : Okay, that is helpful. And on the debt side, you know, it is quite commendable to see such low cost of debt. How would this cost of debt pan out when you start paying out CPP and your gross debt levels will go up? Would you anticipate similar cost of debt, assuming interest rates remain where they are?

Shishir Srivastava : Absolutely, Puneet. All the debt that we are looking at raising, even at the ass et level, it is primarily going to be LRD and it is going to be at the similar price range.

Kailash Gupta : Puneet, just to give you, 50 -60% loan has already been tied up by now.

Puneet Gulati : Great. So, similar range 7.7 %.

Shishir Srivastava : Correct. Absolutely.

Puneet Gulati : Understood . That is very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Praveen Chaudhary from Morgan Stanley.

Please proceed.

Praveen Chaudhary: Hi. Thanks so much for taking my call. Hi Varun. Hey Shishir . I have just one quick question. The net de bt to EBITDA of one time , that is absolutely commendable , it is very good. I just wanted to see if you have a number in mind, which is your peak net debt to EBITDA that you can go to. That will also tell us in terms of what kind of growth you can go for apart from buying a piece of land that you have for the next five years ; what else could you do to improve or increase the gearing to drive

growth? I am just trying to see the peak number that you can go to.

Shishir Shrivastava : So, we continue to look at our overall cost of funding, Praveen. And for the present, we estimate that we will be in this range of between 1-1.5x at the peak, worst case, we may go up to 2 x. But that is going to be perhaps, even if it happens, it may happen for only a short period of time when we may peak and be able to reduce it from the internal accruals. So, potentially, if we really want to raise capital for growth, we could go even seven times. But that is clearly not the intent. Our current policy is to stay in the range of where we are, between 1 to 2 times of EBITDA.

Praveen Chaudhary: That is very clear. Thank you. And if I could add one more question. In terms of land banking, in terms of acquiring great locations, are you done because you clearly have a very good roadmap ? Or you are still looking for tier two cities and still scaping through buying land?

Shishir Shrivastava : See, we have clarity on what assets we are delivering between n ow and 2030, o ur goal continues to be to build out at least one to two million square feet of retail every year, even beyond that. So, land acquisition is going to continue to go on and there is no end , it is routine for us. And that is the plan that we have. So, one to two million square feet of retail delivery every year beyond 2030, accompanied by other asset classes such as hotel, office, residential,

 depending on the demand at that micro location. So, we will continue to acquire land to deliver this.

Kailash Gupta : And Praveen, just to add to what Shishir is saying, we are already having a list of cities actually, which we have identified, and it is part of the investment presentation all the time.

Praveen Chau dhary: Understood. And the last question I had was on the consumption growth and detailed rental growth. I remember a couple of years back, you had mentioned that same store sa les growth can be as high as 10 -11%. It has been single digit for some time. Could you highlight what will drive us back to double digit growth, please?

Shishir Srivastava : So, some of the impact to our sales growth as we ha ve spoken a little earlier in today's call and previously as well, has come about on account of us reducing trading area by way of churn. So, that space is undergoing a fit out or a change in brand and premiumization and other initiatives that Rashmi will explain to you. So, some part of the impact on our consumption growth has come out of area not being available to trade due to churn. We are seeing, it ha s been a fantastic season for us this year, this month of October, and we expect to see these trends t o continue through for the end of this quarter and perhaps even the last quarter of this financial year. Rashmi, would you like to add?

Rashmi Sen: Yes, in fact, we are seeing this trend is already coming back. I was earlier mentioning that fashion and accessories grew at 17%. We are seeing family entertainment and multiplexes have shown a growth of 23%. Athleisure watches grew over 15%, likewise jewelry . So, I see that this trend is actually coming back strongly. And the festive season has been very good as well. So, the numbers for the festival season are going to be even higher than what I am telling you. So, in fact, this has had a stro ng comeback, I would say in terms of the double -digit growth this quarter, and we will see it only growing in the next quarter.

Shishir Srivastava : Also, if you take a look at slide number seven of our presentation, you will see that 5 out of the 12 retail assets here have demonstrated double -digit growth in this last quarter. And the others is where Rashmi has explained the asset and brand enhancement initiatives.

Rashmi Sen: Yes, and even those two centers where we are undergoing a major churn, Phoenix MarketCity (Bangalore) .in terms of tra

ding density grew at 20% , and (Phoenix M arketCity) Pune in terms of trading density grew at 11%. So, you know, we are seeing a double -digit growth all across.

Praveen Chaudhary: Okay, that is very clear. And thank you very much. Co ngratulations for great results. Look forward to see you soon.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nu vama Group. Please proceed.

 Parvez Qazi: Hi, good evening team and thanks for taking my question. A couple of questions from my side. First, we have seen pretty decent improvement in leasing on the office side in Q2. So, what is the incremental progress here? Let us say by the end of FY26, where would we be in terms of the leasing status in the two odd m illion square feet recently completed projects on the office side? Second, some status on the under construction assets both on the retail and office side will be great. Thank you.

Shishir Srivastava : Hi, Parvez. With regards to the existing operating office assets that we have, we have mentioned that our internal goal to the team has been to hit an average of 80% across all (operating) assets by the end of this quarter. 80 -90% is the target. If we ju st look at the progress that we ha ve made, and which has been almost a million square feet of leasing that we ha ve achieved in this financial year, we are really excited that the team and the new leadership under the new leadership is going to continue to demons trate strong leasing progress a nd we hope to achieve our target. The second part of your question, which is an update on the retail assets under construction. And Rashmi, if you would l ike to take that part?
Rashmi Sen: So, the re tail assets under construction , leasing is progressing very well. We have Kolkata , which is leased over 75%. S urat is also leased close to 35 -40%. And we are doing expansions at the Bangalore Centre (Phoenix MarketCity Bangalore) in two phases. The second phase, which is the F&B expansion, is leased over 60%. Next is the expansion here at Phoenix Palladium, again, which is receiving very good traction. And apart from that, we are building flagship centers in Chandigarh and Thane, where currently we are at the drawing board stage in terms of the architectural plans and the larger vision for the center , and for those centers as well, we have received early very good traction from the re tailer community. So, yes, we are very excited about all the new projects and so likewise is the retail industry.
Shishir Srivastava : In terms o f completion, Parvez, we'll just complete that.
Parvez Qazi: Yes.
Shishir Srivastava : In terms of project completion, we are happy to report that we are on track both on budget and on timelines. We are expecting the Grand Victoria Mall Kolkata to be ready by sometime in the third quarter of calendar year 2027. Similarly, the mall at Surat is going to see a similar timeline. In Benga luru, the retail expansion is expected to be completed in the next calendar year, again, third quarter of next calendar year. The phase one office expansion at Phoenix MarketCity Whitefield will also be completed simultaneously in the third quarter of the next financial year. And the Grand Hyatt Hotel is slated to open by the end of calendar year 2027.
Parvez Qazi: Sure. Last question. When will the repositioning be in the Palladium Chennai as it get completed ? Thank you.

 Rashmi Sen: We ha ve already started that and I think next year, you will see a lot of it in terms of execution that will be visible at the mall level.
Parvez Qazi: Sure. Thank you and all the best.
Moderator: Thank you. The next question is from the line of ` from HDFC Securit ies. Please proceed. Mr. Parikshit, your line has been unmuted. Please proceed with your question.
Parikshit Kandpal: Yes. Can you hear me now?
Shishir Srivastava : Hi, Parikshit. We can hea

r you. How are we doing?
Parikshit Kandpal: Yes, good . Congratula tions on your elevation Shishir. F irst question is on the like -to-like consumption growth in the Palladium mall.
Shishir Srivastava : Sorry. Ca n you just repeat your question properly?
Parikshit Kandpal: To the Palladium mall, what is the like -to-like consumption growth, Year -on-Year , adjusted for the increased GLA?
Shishir Srivastava : 13% is the answer for that , without accounting for the additional area, like -to-like growth is 13%.
Parikshit Kandpal: I mean, what was the
Shishir Srivastava : This is adjusted for the area which has been demolished as well. Sorry, did you get that, Parikshit?
Parikshit Kandpal: So, adjusted for the demolished area as well, you are saying.
Shishir Srivastava : Adjusted for the demolished area and not accounting for the new space. So, like -to-like growth for the stores that continue to operate or the area that continues to operate from last year.
Parikshit Kandpal: Okay a nd, in particular, what was the driver of such a, I mean, because this seems to be a matured mall. It i s a matured mall. So, what was driving this, I mean, stupendous growth of 13%?
Rashmi Sen: I would say, Gourmet Village has been instrumental in driving that growth. You know, out of the 19 outlets, 14 are already operational. A nd with, you know, all the marquee brands that we h ave in this place, I think it is the stickiness is coming from the F&B destination that we created. The city is loving it. We have new customers that are walking in. We have repeat customers. We have increased dwell time. And, in fact, this is something that we are seeing that F&B is really becoming the new anc hor in terms of, you know, anchoring the growth all

 across. And the other thing is what we are seeing all across is that fashion h as picked up and even in Phoenix Palladium, we have seen a growth of 15%. Watches, Beauty, again, have shown a growth of 15%. And, I think, generally, the overall mall is doing very well in terms of consumption growth.
Shishir Srivastava: To add to that, there are a lot of new brands that Rashmi and the team have launched in this quarter at that location. So, brand premiumization is driving higher consumption.

Rashmi Sen: Yes. We hav e had a lot of new brands.

Shishir Srivastava : New cafes, new brands, the Gourmet V illage, as she said, just to recap, all of these strategies have worked out and led to this growth. Okay.

Parikshit Kandpal: I think that is helpful. Second question is on PMC Bangalore and Pune. So, I mean, there the growth has been muted. So, what are we doing there to, again, like, report much better growth in the future?

Rashmi Sen: So, you know, both Phoenix Mark etCity Bangalore and Pune, it i s a s trategic churn. So, while Phoenix MarketCity, Pune is trading at 85%, the leasing occupancy is 94% and a large portion of the new brands are currently already under fit -out. Likewise, in Phoenix MarketCity, Bangalore, while the trading occupancy is 80%, 82%, the leasing occupancy is 97% and there again, some of the brands have already opened and a lot of other brands are under fit -outs currently.

Shishir Srivastava : So, as Rashmi already explained earlier on the call, Parikshit, we are expecting that this last quarter of this current financial year is when you will start seeing the effect of all of these stores, which are not trading today, but leased occupancy stands at 97%, as Rashmi explained in the c ase of Pune and Bengaluru . You ar e going to see the impact of all of this to the consumption in this last quarter.

Parikshit Kandpal: And this is the last question on the residential piece. So, now Alipore, I think it spoke last quarter that we are in gearing for launch. Any update there? And also on Bengaluru , last phase of launches. So, any update on that?

Management: No, we are working on our plans and

approvals and construction at site over there, where develo pment plans are underway. We will come back to you. Hopefully, we wi ll have some significant updates for you in the next quarter.

Parikshit Kandpal: Both on Alipore and Bengaluru , right?

Management: I was talking about Alipore, Resi. What is the question on Bengaluru , if you could repeat that?

Parikshit Kandpal: So, Bengaluru also, I think the area is yet to be launched. So, when do we expect that to come for launch?

Shishir Srivastava : Tower 8 and 9, we have the plans finalized. In fact, you will remember that several years ago, we had already completed the work up to the plinth level for these towers. We are currently waiting to exhaust a significant amount of our existing inventory before we launch another premium product in that market.

Parikshit Kandpal: Sure. Thank you and all the best.

Shishir Srivastava : Thank you, Parikshit.

Moderator: Thank you. The next question is from the line of Pritesh Sheth from Axis Capital. Please proceed.

Pritesh S heth: Yes, thanks for the opportunity and season's greetings to everyone in the team and congrats Shishir on your elevation. First question on the category -wise growth. As you highlighted, quite a healthy growth across categories. Just want to understand how much of that is probably some effect of base last year and how much do you think as this GST -related consumption boost has contributed to this growth and how do you think about it going ahead in terms of categories which are goi ng to benefit most with whatever t he government is trying to do.

Varun Parwal : Pritesh, l et me take the first part of that question before I hand it over to Rashmi. I think I would say that what you a re seeing as overall growth in the categories is quite coming from like -to-like areas. The area that was in operation last year versus the area that is in operation this year, there has been no change in that. At the same time, we have been carrying out brand changes, whether it is at Phoenix Palladium or at our other malls and the impact of some of this churn and the underl ying pent -up demand is what is showing such strong growth on a like -to-like basis. In fact, like Rashmi mentioned in her opening remarks, the growth that you're seeing is very broad -based acro ss categories and across malls. Pritesh , did that answer your question?

Pritesh Sheth: Yes. I was just trying to see how much of that is because of the base effect of whatever weakness we had last year post -election and overall a weaker consumption environment and how much is because of the GST r ate benefit. Has anything of that started to come through?

Shishir Srivastava : I do not think anything has changed structurally. There are two aspects which have contributed for this growth across categories. One is clearly the premiumization that we have already carried out across our locations. There are completion of some projects which have led to driving consumption growth. There are brand changes which have led to driving consumption growth. And yes, there has certainly been a positive effect of the GST, but one has to consider that that has probably taken effect only in the last part o f this quarter. That has only had an effect of maybe a couple of weeks in this last quarter. So, the growth that you are seeing for the second quarter or the first half of this ye ar is not on account of GST. It i s on account of

several initiatives. I do not think structurally anything has changed. The base was very depressed last year and t hat has been an effect there. I would not take that view.

Pritesh S heth: Got it. And which category do you think will continue to see this healthy, double -digit kind of

growth?
Shishir Srivastava : Well, across different locations, we have different strategies of what we are undertaking as initiatives for brand churn or category changes

, etc. So, at different locations, you will see different impacts coming from different categories. For example, you will see F&B impact in a few of our malls. You will see fashion categories growing faster than others in a few of our malls where we have new brands opening up, more premium brands opening up. So, it will be a mix of it all.
Pritesh S heth: Got it. Fair enough. That is very clear. And second question on your slide 11, where you have broken down the trading occupancy impact an d the trend density increase. I a m just trying to understand now that once we get back to a mid -90s kind of trading occupancy for all these malls, you think that trading density can remain at similar levels or can have the potential to further go up with the kind of brands we are bringing ? And then overall, will it boost the growth even better than just the trading occupancy increase that we will see? So, how do you think about this?
Shishir Srivastava : You know our business as well as we do, I think. Because it is quite clear and evident, right? All of these initiatives that Rashmi and her team have undertaken, which have resulted in a temporary dip in occupancy, is all driven to drive a higher trading density.
Rashmi Sen: And you know, to add to that, you have to look at consumption and trading density together and not in isolation, right? Because like we mentioned, we are churning a lot of anchor areas at current. So, you know, you may see a little spike there when you loo k at trading density in isolation. But like Varun mentioned earlier, the positive part is that, you know, when we churn, we are churning out the low -performing brands and we bring in the high -performing m arquee brands. So, overall, you ar e goin g to see a jump in both trading density and consumption. When you compare it with the previous year at the end of the financial year, you will see a robust growth both in consumption and trading density as compared to the previous year.
Pritesh S heth: Got it. Absolutely. I was just trying to understand once occupancy ramps up, you know, will that be the only lever for consumption growth or even the trading density will further increase and both will add up to overall consumption growth. That is what I am thinking.
Shishir Srivastava : Thank you for your question.
Pritesh S heth: Thank you.

 Moderator: Thank you. The next question is from the line of Abhinav Sinha from Jefferies. Please proceed.
Abhinav Sinha: Hi, Shishir. Just a few questions here. So, on Palladium Mumbai, are we now done with this round of changes and is that fully reflected in trading density or you think maybe one or two more quarters we will see the stabilized numbers?
Shishir Shrivastava: As you know, we have that entire Project Rise and Convergence . Convergence is the area adjacent to the courtyard, which we have demolished , that is under development and it i s being done in parallel with the other part, which is a little behind, which is where you also have the offices in the tower above, right? So, that is going to add another 200,000 square feet o f retail space which will further drive growth and consumption and of course, additional GLA. Right.
Abhinav Sinha: Shishir, so okay, I wanted to ask you for the current changes wh ich we have seen with the Gourmet Village open now. So, for that area, is it the correct quarter?
Shishir Shrivastava: We still have a few stores yet to open over there. So, maybe you should look at the performance of next quarter to understand what the consistent performance of that block is going to be if you want to estimate some kind of projection on what the performance will be.
Abhinav Sinha: The 91% trading occupancy that we have on 1.03 million GLA, this includes the recent demolition or does not include that?
Shishir Shrivas tava: No. It is adjusted for that area. It is taken out.
Abhinav Sinha: Okay. So, we should b

e at say 98% very so on on trading occupancy, right?
Shishir Shrivastava : Absolutely.
Abhinav Sinha: Okay.
Rashmi Sen: Our lea sing percentage is already 98%.
Abhinav Sinha: Right. And Rashmi ma'am, that should be fully operational and reflected in the trading density and the consumption by say the March quarter, is that right?
Rashmi Sen: Yes, it ce rtainly will.
Abhinav Sinha: Okay. In Bengaluru also, PMC Bangalore, so I see that the density has now jumped up massively by like some 21%. So, clearly there is active churn. And these numbers are very close to Palladium (Mumbai) . So, is this like going to be the stable ratio that say Palladium moves to 3,500, so this moves to 3,100 or something?

 Rashmi Sen: So, in the long run, yes, Bengaluru is emerging as a very strong market. Our center in Bengaluru is emerging as a very strong destination. And with all the efforts that we are putting in, and we will continue to put in, in terms of premiumization, upgrading the asset, bringing in new brands,

new experiences in the center, and there is generally a lot of organic growth also around the center. So, in the long run, yes, the center holds very strong potential.
Shishir Shrivastava : Abhinav, Rashmi, you ar e going to ensure every center is going to be a Palladium , okay? We love all assets equally.
Abhinav Sinha: Right. Shishir, o n the other land parcels, so you've given us good updates on Victoria and Surat. The three other ones, Coimbatore, Mohali, and Thane, when do we start seeing proper construction, plinth level, etc .?
Shishir Shrivastava: So, Abhinav, as y ou know our process, you have seen how we ha ve buil t our malls in the past, and we ha ve been able to stay within timelines and budgets. We get into detailed designing before we break ground. We wait for all of our approvals in place before we break ground, and we ensure that we have 50% -60% visibility on the project costs by way of tenders awarded before we break ground, okay? Because once we break ground, then we move very fast and do no t get stuck for lack of approval or lack of clarity on design or site issues. I a m happy to report that for our Chandigarh project, we ha ve recently, in just last week, we ha ve received the environment clearance. We are going into other approvals now. Coimbatore is about to commence construction probably in this quarter, and as far as Thane is concerned, again over there, we ha ve got our prel iminary approvals in place. We hav e applied for the environment clearance. We hav e got the terms, the TOR draft has been approved. We are in that process. So, we are on track. Typically, we have a s ix-year program from the time of acquisition before the mall gets operational, and we are well on track to achieve that across these three locations.
Abhinav Sinha: Okay. Great. Thanks, and all the best.
Shishir Shrivastava : Thank you, Abhinav.
Moderator: Thank you. The next question is from the line of Bipla b from Antique Stock Broking . Please proceed.
Biplab Debbarma: Thank you. Congratulations, Shishir. Good evening, everyone. I have just one question. Could you share what retail and office assets are expected to come on stream, say, in the next three years in FY26 ; FY27; FY28?
Shishir Srivastava : Okay. I will cover it again. We briefly discussed this earlier. Let me put it down for you again. We have the Phoenix Grand Victoria Mall, Kolkata, likely to be operational in calendar year 2027. We have the Surat Mall, which is also going to be operational in calendar year 2027. In Bengaluru , Phoenix MarketCity, the retail expansion is expected to be completed in calendar

 year 2026 by the third quarter. In Bengaluru , Phoenix MarketCity offices that we are building there, Art Exchange, the first phase will be operational in calendar year 2026, third quarter, and we expect the Grand Hyatt Hotel at the same development

to be operational a year later in 2027.
Biplab Debbarma: Okay. So, Kolkata in 2026, Surat in 2027.
Shishir Srivastava : No, Kolkata also 2027, t hird quarter.
Biplab Debbarma: Calendar year?
Shishir Srivastava : Yes, calendar year, or you can say third quarter FY28.
Biplab Debbarma: Okay. And whe n do you expect the Project Rise Mall and office to be ready?
Management: Calendar year 2027, maybe in that third quarter of the calendar year.
Biplab Debbarma: Okay. Thanks.
Shishir Srivastava : All of our projects are getting delivered between 2026 and 2027. And then, of course, , the Thane and Chandigarh and Coimbatore will be in 2030 and thereafter.
Biplab Debbarma: Okay. Great. Thank you, sir.
Moderator: Thank you. The next question is from the line of A akash Gupta from Nomu ra. Please proceed.
Aakash Gupta: Hi, sir. Am I audible?
Shishir Srivastava : Hi, A akash. Yes, we can hear you.
Aakash Gupta: Hi, sir. Just one question on my side. I just wanted to understand the impact on the consumption on your retail malls after the GST tax cut. How has consumption improved? And how are you thinking about it going forward?
Shishir Srivastava : I think we covered this a little while ago. But see, it is very difficult to gauge the impact. We believe that there has been an impact of the GST changes, but that would have only been in the last two weeks of this quarter under discussion. So, we are clear that the consumption growth that we have seen in this last quarter has been driven on account of the operating initiatives and asset enhancement an d brand enhancement initiatives that have been undertaken by Rashmi and the team.
Aakash Gupta: Understood, sir. Thank you so much.

 Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please proceed.
Puneet Gulati: Yes, thank you for the follow -up. My first question is on the Indore mall. There seems to have been some bit of issue on the infrastructure side, but yet consumption has grown quite nicely, 15% for a few quarters now. EBITDA has not caught up. Can you elaborate on why there has been this discrepancy?

Shishir Srivastava : Sorry, what is the discrepancy, Puneet? May I request you to repeat it ?

Puneet Gulati: Yes, so the consumption in Indore mall has been growing quite nicely, 15% despite the infrastructure -related issues. But EBITDA has not grown as much.

Shishir Srivastava : You know that typically you would see a two to three -month lag between consumption and growth and its impact on the rental on account of incremental rental on revenue share. So, currently, the brands over there have now started breaching the Minimum Guarantee threshold and they will start contributing the incremental rent on account of revenue share. We are hoping that with this infrastructure getting completed and access improving in this, let us say, in the first quarter of next financ ial year, you will start seeing some significant positive impact.

Puneet Gulati: But for the last four quarters, you are double -digit in consumptio n, but rents have lagged. That is the only thing I am trying to understand.

Shishir Srivastava : Also, Puneet, for this period, we have had discussions with our retailer partners and when there has been an impact on account of the infrastructure on the overall consumption in the mall, we are also sensitive. We are equally there. So, we have adjusted f or rentals. We have given them some waivers.

Rashmi Sen: Extended some support for the short term. We do see that the flyover that is under construction is having a short -term impact on the retailer's sales and because of that, we have extended some support to them in the short term.

Puneet Gulati: Understood. Very good. And lastly, on Lucknow as well, you have been reporting leasing occupancy at 99%, but trading occupancy has stayed at 96%. Do you think one should think of this gap bein

g bridged or it will largely remain at this level? Some people will keep coming, some will keep going.

Varun Parwal : Puneet, I think that is, I would say, a normal part of our business. Even when we talk about stabilized trading occupancy, we typically refer to levels of 95% plus. And yes, in Palladium (Mumbai) and in the Phoenix MarketCity Malls like Bangalo re and Pune, we have gone to 98%, 99% trading occupancy. But when it comes for churn, then one faces a lot of operational issues in moving retailers around to create the right desired space for a new tenant. But 96% tradi ng

 occupancy at Phoenix Palassio is very much the desired targeted occupancy. It keeps the center vibrant and healthy and yet leaves some room for us to maneuver retailers around when required.

Rashmi Sen: And here too, we are undergoing some strategic changes at this center as well. Entering into the fifth year and we are undergoing some strategic changes here as well.

Puneet Gulati: Understood. That is very helpful. Thank you so much and all the best.

Moderator: Thank you. On behalf of The Phoenix Mills Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

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February 03, 2026

To,

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza,
Dalal Street, Fort, Bandra -Kurla Complex, Bandra East,
Mumbai - 400 001 Mumbai - 400051

Security code: 503100 Symbol: PHOENIXLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

This is further to our letter dated January 29 , 2026, wherein we had i nformed the stock exchanges about the conclusion of our Earnings Conference Call concluded on Thursday , January 29, 202 6 at 11:55 A.M. (IST), with Analysts / I nstitutional Investors on Un-audited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on December 31, 2025 .

Please find attached herewith the Transcript of the said Earnings Conference Call.

The enclosed Transcript is being made available on the Company's website and can be accessed at https://www.thephoenixmills.com/investors/FY2026/Earnings -Call-Transcript .

You are requested to take the same on record.

Yours faithfully,

For The Phoenix Mills Limited

____
Bhavik Gala
Company Secretary
Membership No. F8671

Encl.: As enclosed

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9M FY26 Results Conference Call of The Phoenix Mills Limited.
As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing " *" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shishir Shrivastava. Thank you and over to you, sir.
Shishir Shrivastava : Thank you, Danish . Good morning everyone and thank you for joining us today. It is a pleasure to connect with you again.
During Q3 FY26, across retail, offices, hospitality and residential, we saw strong festive demand and consistent execution. Consolidated revenue for the quarter stood at Rs. 1,121 crore s, an increase of 15% year -on-year, while consolidated EBITDA grew by 19% year -on-year to Rs. 656 crore s, underscoring the operating leverage in our platform. Retail delivered robust

consumption growth of 25% year -on-year during the festive quarter, driven by broad -based demand across categories. In offices, we completed approximately 1. 2 million square feetof gross leasing year -to-date, corresponding to nearly 25% of our portfolio, with a healthy pipeline of advanced -stage discussions. Our hospitality business benefited from strong occupancies and rate-led growth, while residential sales and collections continued to progress steadily on a year -to-date basis. Alongside this operating momentum, we continue to maintain a prudent and flexible balance sheet, supported by strong operating cash flows and disciplined capital allocation. This has enabled us to fund our ongoing CAPEX and the ISML partner buyout primarily through equity, while keeping overall leverage at prudent levels.
Our performance for the third quarter and the first nine months of FY26 reflect s the consistency of execution across our platform and the quality of growth we are delivering. The strength of our model lies not only in scale, but in the productivi

ty of our assets, capital
efficiency and the resilience of our financial position. Even as parts of our portfolio undergo active transformation, the underlying business continues to compound, supported by resilient demand and disciplined execution across our portfol io.
I will now hand the call over to Ms. Rashmi Sen to take you through the performance of our retail portfolio in greater detail. Rashmi, over to you.

 Rashmi Sen: Thank you, Shishir. Good morning, everyone.
Phoenix Retail continues to set new standards through innovations, upgrades, new launches and meticulous brand creation. As you all know, we are upgrading our Phoenix MarketCity centers and premiumizing the brand mix by launching flagship formats, marquee brands and differentiated concepts to further strengthen these centers. A key thrust is scaling experiential and F&B ecosystems, which ensures that our assets function as full -day social consumption and destination hubs. In parallel, we remain deeply focused, enhancing retailer productivity through carefully curated category mix and focused m arketing initiatives. And above all, we continue to have a steadfast emphasis on enhancing profitability, driven by consistent rental growth and operating efficiency.
In Q3 FY26, consumption grew by 25% at Rs. 4,99 2 crores, with strong momentum across all categories. Rental income grew by 13% year -on-year to Rs. 573 crores, while EBITDA increased 16% to Rs. 585 crores, underscoring the opera ting leverage in our portfolio. For the first nine months of FY26, retailer sales reached Rs.12 ,326 =7 crores, marking a year -on-year growth of 17%. To put this in context, our full -year consumption for FY25 was Rs. 13,750 crores and in the first nine months of FY26, we have already ap proached that level ; despite no new mall additions and with large parts of flagship Phoenix Market City centers under repositioning and upgrades . This highlights the underlying productivity uplift across the retail po rtfolio.
Moving to consumption trends . Consumption performance during the quarter was broad - based, with growth driven not just by the festive demand, but also by improved tenant mix and higher dwell time. Within the mall portfolio, growth was led by Phoenix Mall of Asia, (Bengaluru) , which saw a 112% increase in consumption, supported by 22% growth at Phoenix Palladium, Mumbai ; Phoenix Palassio (Lucknow), and 25% growth at Phoenix Mall of Millennium (Pune). All other centers as well reported a positive mid -teens consumption growth.
From a category perspective, fashion and accessories grew 16% year -on-year, while family and entertainment and multiplexes were up by 19% on the back of strong film releases during the quarter. F&B grew by over 11% as well, while jewel lery was up by 39%. This diversified performance reflects sustained consumer demand and the continued confidence of leading brands in the Phoenix platform.
Moving to brand curation and leasing momentum .Turning to our retail partnerships, our premium positioning continues to attract marquee brands and as a result, we continue to deepen our partnerships with leading global and domestic brands, particularly in categories that are driving higher trading dens ity and rental yield for us. Phoenix Mall of Asia , in particular has emerged as a preferred launch destination with notable openings including South India's first Apple Store, the largest Lego store in South In dia, Onitsuka Tiger's first concept store in India, and several others. We remain focused on improving portfolio productivity through a more curated retail mix including right -sizing, planned brand refresh, and selective upgrades. We are also introducing p remium high -performing brands across key categories such as

 fashion, jewel lery, athleisure, watches, beauty, and F&B, which is beginning to reflect in better productivity metrics. A direct refle

ction of the churn and brand refresh can be seen in the
notable improvement in trading density at both PMC Bangalore and PMC Pune.
At Phoenix Market City Bangalore, trading density grew to Rs. 3,011 pspm for 9MFY26 by 23% year -on-year. With nearly 80% of the planned transformation already executed, trading density levels at this center are now approaching those of Phoenix Palladium Mumb ai, which have

been about Rs. 3,400 - 3,500 pspm between FY23 and FY25. Similarly, PM C Pune recorded a 14% increase to Rs. 2,214 pspm (trading density) , with 19% of its GLA under transformation and over a third of new brands already operational. These results demonstrate immediate value unlocked through o ur asset upgrading initiatives.

Beyond retail, we are integrating active lifestyle elements into our malls. A key example is the Phoenix Ra cquet Club launched in December 2025 at Phoenix Palladium Mumbai. Located on top of the mall, the facility integrates paddle and pickle ball courts with open -air cafe and community spaces, creating a lifestyle -led, community -driven destination with in a luxury retail environment. In just its first month of operation, the Racquet Club welcomed over 1,000 customers, attracted sponsorships and generated ap proximately Rs. 50 lakhs in revenue, while also meaningfully increasing engagement and repeat visits at the center.

Our expanded F&B ecosystem comprising cafes, restaurants and dining concepts continues to act as a powerful catalyst for engagement. Our Gourmet Village at Phoenix Palladium, a two - level dining and entertainment destination launched last year, has validate d this model by increasing repeat visits, lengthening dwell times and boosting same -store sales growth across the center. Having proven the concept, Gourmet Village now serves as our blueprint for similar rollouts across the Phoenix portfolio, especially P hoenix Palassio , PMC Pune, PMC Mumbai and PMC Bangalore.

Alongside growth, we maintained a strong focus on capital and cost efficiency, with marketing and energy costs serving as key levers for improving asset -level returns. One such example is the reduction of our retail marketing spend by 15% during Q3 FY26. We achieved this by pivoting towards high -impact targeted initiatives and deeper collaboration with our brand partners . By shifting to sponsored activations such as Sephora Christmas Armani's Diwali Decor at Phoenix Palladium, sharper targeting of high -performing brands and leveraging influencer - led, hyper -local strategies, we have proven that we can do more with less. Despite the leaner spends, we saw positive footfalls, delivered higher consumption growth and meaningfully scaled revenue share income. Our m arketing is not just cost -efficient but materially more effective at driving both engagement and monetization.

We ha ve also made meaningful progress on sustainability and cost efficiency. Renewable energy now accounts for 30% of our retail energy requirements for common area and HVAC,

up from 20% during Q3 last year. We are currently in advanced discussions with multiple renewable energy providers to further scale adoption across the portfolio.

Looking ahead, we continue to see good visibility for double -digit growth across our retail portfolio in FY26, supported by strong consumer demand trends, healthy retailer performance and ongoing portfolio enhancement. With a significant portion of our portfolio coming up for renewal over the next five years, major expansions across our existing Phoenix assets and a secured launch pipeline through 2030, we are well positioned for sustained value creation through disciplined execution, leasin g and productivity enhancement.

I will now hand the call over to Varun to take you through the next set of highlights.

Varun Parwal: Thank you, Rashmi.

Turning to offices, our focus continues to be on building a differentiated, high -quality portfolio that complements our mixed -use developments. We are prioritizing well -designed, sustainable workplaces that benefit from being embedded within an active reta il and lifestyle ecosystem.

Over the last two years, this strategy has resulted in a significant expansion of our office platform. From a base of around 2 million square feet across two cities in 2023, we have scaled now to nearly 5 million square feet of completed office spaces across four cities today. In fact, during this year, in Pune, we received occupation certificates for the entire Millennium Tower Complex. We also achieved the prestigious USG BC LEED Platinum certification in November 2025 for Millennium Towers in Pune. In fact, as a key strategy of our sustainability initiatives, all our new office developments are USGBC LEED certified, reflecting our emphasis on sustainability and long -term asset quality.

Leasing activity for offices through the year has been very healthy and encouraging . By December 2025 , we have achieved nearly 1.2 million square feet of gross leasing across our office assets in Mumbai, Pune, Bengaluru , and Chennai. Occupancy at our stabilized assets in Mumbai and Pune increased to 76% from 67% at the e nd of March 2025 . And in our recently completed developments across Pune, Bangalore, and Chennai, lease occupancy now stands at about 41%, with advanced -stage discussions providing good visibility for continued ramp -up across this portfolio.

For the first nine months of FY26, our operational office portfolio, comprising of our assets in Mumbai and in Viman Nagar, Pune, generated income of Rs. 1 ,62 crores, with EBITDA coming in at Rs. 103 crores. With the leasing progress achieved during the year, the office portfolio is now entering the transition from a build and lease phase into a rental monetization phase, with newer assets expected to begin contributing meaningfully to earnings and cash flows from FY27 onwards.

 Turning to our Hotels portfolio :
The business delivered a strong performance during the period despite tough macroeconomic sentiments. For the first nine months, income stood at Rs. 423 crores, reflecting an 8% year -on-year increase, while EBITDA meaningfully grew much ahead of revenue at 16% and reached Rs. 190 crores. Our EBITDA margins for the two hotels were very healthy at 45%, with an improvement of 300 basis points over the sam e period last year. The St. Regis Mumbai , drove this EBITDA improvement, operating at a healthy 85% occupancy f or nine months of FY26, with average room rates crossing Rs. 20,000, up 8% year -on-year.
Growth was driven by a deliberate shift towards higher -yielding segments such as retail -led demand and celebrations, strong performance in events and F&B, and a continued focus on experience -led differentiation. This reinforced the role of our hotels as yield -enhancing extensions of our mixed -use ecosystem. Courtyard by Marriott , Agra delivered a resilient performance despite the softer city environment, maintaining strong occupancies and marke t share during the peak season.
I will now hand the call over to Kailash to walk you through our residential portfolio highlights and broader financial results.
Kailash Gupta: Thank you , Varun.
Let me brief on the residential piece :
In the residential business, our sales and collections momentum sustained in the first nine months. Gross booking for the first nine months was around Rs. 412 crores. Revenue recognized for the first nine months is only Rs. 273 crores. So, essentially Rs. 180 crores is likely to be booked in Q4, subject to registration and other documentation completion. This is primarily led by One Bangalore West and Kes saku. Pricing was in excess of around Rs. 29,000 per square feet, led by the strong demand in the marke t. This performance reflects continued end-user demand for premium, well -located residential development, and the stre

ngth of our
differentiated product offering s, even in th e selective market environment.
On a financial overview :
At a group level, revenue from operations for the quarter stood at Rs. 1 ,121 crores, representing a 15% year -on-year increase, while EBITDA grew by 19% to Rs. 656 crores. Net profit for the quarter was Rs. 276 crores, up by 4% year -on-year basis. Operating cash flow after working capital and taxes and interest stood at Rs. 1 ,508 crores for the nine months, an increase of 24% year -on-year basis. Operating cash flow from our core businesses, excluding residential, was Rs. 1,333 crores, up by 14% over the same period last year. Capital expenditure

 towards construction and ongoing projects during the first nine months amounted to Rs. 722 crores.
Moving towards update on CPP Transaction, which we have announced in July 2025, and then post that we have received necessary approvals and completed CP conditions. First tranche payment has been made for Rs. 1 ,257 crores in November 2025. With this , PML stake in ISML stands at 58.33%, up from 51% earlier.
Our balance sheet positions remain prudent. Gross debt at 31st December stood at ~Rs. 5,200 crores, with overall liquidity improving to Rs. 1 ,858 crores. The net debt as on 31st December was Rs. 3,344 crores. Net debt to annualize d EBITDA remained at a healthy 1.3x. During the period, we also reduced our average cost of debt from 7.68% to 7.62% in December 2025.
Sustained operating cash flow, a prudent balance sheet and a disciplined capital allocation framework provide us the flexibility to continue investing in high -quality assets while maintaining a strong credit matrix and balance sheet flexibility. As we move forward, our focus remains on disciplined execution and productivity across the portfolio and converting this scale we have built into sustained earnings and cash flow growth.
We can move to the Q&A now.
Moderator: Thank you so much. Ladies and gentlemen we will begin with the question and answer session. Our first question comes from the line of Puneet from HSBC . Please go ahead.
Puneet: Thank you so much and congratulations on great performance on the retail piece. Can you talk a bit about what i s happening in Mall of Asia, consumption level numbers off the charts, but rents stil l lagging and it looks like it is much low. You a re still at 88% occupancy. How should one think about the potential for growth on the rentals for this part of the portfolio?
Varun Parwal: Hi Puneet, thank you so much for your question and yes, I think Mall of Asia's performance ha s been phenomenal. We launched the mall in October 2023 and from there to today it has nearly reached the levels that we see in Phoenix Palladium. We have seen several first -time global brands that have opened their stores at Phoenix Mall of Asia within our portfolio itself. And I will hand the call over to Rashmi now to share some key highlights on the type of brand mix that we have seen and the upcom ing new retailers that are expected to open up in Phoenix Mall of Asia going forward.

Rashmi Sen: So, Mall of Asia has bee n seeing a great trajectory. It has built up as a destination center really fast. I think all factors have contributed to the exponential success of the center that we are seeing. Bengaluru as a city has been thriving. It i s a great location. When we acquired that land parcel, we knew that this is the location where we have to build the Mall of Asia. The architecture and interior that we ha ve done for the center, I mean the response that we

 received from the city, from the retailers who visit across the globe, they rate it as one of the best centers that they are seeing in recent times that has been built up . But above all, I think it is always the tenant mix. I think the tenant mix that we ha ve achieved at that center is extraordinary. And we keep adding to tha

t extraordinary tena nt mix. In the recent times, we have opened the flagship store of Apple, Rolex, Onitsuka, several other BTL (Bridge -to-Luxury) brands that have opened over the last six months. And not only that, we wi ll continue to see a lot of marquee brand openings over the next three to four months as well. And so this center continues to be on a great growth trajectory going forward. And we ha ve seen a very positive rental growth trend at the center along with consumption. And we wil l see a lot more of it in the coming quarters as well.

Varun Parwal: So, in fact, Puneet just putting some numbers for the benefit of everyone on the call. Consumption at Mall of Asia reached Rs. 732 crores for the third quarter. And it is up 112% year -on-year. While rental also has grown by 58%. And quarterly rental for this asset reached Rs. 62 crores. In fact, occupancy right now is at 88%. And typically, you would see for the rest of our portfolio, all new malls are at 95% or thereabout in those trading levels. And even in the Phoenix Mall of Asia, in the coming next two quarters, we are going to se e occupancy stabilize at the 94 %-95% level going forward. So, we are hopeful that the consumption performance should continue going forward as well.

Puneet: So, if I look at consumption, it is just about 7% lower than Phoenix Palladium. But rental income is almost half. Do you think it can trend towards the same as Phoenix Palladium or do you think structurally it will remain lower there?

Varun Parwal: I think structurally, Puneet, you have to look at consumption and rent trajectory converging over a three -to-five-year period. So , there are times when we start off with a particular rental contract, the fixed rent kicks in immediately. Whereas brands' consumption takes time to scale up. In Phoenix Mall of Asia, the rents of course started very strongly in the first year. We were nearly at Rs. 160 crore s of annual rental last year. And this year also, we are seeing rents growing strongly. Now, consumption for many of these brands is scaling up sharply. And we will see rents also align with this rising consumption growth in the coming quarters.

Puneet: Secondly, Rashmi, on the broad portfolio, you have clearly outperformed the rest of the market on the retail side. All the retailer numbers were quite poor and you guys have done extremely well. If you can talk a bit more about it, how much of it has to do with footfall versus value growth?

Rashmi Sen: So, that i s a good question. So, firstly, a lot of our retail partners tell us that their performance in our portfolio is an outlier. Even though at a broad category level for them, the numbers may look very different. And if you look at the flagship stores across all the listed retailers we have, all of them have shown remarkable double -digit growth. So, that was talking about the listed retailers. Secondly, we are seeing that growth has been spread across all categories. So,

 whether we talk about the fashion category, gold jewel lery category, you talk about electronics. Also, I think the other parameter which has added to exponential growth this quarter, one is the festive season, of course. You see a sharp growth in numbers in Q3, which has the Diwali and Christmas festivities. You see this every year in our portfolio and generally in the market. What has further added to the growth is t he strong repositioning that we ha ve been doing in our center s, whereby we have churned out a lot of low -performing categories. For example, some of the malls where we had hypermarkets which were very large, 30,000 - 60,000 square feet. And the trend has changed towards shopping at such large hypermarkets. And churning them and converting them into high -trading department stores, or converting part of that area into high -trading in -line flagship stores. That has impacted the overall tradi ng as well. And

further, we ha ve had a lot of new marquee brands opening across our portfolio this quarter. And some of those individual brands have also done remarkably well adding to the growth further.

Puneet : And this is across the portfolio, right?

Rashmi Sen: Across the portfolio. Because if you see our repositioning efforts, we are halfway through the asset upgrades at Phoenix Market City Mumbai, and Phoenix Market City Pune, and some of the other cent ers as well. We opened the Gourmet Village here, which is an F&B destination at Phoenix Palladium. And this is a very successful concept. While now we are taking this concept to other centers, but in some small ways, we have started making F&B changes across all our malls and marquee F&B brands coming in. So, we a re seeing an impact of that F&B change also across all our malls. In terms of marketing str ategies and marketing plans, we ha ve really been evolving. We have an excellent marketing team, a nd there are a lot of things we ha ve been experimenting with on our marketing side. And we see a huge impact on the consumption side on account of the marketing initiatives we ha ve taken. We are constantly focused on increasing the consumption of our brands, and all activities and activations we do are in that direction. And so, you know, the inputs and our strategies are resulting in those outcomes.

Puneet: Understood. That i s very helpful. And secondly, Varun, if you can talk about where are we in terms of launching Kolkata Residential, and what is the plan for Thane now?

Varun Parwal: So, Puneet, on Thane, we have planned a retail -led mixed -use development. We acquired this land parcel back to wards the end of 2023, in November 2023 . And from then to now, we have planned, I would call it a fabulous mixed -use district here with a destination retail mall with an area of approximately 1.3 to 1.5 million square feet in terms of leasable area. Office Tower - a Grade A office tower for the growing district of Thane and the huge commercial demand that we are seeing emerging there. And, you know, luxury event centric hotel .

Puneet : How big is the office?

 Varun Parwal: Offices right now, Puneet, they are between 0.5 million square feet to 1 million square feet. The overall FSI potentia l for Thane is in excess of 4 million squ are feet. So, we are optimizing what we can add and what we can maximize in terms of the FSI consumption here in Thane without compromising on the experience that each user will experience when they come to this mixed -use platform.

Puneet : Okay.

Varun Parwal: If I just add on Thane, Puneet, we are right now in the final stages of obtaining, securing our approvals. We are awaiting the environmental clearance and we at the m oment have commenced demolition activities of the old existing structures on the Thane site. And in the next two or three months, we also expect to commence excavation and the subsequent construction activities. Tenders are already out for excavation and we are also, you know, very soon going to be launching the tenders for the ci vil contract for constructing the entire development at one go.

Puneet : And Kolkata, when should you expect the launch?

Varun Parwal: Kolkata residential, I think we are in the final stages of approvals as well as design fine -tuning. I think in the comi ng two quarters we will come back and update you on the launch timeline of Kolkata.

Puneet : Okay. That i s very helpful. Thank you so much and all the best.

Moderator: Thank you. Our next question comes from the line of Pritesh from Axis Capital. Please go ahead.

Pritesh: Yes. Just thank you for the opportunity. So, just carrying forward the previous conversation on lagging consumption and revenue that we are seeing in most of the assets. And in fact, if I look at th e rent to consumption ratio, it i s 11% this quarte r, which was, I think, this i

s the lowest since we have seen in 2014. So, if you ca n explain to me what i s happening here, you talked about, you know, eventually it converges. But does everything get converged? Because I understand, jewellery b rands, everyone might not be at MG plus varia ble. So, you can cor rect me if I a m wrong. So, just some insights and thoughts on that.

Varun Parwal: Sure, Pritesh. Var un this side. Let me take this question. One, Pritesh, I think the consumption growth during the quarter was very strong. And like Rashmi mentioned in her comments, all categories contributed to the strong consumption growth, including fashion, where we combine a number of categories and it accou nts for 50% of our consumption area. We, in fact, saw strong 16% growth in consumption (in fashion) . And if I especially exclude the high tradin g density categories like gold jeweller y and electronics, the underlying growth is in very high double digits. And this is, in fact, the strongest growth that we have seen per se in the portfolio over the last five years. Rents per se at times are a lagging factor. We see rent growth

 happening when we enter into new contracts and the retailers start paying the fixed rent from day one while their consumption scales up. Over the last two years, we have had very strong growth. And as we had i ndicated also earlier during this year, rent growth has sequentially improved as we have opened up new stores and brands have crossed the revenue threshold and started contributing to revenue share. I think in between from quarter -to-quarter and especially quarter 3 if you see, quarter 3 is a quarter w ith more emphasis on high trading density categories such as gold jewellery, etc. And consumption versus rent in quarter 3 per se historically has also seen a bit of a divergence. But when you annualize it, consumption and rental growth is actually very near to each other over a three -year period.

Pritesh: Sure. Got it. Fair enough. And second on this trading occupancy ramp -up at MarketCity Pune and Bangalore, by when do you think we should be back at 95% considering these are already well leased out? So, a quarter or from here, couple of quarters, you know, some timelines if you want to attach to that.

Varun Parwal: Absolutely, Pritesh. I think we are on track to cross 90% trading occupancy in both Bangalore and Pune by March 2026 in line with our original timelines. And we have a lineup of some great first-time brands that are entering the city such as IKEA, Uniqlo, etc that are opening their first stores in the city of Pune and Bangalore will also have a similar trajectory. I think you should expect to see the 95% level by the middle of FY27. In fact, 10% of overall area is already under fit-out at this point in time . So, in a staggered way, we will see the launches happening in the next three to six months.
Pritesh: Sure. That i s helpfu l. I have couple of more, but I wi ll jump back in queue and take it later. Thank you. All the best.
Moderator: Thank you so much. Our next questi on comes from the line of Murtuza Arsiwalla from Kotek Securities. Please go ahead.
Murtuza Arsiwalla: Hi, Varun. Just to delve deeper into this lead lag between the consumption growth and the rental growt h. Can we attribute it to the mix that kind of changes plus the fact that you could have some malls in a ramp -up phase and therefore the minimum guarantee so we do no t see a good correlation between consumption growth and rental growth And just to understand that better, let u s say you have a certain amount of consumption growth on a quarterly basis. Is it that a strong consumption growth on a mature mall would reflect in better rentals in a subsequent quarter? Like, is there a one -quarter re set or it is a straightforward percentage of consumption so it i s almost instant set of repricing ? So, that i s the first question I jus t want to under

stand because it ha s obviously been coming up a couple of times in terms of consumption growth ahead of rental growth and vice versa. So, I just want to understand that and then I have another one on the commercial piece.

 Varun Parwal: Righ t. So, I think, thank you, Murtuz a, for that. And I will just take a step back to also address this question as well and bring out one of the points that Rashmi spoke about earlier in her opening remarks, but probably we need to dive a bit more deeper on that aspect. I think, first of all, strong consumption growth is very important in terms of getting the right set of brands to come to the mall. Both in the midst of both the experience factors that we drive through our marketing events and our fine dining destinations that we open up, as well as the entertainment centers that drive this sticky footfall, as well as in terms of the high trading density categories and the new upcoming fashion categories that one opens up at the mall. Now, strong consumption growth gives a great platform for our leasing teams to attract the right set of new brands to take space in the mall at better rentals or improved rev enue share percentages . And across our mall portfolio today, we have in the next three years, over 50% of the area is going to be up for rene wals and repricing. That provides a great opportunity for us to reorient some of the low trading density stores, as well as renegotiate on rentals, as well as the revenue share that we are driving, and also add new experiences to the mall. So, this repositioning exercise is a continuous exercise . High consumption growth actually facilitates this conversation that our leasing teams do across malls. Does that address your question to some extent?
Murtuza Arsiwalla: To an extent , but I want to understand. Let us assume, let us say, let u s take one store, for instance, and it is doing Rs. 100 of consump tion and you ar e taking a Rs. 15 rental. Let’s say in the next month, the consumption moves to 200. Does that simply imply that the rental would move to 30 from 15? Is that repricing instant or there is a lead lag to that repricing?
Varun Parwal: Okay. Suppose our consumption is 100, typically, and a mall that has just started off, you see rentals being at about Rs. 11 or Rs. 12. Now, as consumption grows from say 100 to 200, and we typically expect consumption to double in our malls over a period of four to five years, this rental that we are seeing would naturally grow from 11 to 12. It grows to about 22 to 24. And with tweaks in the revenue share , with higher revenue share, et c, coming in, we are able to drive this towards Rs. 27, Rs. 28. So, the revenue share increases from an initial 11 % to 12%. It goes up to 14 % to 15% as we tweak and fine tune the brand mix. And the c ommercial agreement, the economic agreement that we have with those particular brands . Historically, if you see FY13 to today, we have seen consumption growing at a 14% CAGR and our rentals keeping pace with that consumption gr owth over the last 12.5 years.
Murtuza Arsiwalla : Okay. Also, a second ques tion on the office assets. You hav e talked about the new assets doing 41%, but you ha ve excluded out two towers in Pune, about a million square feet, which got their OC in December . Any sense on what is the pre -leasing for those towers currently?
Varun Parwal: I think we, in fact, have a very strong pipeline for those towers as well , Murtuza . And, you know, we have a significant pipeline, which is in final closing stages, where we have agreed on the commercials and the documents are being negotiated and executed. Give us a quarter more and we will c ome back to you with very strong leasing updates for the overall portfolio.

 Murtuza Arsiwalla: Sure. All right. Thanks so much.
Moderator: Thank you. Our next question comes from the line of Gaurav Khandelwal from J.P. Morga

n.
Please go ahead.
Gaurav Khandelwal: Good morning. Thanks for taking my questions. I ha ve got a couple of those. My first question is, how much of the consumption strength in this quarter was due to GST cuts? And could you also give us some color on how are consumption trends different for the listed and unlisted players, which operate in your mall assets?
Varun Parwal: Thank you, Gaurav. Those are very interesting questions. I think on the GST cut, we have evaluated our brand portfolio. And the impact t hat we have is, I would say, it is a sentimentally positive impact. But otherwise, it is not that material a needle mover in our perspective. It has, I think, the prices of goods, especiall y when you look at clothing, et c, the impa ct is on a 3% to 4% level. And that really, you know, is not moving the needle much, per se. To your other question, I think, you k now, it i s better to compare, say, listed retailer performance to what they are reporting at their portfolio level. And when we have a number of large listed players with their flagship marquee stores across our portfolio, and we believe that the performance that they are seeing in our stores versus the overall portfolio performance that they are reporting, our stores have been demonstrating very s trong sustained growth over a period of the last several quarters within the brand mix.
Gaurav Khandelwal: Got it. Thank you. And just a housekeeping question. Your tax rate in the last two quarters hav e increased to almost 12%, which is much higher than that for the preceding eight to twelve quarters. How should I think about the ongoing tax rate from here for next quarter and next year? Does i t normalize closer to 25% levels?
Kailash Gupta: So, Kailash here, you know, I do not think this is the right way to compare the tax rates in every quarter because there would be some adjustment items which keep happening in every quarter. So, you should always look at the nine months or YTD numbers, which will give you better color to the tax numbers. If you see the YTD nine months for current year, it is around 23.7% on a blended basis. Now, th is year, somehow the two components, which is the hotel, which was actually having a huge accumulated losses earlier, has been completely exhausted. So, now that has come into a full tax regime, which is 25% . And even the residential business, which comes to a full tax regime . Otherwise, all the rental which we recover from either commercial assets or the retail is normally having a tax in the range of around 18% to 19%. So, my suggestion would be that for the modeling purpose, I think 22 % to 23% range wi ll sustain in future. 25% could be in one of the quarter, but that is not something w hich will happen for the entire year.
Gaurav Khandelwal: Got it. T hank you very much. Those were all my questions.

 Moderator: Thank you. Our next question comes from the line of Giris h Chaudhary from Avendus Spark. Please go ahead.
Girish Chaudhary: Hi, good morning. Thanks for the opportunity. Firstly, I have a question on the, like you mentioned on the repositioning exercise for malls like Bangalore, Pune a nd Chennai, right, where there is a convergence which is expected in the next three to six months. What I wanted to specifically understand is what is the repricing you ha ve been able to achieve versus the earlier brands in the same spaces?
Varun Parwal: Sure, Girish. So, in fact, let me say in Phoenix MarketCity Bangalore, for example, we have repriced almost 35% of the overall leasable area of the mall. And if I just compare the increase in the fixed rent compared to the total rent that we were seeing previously, we expect to see a 35 % to 40% increase in the area that we have optimized in Phoenix MarketCity Bangalore. Similarly, in (Phoenix MarketCity) Pune as well, w e have optimized and refreshed almost 40% of the area. And t

here, the overa ll impact that we are seeing is about a 25%.
Girish Chaudhary: Great. So, this, as in when the tra ding occupancy increases, right? Which is when we will start seeing the reflection of the repricing in our numbers?
Varun Parwal: Yes. So, in fact, Girish, trading occupancy starte d going back up in quarter 3 of this year. We had hit a low of 80% trading occupancy during quarter 1 . And now Phoenix MarketCity Bangalore and Pune are back to about 85 %-86% trading occupancy level. This should now natura lly increase to about 90% by March 2026 . And then in June, July of 2026, we should be back at about 94 %-95% level.
Girish Chaudhary: So, for the incremental
Varun Parwal: Yes. I was just completing the point that from, you know, already we are starting to see a significant improvement in the trading density. So, Phoenix MarketCity Bangalore has reported a 30% growth in the t rading density for Quarter 3 and Phoenix MarketCity Pune an d Chennai have seen a 20% and an 18% growth in the trading density.
Girish Chaudhary: Got it. Sir , what I was also as a follow -up asking is that for the incremental 10% which is still there, right, convergence from leased and the trading occupanc y moving up. So, this 35% , for example, for a mall in Bangalore, you will start seeing those reflecting in the numbers?
Varun Parwal : Yes. I think you will see the full impact of it in the numbers during FY27.
Girish Chaudhary: Got it. Great. And the second question is that you a lso mentioned about a 50% renewal opportunity available in the next thre e years, right? So, there, what i s the repricing or MTM

opportunity available?

 Varun Parwal: Girish, historically, we have seen anywhere between a 20 % and a 30% improvement. But that is driven not just by repricing of the existing brands, but also in terms of how we have optimized the area given to existing brands and new brands, as well as the economics that we have been able to negotiate with the incoming brand s. So, this is what we have done historically. And as we go ahead and renew th e area going forward, we wi ll keep you posted on how the rents are moving.

Girish Chaudhary: So, this 50%, which is, let us say, annualized 16%, 17% per year, is over and above the normal renewal rates, I mean, norms?

Varun Parwal: No. So, this 50%, I would say, Girish, is the contractual expiries that are coming up. Over and above this, we may, from time to time, do targeted churns and optimizations in consultation with our brand partners. And that is in addition to what is available to us contractually.

Girish Chaudhary: Got it. Thank you , Varun, and all the very best.

Varun Parwal : Thank you.

Moderator: Thank you. Ladies and gentlemen, due to the time constraint, that was the last question. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you team.

Varun Parwal: Thank you so much, everyone, for joining us on today's conference call. We look forward to seeing you next quarter. Thank you.

Moderator: Thank you so much. Ladies and gentlemen, on behalf of The Phoenix Mills Limited that concludes this conference. T hank you for joining us, and you may now disconnect your line s.

Call: Apr 2026

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